PROJECT SYNDICATE DIGEST

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1. The Canary in the AI Coal Mine

Author: Kenneth Rogoff **Published:** Aug 3, 2026 **Link:** View Original

CAMBRIDGE—The AI race between the United States and China is accelerating at a breathtaking pace. Time and again, the US has appeared to pull ahead, only to see China quickly close the gap.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

At the heart of this competition lie two contrasting visions of how AI should be developed and deployed. While US firms largely rely on proprietary technologies to maintain their competitive advantage, China has increasingly embraced open-source AI, making advanced models widely available to developers around the world.

Different strategies notwithstanding, both countries are locked in an arms race which neither side is willing to slow. As speed becomes the overriding priority, safety increasingly takes a back seat, despite the uncomfortably high risk of catastrophic failure arising from the combination of human error and superintelligent AI.

A recent security breach involving OpenAI and Hugging Face has underscored the danger of treating safety as an afterthought. The incident occurred while OpenAI researchers were evaluating the cybersecurity capabilities of two frontier AI models. To identify weaknesses and vulnerabilities that sophisticated hackers might exploit, they temporarily disabled many of the models' normal safeguards.

The experiment was conducted inside a tightly controlled "sandbox." Although the models' behavioral guardrails had been temporarily removed, the sandbox was supposed to prevent them from accessing the open internet, where they could —at least in theory—have caused enormous damage.

Instead, the models treated the sandbox itself as an obstacle. Exploiting a previously unknown flaw in third-party software, they circumvented its restrictions and gained access to the open internet. Did they "go rogue"? Not exactly. After all, they were simply pursuing the objective they had been given: to solve a difficult cybersecurity problem as efficiently as possible.

Although the models likely could have completed the task from within the sealed sandbox, they "inferred" that it would be far easier to infiltrate Hugging Face—which hosts over two million open-source AI models—and, in OpenAI's words, "obtain test solutions directly from Hugging Face's production database." For an AI with advanced hacking capabilities, breaking into another system was child's play. In fact, the breach went undetected for days and apparently spread to a second firm.

From the models' perspective, this was not "cheating," as they had not violated any explicit rule encoded by their developers—they had merely found a more efficient way to achieve their objective. Perhaps most unsettling, one of the models reportedly left behind notes explaining how future AI systems could break out of OpenAI's sandbox more easily.

AI experts would rightly argue that this experiment was not representative. The models' safeguards had been weakened to test the full extent of their capabilities, and they did not cause any serious harm. They did not, for example, break into the systems of the US Federal Reserve or the European Central Bank. Nevertheless, the episode demonstrated how seemingly minor human errors can be amplified by AI, with potentially catastrophic consequences.

The incident is eerily reminiscent of the much-debated (and still-unproven) COVID-19 lab leak theory, which holds that the virus escaped from a laboratory in Wuhan, China, where researchers were allegedly conducting risky "gain of function" research on viruses. In both cases, human error and hubris—not malice—are the ultimate culprits. History offers plenty of similar cautionary tales.

The spread of open-source AI models compounds the problem. With cutting-edge AI tools no longer confined to a handful of leading laboratories, it is only a matter of time before rogue states and terrorist groups attempt to use them to develop biological weapons, novel toxins, or dirty bombs. It is dangerously naive to assume, as many US policymakers appear to do, that such capabilities exist only in Silicon Valley.

But the most immediate danger may be political, not technological. AI already enables malicious actors to create increasingly convincing deepfakes and voter-manipulation campaigns on an unprecedented scale. Left unchecked, these tools could further erode public trust, fuel political polarization, and accelerate social fragmentation.

Rapid AI development could also pave the way to authoritarianism, as periods of social instability often create opportunities for governments to expand their authority in the name of restoring order, combating inequality, or protecting national security. Under President Donald Trump, it can sometimes feel as though the US is already moving in that direction. But a future Democratic administration may prove just as willing to exploit AI in pursuit of its own political goals.

None of this diminishes AI's extraordinary promise. The technology could revolutionize medicine by supercharging research on diseases such as cancer and Alzheimer's, transform food production, and help tackle climate change—and that is only scratching the surface. The question, then, is not whether AI should advance, but how quickly and at what cost.

Here lies the central dilemma: US tech firms' principal argument against regulating AI is that doing so would cause America to lose ground to China. But if China can eventually mimic or steal every major US breakthrough—as it has repeatedly done—a permanent race to build ever more powerful AI is a recipe for disaster. Lasting safety will ultimately require some degree of international cooperation, much as nuclear arms control became indispensable during the Cold War.

While AI raises profound concerns about employment, inequality, and social cohesion, none is more important than safety. The industry's argument that meaningful regulation must be avoided because it would slow innovation or undermine US competitiveness seriously understates the risks of deploying increasingly sophisticated AI systems before we know how to control them.

To be sure, regulators will make mistakes, and some rules may prove overly restrictive. But those errors can be corrected. The consequences of rushing one of the most consequential technologies humanity has ever created without adequate safeguards, by contrast, may not be.

The Hugging Face hack should serve as a stark warning to policymakers in Washington and Beijing. Winning the AI race will matter little if, in the process, we create hazards that no country can contain.

2. The Painful Incompetence of the Indian State

Author: Devesh Kapur **Published:** Aug 3, 2026 **Link:** View Original

WASHINGTON, DC—Recent student-led protests, which forced Indian Prime Minister Narendra Modi’s typically unyielding regime to capitulate on key demands, dented Modi’s personal aura of power and exposed the limits of his government’s ability to curb dissent through heavy-handed repression. But the protests also exposed a broader and more prosaic characteristic of the Indian state: incompetence.

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The catalyst for the protests was a bungled exam process. In India—like in China, Japan, South Korea, and Vietnam—students’ futures are decided largely by their performance on one exam. They spend years preparing for these high-stakes tests, which determine whether they gain entrance to one of a limited number of high-quality institutions of higher education or access to coveted government jobs.

Given the scarcity of university places, Indian students who can afford to head to universities abroad increasingly do so: in the last eight years, this figure has tripled, from around 450,000 in 2017 to 1.25 million in 2025. For lower-middle-class youth, however, there are only a few ladders of social mobility, and university entrance exams are invariably the first rung.

As stressful as the exams are, until recently they were conducted reasonably smoothly. Nonetheless, in 2017, the growing number of exams (and students taking them) spurred the government to establish a centralized body, the National Testing Agency, to administer them. There was just one problem: the NTA’s capacity was never up to the job. While more than ten million students take entrance exams in thousands of centers, hundreds of cities, and more than a dozen languages each year, the NTA’s workforce is just 39 people, with a mere 24 in permanent posts.

The agency apparently believed that it could fill the gaps through outsourcing. But errors proliferated: paper leaks, postponed exams, mistakes in questions, and delays in announcing exam results. Last year, a parliamentary committee noted dryly that the NTA’s performance had “not inspired much confidence.”

This year, allegations of a leak forced millions to retake a grueling medical entrance exam, and grading discrepancies emerged on a different exam. Against a backdrop of high youth unemployment and a gratuitous insult from a Supreme Court justice, students were outraged. They poured into the streets demanding the education minister’s resignation and broader education reform. When heavy-handed tactics failed to quell the movement, the government was forced to offer concessions—an unnerving outcome for Modi’s regime.

The problem extends beyond the NTA. India’s relatively weak state capacity, which lags significantly behind that of East Asian countries, has long hampered the economy’s development. Modi has been promising to address the problem since he came to power in 2014. But while his government’s emphasis on centralizing power and strengthening executive control has improved the “hardware” (infrastructure), it has come at the cost of deteriorating “software” (policies and institutions)—crucial for long-term development.

Improving the state’s bureaucratic machinery, including by attracting talented people, should have been a no-brainer. But by systematically prioritizing loyalty over competence, Modi’s government has inadvertently fostered risk aversion and mediocrity among senior bureaucrats. The fact that the government was caught off-guard by the frustration among India’s youth was not just a failure of discernment; it was an inevitable consequence of shutting out non-partisan sources of information.

Making matters worse, key officials are simply too old to grasp the dynamics of our rapidly changing world, let alone adapt to them. What limited policy changes have been undertaken have mostly been responses to external pressure, whether from Donald Trump or the growing threat from China.

Instead, Modi’s government has placed the highest priority on advancing narrow ideological objectives. For the Bharatiya Janata Party (BJP)—and its ideological parent, Rashtriya Swayamsevak Sangh—controlling the education ministry is vital to propagate Hindutva (Hindu-nationalist) ideology. It is widely believed that academic appointments, from vice-chancellors to faculty, must have the RSS’s blessing.

The Modi government has also throttled other essential levers for strengthening the state’s capabilities, from sub-national governments to civil society, mostly due to its deep mistrust and intolerance of anything it cannot control. Without “cooperative federalism,” India cannot meet the many pressing challenges it faces, whether in education, energy, or the environment. But under Modi, states have little authority. As a result, not even the issues that directly affect India’s political elite—such as severe air pollution in Delhi—get resolved.

Meanwhile, the government muzzles NGOs and think tanks if they dare to question its self-congratulatory messaging. This has impeded efforts to augment the state education system and redress the poor outcomes that have become standard for Indian schoolchildren, jeopardizing their futures and India’s development and prosperity. In addition, draconian laws governing foreign funding have undermined the philanthropic efforts of India’s well-heeled diaspora.

The Modi government has failed to strengthen even the agencies tasked with implementing its own priorities. In 2020, the government unveiled a forward-looking National Education Policy, aimed at transforming the education system to deliver universal high-quality education. Six years later, nearly two-thirds of staff positions at the country’s two principal higher-education regulators are vacant, stymieing progress.

Modi was propelled to power by popular frustration with the Congress-led government’s corruption and incompetence. But, 12 years later, his government’s record reflects the same pathologies. While the BJP felt untouchable earlier this year, following its unprecedented landslide victory in the West Bengal state elections, India’s young people have now offered it a somber reminder that a pendulum swings back at its apogee.

3. The Case for a Pay-Where-You-Play Tax System

Author: Jayati Ghosh **Published:** Aug 3, 2026 **Link:** View Original

NEW DELHI—This week, delegates from around the world will gather in New York to negotiate the proposed United Nations Framework Convention on International Tax Cooperation, a landmark agreement aimed at making global tax cooperation more inclusive and effective. If adopted, the Convention would represent the most consequential overhaul of the global tax system in nearly a century, fundamentally changing how countries tax multinational corporations and, potentially, the world's wealthiest individuals.

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New research by the global union federation Public Services International (PSI) and the Tax Justice Network underscores the urgent need to reform the international tax system. Drawing on publicly available country-by-country reporting data, it estimates that governments could collect an additional $500 billion in corporate tax each year by replacing today's "pay-where-you-say" system with a "pay-where-you-play" approach.

The current system is the product of century-old rules that are no longer fit for purpose. By allowing governments to tax multinational corporations where they declare their profits rather than where they generate them, it rewards companies for shifting taxable income into tax havens before reporting it.

In 2012, the G20 tasked the OECD with aligning where profits are reported with where companies actually operate. That effort failed, and profit shifting has only intensified. According to the PSI/Tax Justice Network report, taxing profits where they are actually earned would increase multinational corporations' tax payments by 24% without requiring any country to raise its corporate tax rate.

The negotiations in New York represent the best opportunity in decades to replace the outdated "pay-where-you-say" model with a "pay-where-you-play" framework that taxes multinational corporations where they employ people and sell goods and services. This reform could make tax havens obsolete overnight and restore governments' ability to tax economic activity taking place within their own borders.

Under such a framework, the largest revenue gains would go to the world's richest economies, but the greatest impact would be felt in the poorest. For many lower-income countries, the additional revenue would amount to several times what they currently collect from multinational corporations. This is consistent with the findings of the annual State of Tax Justice reports: while the largest economies lose the most to corporate tax abuse in absolute terms, lower-income countries suffer the greatest losses relative to the size of their tax bases.

That is not to say that advanced economies would not benefit. The United States, for example, would collect an estimated $35.5 billion in additional tax revenue—enough to increase spending on renewable energy 45-fold and create more than 265,000 jobs. The United Kingdom would receive $16.9 billion, enough to fund its newly introduced cost-of-living measures six times over. EU member states, meanwhile, would collect roughly $65.7 billion annually, enough to quadruple current spending on climate adaptation in agriculture, energy, and transport. Spain and France, both confronting their most devastating wildfire seasons on record, would receive and $4.2 billion and $25.5 billion, respectively.

For the Global South, the gains would be transformative. In a single year, the report estimates, lower-income countries would collect more than the total amount they currently owe the International Monetary Fund in outstanding loans.

So how do we move from today's "pay-where-you-say" system to a genuine "pay-where-you-play" one? Article 5 of the draft UN Tax Convention—the product of two years of negotiations—tries to do just that by allocating taxing rights among countries based on clear, objective factors like sales, employment, and natural resources.

If adopted, the Convention would end the century-old practice of transfer pricing, through which multinationals use internal transactions to shift profits to low- or no-tax jurisdictions with little connection to where they actually do business. Every country except the most aggressive corporate tax havens stands to benefit from such a change, and even those jurisdictions can offset their losses by simply imposing moderate taxes on the profits earned within their borders.

That said, the draft Convention can still be strengthened. The commitment to a "pay-where-you-play" approach must be backed by practical measures, particularly country-by-country reporting (CbCR)—a simple yet powerful transparency tool that requires multinational corporations to report key financial information separately for every jurisdiction in which they operate. Since 2015, large multinationals have been required under OECD rules to provide these reports confidentially to tax authorities. Making them public would subject multinationals to the same accountability standards as smaller domestic businesses.

Strikingly, even private reporting has been shown to increase companies' effective tax rate by around 1.5 percentage points, generating tens of billions of dollars in additional revenue. And where those same reports are made public, the gains are roughly twice as large.

Public reporting would also ensure that all countries benefit equally. At present, reliable access to CbCR remains largely limited to OECD members. Most lower-income countries receive incomplete information, obtain it only after long delays, or have no access to it at all. With the EU and Australia already requiring public CbCR for selected high-risk jurisdictions, there is no justification for denying every other country access to the same data. The UN Convention must therefore establish a global CbCR database.

Lastly, it is worth remembering that democracy itself emerged from the struggle for fair taxation, reflected in the principle of "no taxation without representation." For decades, multinational corporations have been shifting profits out of the countries where they are generated into accounting "nowhere" zones. This has led to widespread economic insecurity, creating fertile ground for billionaire-backed authoritarianism.

The UN Tax Convention offers a different path, asserting that the shops, offices, factories, and workers that generate global profits matter. By restoring the link between where profits are made and where they are taxed, the Convention advances a modern form of taxation with representation and carries forward one of democracy's oldest principles.

As negotiations conclude in New York, delegates must ensure that the UN Tax Convention lays the foundation for a fairer, more transparent international tax system. The alternative is to preserve a tax system that has repeatedly put corporate interests ahead of people and the planet.

4. What a Sino-American G2 Would Mean for Asian Security

Author: Brahma Chellaney **Published:** Aug 3, 2026 **Link:** View Original

TOKYO—Grand foreign-policy strategies rarely disappear overnight. More often, they are dismantled gradually through subtle rhetorical shifts, bureaucratic adjustments, and changing diplomatic priorities. America's Indo-Pacific strategy is no exception.

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A decade ago, then-Japanese Prime Minister Abe Shinzō unveiled the concept of a "free and open" Indo-Pacific. Based on the idea that the Indian and Pacific Oceans form a single strategic theater, he sought to build a coalition of democracies committed to preventing any one power from dominating the region.

The United States subsequently embraced this vision, reviving the Quad coalition and establishing its members—Australia, India, Japan, and the US—as the principal anchors of the regional balance of power. The underlying strategic logic was compelling. Like the alliance system more broadly, the Indo-Pacific coalition would amplify US influence by encouraging middle powers to shoulder greater responsibility for regional stability. Moreover, its multiple centers of power and shared objective would make it inherently resilient.

More recently, however, US President Donald Trump has advanced the idea of a "G2" comprising just the US and China. Unlike the free and open Indo-Pacific vision, which seeks to maintain stability by cultivating a broad network of like-minded partners, the G2 concept assumes that the world's two leading powers should shape the regional and global order through direct negotiations.

The approach elevates bilateral deal-making at the expense of multilateral diplomacy, thereby diminishing the strategic weight of middle powers—and, by extension, US influence. Its durability largely rests on the personal chemistry and shifting calculations of leaders in Washington and Beijing. While Trump seems to be warming up to Chinese President Xi Jinping today, there is no telling what tomorrow will bring. Simply put, the G2 is a highly unstable proposition.

One might be tempted to dismiss this as just another example of Trump's unconventional diplomacy, which often emphasizes bilateral bargaining over coalition-building. But his administration has also systematically deprioritized the Quad, with its latest National Security Strategy making just a single passing mention of the grouping. The US Department of Defense, for its part, has reverted to referring to its principal theater as the "Pacific," instead of the "Indo-Pacific."

Together, these developments suggest that this is no temporary bluff or brief diplomatic glitch. Under Trump, the free and open Indo-Pacific strategy is unraveling.

This carries grave risks for Japan. Over the past decade, Abe’s Indo-Pacific vision has anchored Japan’s national security strategy, with the goal of ensuring that China does not concentrate its military pressure in East Asia. If the US focuses exclusively on the Western Pacific, Japan would lose its strategic depth and risk finding itself face-to-face with China’s maritime might.

None of this is lost on Japanese Prime Minister Sanae Takaichi, who has redoubled her commitment to the vision of a free and open Indo-Pacific. In May, she unveiled an updated Indo-Pacific framework emphasizing regional economic resilience and enhanced security cooperation. Her government has been reinforcing the partnerships that give the strategy practical effect by deepening strategic ties with India and Australia and expanding “minilateral” arrangements, including the Japan-US-Philippines and Japan-US-South Korea trilateral groupings.

In Japan’s strategy for preserving Asia’s balance of power, India occupies a central position. This was apparent during Takaichi’s visit to New Delhi last month, when she and Indian Prime Minister Narendra Modi reaffirmed their commitment to the Indo-Pacific framework and agreed to expand cooperation in areas ranging from AI and critical minerals to defense technology. For Japan, India is not just another strategic partner. With its vast size, formidable military, dynamic economy, and commanding position astride the Indian Ocean, it is the indispensable western pillar of the Indo-Pacific architecture.

India presents China with a two-front dilemma, forcing Chinese military planners to split their attention and resources between the continental and maritime theaters. If China did not have to monitor its long, tense Himalayan frontier with India—where dozens of soldiers died after Chinese land grabs triggered clashes in 2020—and protect critical Indian Ocean trade routes, it would be able to concentrate overwhelming force in the Western Pacific.

By removing the “Indo” from “Indo-Pacific,” the Trump administration has exposed its lack of understanding of this critical dynamic. Together with its G2 vision, the shift amounts to an important symbolic and geopolitical victory for China. After all, Chinese leaders have long argued that the Indo-Pacific strategy’s real aim was to “contain China” and “make Asia-Pacific countries ‘pawns’ of US hegemony.” They would vastly prefer a Pacific-centric framework in which the US and China negotiate directly, and other regional powers do as they are told.

Whatever the Pentagon names its strategic theater, the geography will not change. China’s most important energy and trade lifelines still pass through the Indian Ocean, and the Himalayan frontier still constrains Chinese military planning. Preventing the emergence of a unipolar Asia, therefore, still depends on maintaining a free and open Indo-Pacific, underpinned by a broad coalition of democracies committed to that objective.

Whether the US returns to this framework remains to be seen. Japan, however, has already made its choice.

5. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Brahma Chellaney **Published:** 2026-08-04 **Link:** View Original

The greatest danger posed by AI is not the technology itself, but the race to deploy it before we know how to control it. The recent Hugging Face breach shows how seemingly minor human errors can be amplified by AI, underscoring the risks of treating safety as an afterthought.

High inflation and interest rates are eating away at the foundations of the Russian economy and sapping its growth. By hitting its most important sectors, and its essential source of foreign hard cash, new US legislation would pile enormous pressure on the Kremlin just when it is urgently needed.

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7. The Triumph of India’s Cockroaches

Author: Shashi Tharoor **Published:** Aug 4, 2026 **Link:** View Original

NEW DELHI—For those accustomed to viewing Indian democracy through the prism of grand electoral contests or warnings about institutional erosion, recent weeks have provided a refreshing demonstration of democracy’s resilience. What began as provocative online satire exploded into one of the most remarkable—and successful—youth-led political movements in modern Indian history.

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It started with an insult. In mid-May, during an open court hearing, Supreme Court Chief Justice Surya Kant referred to some unemployed young people as “cockroaches” and “parasites.” Though Kant insists that he was referring only to those who use fake degrees to enter the legal profession, his comment struck a nerve in a country where tens of millions of educated young people have found themselves navigating an economic landscape marred by jobless growth.

Rather than succumbing to despair or quiet indignation, young people offered a satirical response to Kant’s comments. Within 24 hours, the “Cockroach Janta Party”—a play on the name of the ruling Bharatiya Janata Party—was born, with “Voice of the Lazy & Unemployed” as its ironic tagline. Within a few days, the CJP emerged as a social-media juggernaut, amassing over 20 million followers—more than the official accounts of the established political machines, including the BJP.

The joke’s impact lay in the genuine grievances it captured. Despite high unemployment among university graduates, young Indians still view higher education as their only hope for upward social mobility, spending years preparing for hyper-competitive national entrance examinations.

But this year, exam leaks, grading irregularities, and the sudden cancellation of results blighted the process. Some 2.2 million students were forced to retake the grueling medical entrance exam, the National Eligibility cum Entrance Test, owing to leak allegations. Upon learning that their May 3 attempt had been voided, some of these students committed suicide. Such tragedies transformed economic anxiety into moral outrage.

The “cockroach” movement provided an ideal outlet for this fury. Unaffiliated with traditional party structures and supported across ideologically diverse segments of civil society, the movement defied conventional political categorization. By June, it migrated from smartphone screens to the heat of Indian city streets, with tens of thousands of students, civil-service aspirants, and concerned citizens gathering in the capital and across major urban centers to demand education reform.

Once the BJP government realized that it could not simply ignore the “cockroaches,” it decided to quash them. While some BJP figures blamed the movement on malicious foreign actors, the authorities blocked CJP-linked social-media accounts, tasked security agencies with monitoring the movement’s coordinators, banned public gatherings, established a heavy police presence in Delhi, and shut down the internet in the city center.

But the movement’s decentralized nature, combined with the moral clarity of its demands for educational integrity and institutional accountability, rendered these authoritarian tactics futile. Protesters gathered at Delhi’s Jantar Mantar, reaching larger numbers than the area could contain, and called for a march to parliament, barely a ten-minute walk away from the locus of the demonstrations.

Having yet to learn its lesson, the government turned to brutality, with police charging the protesters, assaulting many on the streets, and even using water cannons and pellet guns. Nearly 180 people were injured, according to Delhi police. But far from quelling the movement, the government’s tactics heightened popular outrage, with protests spreading to many cities and towns.

Eventually, the government recognized its mistake. Unlike past protests—including the demonstrations against the 2019 Citizenship Amendment Act, which affected Indian Muslims, and the 2020–21 protests by farmers—the student protests could not be framed as being narrowly focused on minority rights or sectoral interests. The demographic the “cockroaches” represent constitutes nearly half the electorate, and the majority come from middle-class households, including families that have traditionally voted for the BJP. For the ruling party, alienating this cohort would court electoral disaster.

In a dramatic retreat, the central government opened direct talks with student representatives and pledged to establish expedited judicial mechanisms to punish those involved in exam leaks. It also accepted the resignation of Union Education Minister Dharmendra Pradhan—a step that it had previously insisted was “off the table.” For an administration that has spent the last decade cultivating an image of unyielding strength and muscular executive control, the capitulation was notable.

By turning a judge’s slur into a badge of honor, India’s youth have reminded their leaders that the political establishment, no matter how powerful it becomes, cannot ignore the collective will of the public indefinitely. They have also demonstrated that, while autocratic tactics can undermine institutions and intimidate the political opposition, they are ill-equipped to quell the decentralized, irreverent, and chaotic energy that animates successful youth protest movements.

The message is clear. Democracy is not built only on the institutions that are said to have been hollowed out under BJP rule. It does not reside solely in legislative chambers, courts, or election commissions. Rather, it also depends on the habits of citizens. And India’s citizens have shown that their democratic spirit remains irrepressible.

The concessions secured by the cockroach movement amount to more than a triumph for prospective medical students or a brief political headache for the BJP. They reaffirm the bargain that underpins Indian democracy, proving that even after years of centralization and executive dominance, power remains with the people. They are not going away, and nor is Indian democracy.

8. Zombie Monetarism

Author: James K. Galbraith **Published:** Aug 4, 2026 **Link:** View Original

TOWNSHEND, VERMONT—Three prominent economists, Peter Ireland, Stephen Miran, and Nouriel Roubini, have just published a paper intended to influence Kevin Warsh, the new chair of the Federal Reserve who previously studied under Milton Friedman while at Stanford. Miran, a former chair of the White House Council of Economic Advisers and former Fed governor, and his colleagues seek to revive Friedman's famous doctrine, monetarism, defined loosely as a focus on the money supply, but now dressed up in the grass skirts of a Divisia index.

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As it happens, I am the sole survivor of those involved with monetary oversight at the US House of Representatives Banking Committee from 1975 forward, when monetarism was in full bloom. Ireland, Miran, and Roubini make reference to language I remember well: the 1977 statutory instruction that the Fed "maintain long run growth of the monetary and credit aggregates commensurate with the economy's long run potential to increase production, so as to promote effectively the goals of maximum employment, stable prices, and moderate long-term interest rates."

That wonderful phrasing actually goes back to early 1975, and was the work (mainly) of two hard-core monetarists on the House Banking Committee staff. Both were University of Chicago PhDs and disciples of Friedman. Both were also Democrats, and both were named Bob: Weintraub and Auerbach.

I joined the staff shortly after the oversight resolution passed and was the odd person in the trio, a student of the British Keynesian Nicholas Kaldor and the progeny of that famous Friedman adversary, my father, John Kenneth Galbraith.

Our joint objective was to oblige the Fed to report regularly to Congress, and specifically to us. Until then, the Fed was under no mandate to do so, and its procedures were opaque. The core instrument, the federal funds rate, was a secret—the markets had to guess. But money and credit growth could be discussed, so that went into the statute. The Fed could be (and was) asked to report on target ranges for growth of the various aggregates, consistent with its forecast for real (inflation-adjusted) GDP, inflation, and employment.

The money-targeting language was (and is) operationally meaningless. "Commensurate" is not the same as "proportionate," and "long run" allows for deviation from any stated course. The language simply directs the Fed to pursue a policy to keep production on par with potential, which is exactly what the operative language on employment, prices, and interest rates specifies. But it was crucial as politics, and my monetarist colleagues were satisfied.

There followed another dance, concerning the base for each money and credit target range. The Fed initially wanted to roll the base forward every quarter, folding its misfires into history. That was, of course, ridiculous. Eventually, we specified—and the Fed accepted—an annual process, with a mid-year check-in, which became the "Humphrey-Hawkins" procedure. Regular Fed reports to Congress have continued ever since.

The reporting requirements did not prevent the money-supply numbers from wandering from their target ranges, year after year. They ultimately helped drive home the futility of setting money-growth targets.

Since that era, the Fed has moved (as Ireland, Miran, and Roubini observe) from the brief and violent Paul Volcker period of money targeting, to a vague form of "inflation targeting," and now to direct control (price-fixing) of short-term interest rates, combined with elaborate public statements. The money supply numbers have fallen into disuse, while the public-facing central bank—a trend-setter for the world—has spawned a cottage industry of semanticists who scrutinize every colon, semi-colon, and comma in the "forward guidance."

Warsh is right, in my opinion (so, too, Ireland, Miran, and Roubini), to cut back the verbiage, leaving the monetary necromancers temporarily unemployed. As we worked to establish back in 1975, the Fed is a "creature of Congress," and the responsibility for oversight rests with Congress. The Fed should say less, and Congress should ask more.

Ireland, Miran, and Roubini go further, to endorse a "soft monetarism" in which the growth rates of a money index—the various aggregates weighted by relative degrees of liquidity, Divisia-style—are used to assess inflationary pressures. But there are two difficulties with this. First, as they acknowledge, the link from money to inflation depends on reasonably stable "velocity"—not an easy assumption to defend. If the velocity of money isn't stable—and it certainly wasn't during the COVID-19 pandemic or on many other occasions—the "quantity theory" cannot be used to inform policy.

The second problem is one I have dealt with at length in other work. The essential point is that used cars, existing homes, and other capital assets (like stock prices) are not correctly included in the "inflation" measure that Friedman and other quantity theorists put into their equation. The monetarists were concerned with the prices of newly produced goods, not those things that the public already owns and trades back and forth with itself.

But prices of new goods did not rise the way those of used cars and houses did in the "quasi-inflation" of 2021 and 2022. Ireland, Miran, and Roubini are therefore wrong to link the increase in the money supply caused by COVID-19 relief to "inflation" in the theoretically correct sense of that term. How to define and measure inflation properly would be an excellent topic for one of those working groups Warsh has been assembling.

In short, while the Divisia index may help to measure money, velocity is still unstable, and inflation is still mis-measured. So, monetarism, soft or not, will stay dead.

The most doctrinaire monetarist in Congress during the 1970s was another Democrat, Senator William Proxmire, who had obliged the Fed to send regular letters whenever the growth of M1 (the most liquid form of money) was below 2% or above 6%—Friedman's preferred guideline at the time. Shortly after I left the House Banking Committee in early 1981 to become executive director of the Joint Economic Committee, the Fed's congressional liaison, Don Winn, stopped by to ask if they could stop sending those letters. I happily agreed. I did not inform Proxmire, who never noticed.

9. Taiwan Needs a New Deterrence Strategy

Author: Todd G. Buchholz **Published:** Aug 4, 2026 **Link:** View Original

SAN DIEGO—As the US-Iran war threatens to ignite a worldwide energy crisis, another hotspot may come to a boil: Taiwan. During a recent visit to Taipei, I didn't need to read Mandarin to spot the lead news story every day: another step in China's campaign to intimidate the island.

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What once would have been deemed a crisis—People's Liberation Army aircraft crossing the Taiwan Strait's median line, PLA vessels and surveillance balloons pressing closer, or Chinese authorities interrogating commercial ship captains—has become a daily ritual. For the Chinese government, this is a victory in itself. Constant gray-zone coercion is designed not only to frighten Taiwan but also to numb the rest of the world, making Taiwanese President Lai Ching-te sound like the tiresome boy who cried dragon.

Meanwhile, Chinese President Xi Jinping's strategists watch Hormuz and study something even more valuable than naval frigates: American decision-making. How quickly does the United States respond to threats and attacks? How much political backlash can President Donald Trump tolerate? And how much economic pain are US allies willing to bear? Every missile fired at Iran provides new information. Iran's mullahs, scoffing at incoming fire and defying conventional political logic, have inadvertently become China's defense research assistants.

But Taiwan is a different case. It's too valuable not to be vulnerable. The country dominates in semiconductors, accounting for 92% of the world's manufacturing capacity for the most advanced chips. If these factories shutter, the tremors will go far beyond Silicon Valley. Modern economies run on semiconductors, much like 19th-century economies depended on coal and whale oil. Without chips from Taiwan, refrigerators would stop cooling, and traffic lights would stop working. We would witness crashes on trading floors and at road intersections.

Decades ago, Kuwait and Saudi Arabia discovered that possessing the world's most valuable commodity was both a blessing and a glaring vulnerability. Oil made these kingdoms indispensable, putting a target on their backs. In 1990, Iraq's Saddam Hussein decided he could not resist trying to steal an entire country. Taiwan faces a similar dilemma, because China knows precisely the prize it seeks.

Reining in China's designs on Taiwan requires a new kind of deterrence. Just as Saudi Arabia is spending trillions of dollars to be known as more than the world's gas station, Taiwan must diversify. The country needs a second crown jewel to become indispensable to the democratic world. As I have recommended to Taiwanese officials, defense software offers the opportunity.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Future military advantage will depend less on steel than on code: battlefield networking, AI, cybersecurity, logistics, communications, and command-and-control software. While chip fabrication plants can be replicated—Taiwan Semiconductor Manufacturing Company itself is expanding abroad—trusted software ecosystems, engineering talent, institutional knowledge, and decades of collaboration cannot.

Economists call this moving up the value chain. I would also call it moving up the deterrence chain. Taiwanese leaders should call Palmer Luckey of Anduril and Alex Karp of Palantir for advice.

Equally important, Taiwan occupies an unusual position in Asia. Japan and South Korea have spent decades reopening and stitching closed the wounds of occupation. Taiwan is a regional player that neither side resents, making it a trusted intermediary—a rarity in global politics.

Rather than waiting for the US to take the lead, Taiwan should establish a "Committee for the Defense of Freedom." This would be a practical institution devoted to defense technology and coordinated responses to economic coercion, not a formal military alliance requiring years of treaty negotiations, summit communiqués, and group photos in front of fancy hotels.

Eight centuries ago, the Hanseatic League connected independent cities around the Baltic and North Seas to share information and deter piracy. No emperor ordered them together; shared interests united them. Asian democracies need a 21st-century reboot—not to protect merchant ships from pirates, but to protect free societies from blackmail and invasion.

China has built artificial islands one dredge scoop at a time. Taiwan and its democratic partners can build deterrence in a similar fashion: one software platform, one intelligence agreement, one research partnership at a time.

Iran has been a practice test for the US military, and China's leaders have been peering over Trump's shoulder. Taiwan should not wait for the final exam. It should rewrite the syllabus.

10. A New Paradigm for Global Health Financing

Author: Donald P. Kaberuka **Published:** Aug 4, 2026 **Link:** View Original

ABUJA—Global health financing has long reflected good intentions but flawed incentives, with donor countries setting priorities and recipient governments learning to follow them. But this decades-old arrangement is now collapsing, giving us a rare opportunity to transform how we finance health nationally, regionally, and globally.

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More countries are already articulating a vision in which health financing would build on national resources, answer to domestic priorities, and remain accountable to their own citizens. Health would be seen not as a cost but as an investment that drives growth and builds resilience, and the international system would become more closely aligned with national ambitions. Countries would collaborate where interests converge, with everyone recognizing that stronger national capacities ultimately strengthen collective preparedness and global stability.

Those calling for a change do not deny that global health financing has delivered real gains. Development assistance for health grew from $15 billion to $50 billion between 2000 and 2019, and with it came procurement systems, financing mechanisms, and collaborative infrastructure, proving what concerted global health cooperation can achieve. The system saved lives, improved health, and contributed to major development milestones.

But the same arrangements also entrenched dependency and concentrated power, consistently rewarding short-term outputs over long-term capacity. Accountability ran upward to donors, not downward to citizens.

Then came the 2025 disruptions to aid flows, multilateral institutions, and the assumptions underpinning them. What has followed is an overdue reckoning, and with it the question of how to develop something better.

The answer must include three distinct but mutually reinforcing elements. First, domestic financing must be the foundation, not a footnote. Although the process of increasing domestic spending for health will depend on a country’s starting point, all must pursue greater self-reliance. This requires tax reforms, budget prioritization, good governance, and public trust that government spending is delivering real benefits.

Debt relief is also critical. In heavily indebted economies, debt service has become a direct fiscal competitor to health spending, sometimes even exceeding total government allocations to health. Efforts to strengthen domestic financing must go hand in hand with tackling the structural constraints that continue to hinder it, and that requires removing the political obstacles to alleviating the debt burden.

None of this will be achieved in isolation. The scale of the challenge—from expanding fiscal space to rebuilding systems hollowed out by decades of aid dependence—points to the need for greater economic growth. Unlocking private investment and leveraging innovative approaches such as blended finance or debt-for-health swaps will be essential.

Second, official development assistance (ODA) and international financing must continue to provide support from the sidelines. The composition of overall development finance has shifted dramatically over the past decade, with bilateral flows falling by 6% and private creditor flows collapsing by 94% as multilateral finance rose by 124%.

Though it remains an integral part of the picture, ODA is under growing pressure. At an estimated $154 billion in 2026, total ODA is comparable to its 2015 level. Development assistance for health specifically is estimated to have stagnated at around its 2025 level of $38 billion. But even more important than funding cuts is how the remaining resources are used. External financing should fund only what cannot yet be covered domestically, and it should be concentrated where it is truly irreplaceable, namely in fragile settings and the lowest-income countries. Global resources and surge capacity to respond to humanitarian crises will remain necessary.

Nonetheless, most ODA should be strategic, force-multiplying, time-bound, and oriented toward accelerating a transition to national self-reliance. For many institutions and sovereign funders, this implies a radically different approach that cedes power and influence to regional and national institutions. Regional development banks, national public-health agencies, and pooled regional financing mechanisms can catalyze self-sufficiency.

Lastly, as principles of subsidiarity and sovereignty take center stage, the question of how to finance truly global collective public-health efforts comes to the fore. ODA was never designed for this role. It is politically contingent, fiscally unreliable, and poorly suited to financing functions whose value is universal.

Fortunately, middle-income countries' capacity to contribute to the global system has grown markedly, and alternative options do exist. These include various global public investment models, assessed contributions, direct non-ODA budget lines, and solidarity-based levies. The most promising approach is to distribute contributions according to capacity, while moving decisively away from governance models where the ability to pay confers the power to decide. This is a long-term ambition, but one that health and finance leaders must work toward now.

The financing architecture for global health is already being reshaped. What remains to be seen is whether it will happen by design or by default. There is a clear need for a reset, with domestic resources brought to center stage; development assistance playing a strategic, time-bound, and genuinely transitional role; and global functions financed through mechanisms built on common interests and benefits.

Realizing this vision will require complementary action at both the national and international levels. At the national level, governments must recognize the role of citizens' health in long-term development, resilience, and independence, and make the political choice to boost investment accordingly. At the same time, the international community, including sovereign partner countries and regional and global institutions, should move beyond the narrow, aid-based framing that has guided international health cooperation for decades and redirect political attention and non-aid resources toward shared priorities and mutually beneficial outcomes. Only then will global health financing truly reflect the world as it is now.

Additional co-authors include:

Mauricio Cárdenas, a former Minister of Finance and Public Credit of Colombia and Professor of Professional Practice in Global Leadership at Columbia University.

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11. Why Wealth Taxes Always Fail

Author: Cristina Enache **Published:** Aug 5, 2026 **Link:** View Original

MADRID—Around the world, wealth taxes have become a major topic of political debate. Proposals for a supranational wealth tax in the European Union, a billionaire tax in California, and the floating of similar measures in New York, France, and Denmark all reflect a growing conviction that extraordinary concentrations of wealth warrant extraordinary responses.

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Yet taxing wealth is hardly a new idea. Such policies have been well tested, and their track record has been disappointing. Among other things, the revenue typically falls short of projections; behavioral responses inevitably erode the tax base; economic costs usually extend beyond the wealthy; and persistent legal challenges add another layer of uncertainty. Wealth inequality may very well be a problem worth addressing, but wealth taxes are not the solution.

Since the 1960s, at least 13 OECD countries have implemented net wealth taxes, and only a handful have kept them in place. Most were abandoned not because of ideological shifts, but because policymakers recognized the consequences. Governments reversed course after discovering that they had unwittingly encouraged capital flight, depressed investment and long-term economic growth, and created high administrative and compliance costs, all while raising relatively little revenue. Today, the few OECD countries that still impose broad net wealth taxes—including Spain, Norway, and Switzerland—collect only modest revenues from them, typically ranging from about 0.2% to just over 1% of GDP.

These outcomes underscore a central tension. Wealth taxes are often politically attractive because they target the ultra-wealthy. Yet, in practice, their tax base is highly mobile and responsive to any changes in policy. As the ultra-wealthy move to avoid the levy, the revenue that policymakers sought to capture slips away. Such taxes can either target a narrow base, which leaves them more susceptible to leakage, or they can raise more revenue by taxing far more people than their political messaging suggests.

France’s “Solidarity tax on wealth” (“Impôt de solidarité sur la fortune,” or ISF) is instructive here. Before it was replaced with a more targeted real-estate wealth tax in 2018, the ISF generated negligible revenue—less than 0.2% of GDP—despite having undergone decades of refinement. More recent attempts to revive similar levies have likewise fallen short of expectations, in some cases generating only a fraction of projected revenues. High-net-worth individuals, like others, respond to incentives, and wealth taxes encourage them to respond in one way: leave.

Moreover, plenty of other jurisdictions will always be ready to welcome them. When Spain introduced its Solidarity Tax on Large Fortunes, Portugal extended its own tax regime for nonresidents, anticipating that more Spanish taxpayers would be looking for a change of jurisdiction. Likewise, Norway’s relatively small (0.1 percentage point) increase in its wealth-tax rate led to a noticeable outflow of wealthy taxpayers, mainly to Switzerland.

In France, estimates suggest that tens of thousands of millionaires left the country between 2000 and 2017, when the ISF was in force, contributing to substantial capital outflows. To justify the policy’s repeal, the finance minister at the time, Bruno Le Maire, explained that "It's essential we make these changes if we want to attract more foreign investment"—an implicit acknowledgment of net wealth taxes' negative effects.

A recent Hoover Institution analysis of California's proposed billionaire tax suggests that the state should expect a similar outcome. Once high earners relocate and their income-tax contributions vanish, the policy will result in a negative net fiscal impact—potentially costing the state around $25 billion. In many cases, just the discussion of a wealth tax will drive people and businesses away. As soon as it was announced that a wealth tax would be on the ballot in California, Google co-founders Sergey Brin and Larry Page started moving their holdings out of the Golden State.

Wealth-tax proponents may respond that revenue and growth are beside the point; the real objective is to restore social cohesion and rebuild trust in the political system. But this argument misrepresents the purpose of tax policy and lacks empirical support. There is little evidence that wealth taxes foster political harmony. On the contrary, research by economists like Daniel Waldenström shows that prosperity is built from the bottom up through growth, not by trying to pull the top down.

The evidence also suggests that wealth taxes harm the very demographic groups they are trying to help. Though they are often framed as affecting only the richest households, their economic effects extend much further by reducing capital formation, discouraging entrepreneurship, curtailing wage and employment growth, and ultimately weakening the overall economy. Capital, after all, is a key input in productivity and income growth. When it is taxed heavily, particularly at rates that may exceed actual returns, investment declines. (In some modeled scenarios, combined taxes on capital income and wealth can produce marginal effective tax rates exceeding 100% of real returns.)

A wealth tax is not simply another way to tax income, but rather an extra tax on assets that may produce little or no cash. This distinction matters because, for entrepreneurs and others whose wealth is tied up in illiquid assets, the tax bill can arrive long before the cash does. Such taxpayers are then forced to sell part of a business, property, or investment portfolio merely to satisfy the government's claim. Under such conditions, there is little incentive for new startups to scale up their activities.

Even seemingly low wealth taxes aimed at a small group can distort economic decisions, as in the case of California's proposed one-time 5% tax on billionaires' net worth. This levy may sound simple, but owing to its aggressive design and numerous drafting flaws, the headline rate should be viewed with skepticism.

Consider how the proposal would value corporate founders' stakes. Many tech CEOs hold "super-voting" shares that give them control far beyond their ownership percentage. DoorDash co-founder and CEO Tony Xu, for example, owns 2.6% of the company but controls 57.6% of its voting shares. Under a certain reading of the billionaire-tax proposal, that voting control would produce a $2.62 billion tax liability on an ownership stake worth $2.41 billion. If he had to sell shares to pay the tax, capital-gains taxes could raise the total liability to $4.17 billion—173% of the value of his DoorDash shares. While the drafters disavow this interpretation, it will be up to California voters to decide if the gamble is worth taking.

If they do, legal challenges will follow. Courts have already struck down wealth taxes in several countries where they have been tried. Germany's Federal Constitutional Court invalidated its wealth tax in 1995, and Dutch courts have ruled that aspects of wealth taxation are inconsistent with property-rights protections. In Spain, a long-awaited ruling on the wealth tax remains pending. Although a decision was expected in 2024, the Constitutional Court has yet to rule on whether the current framework, particularly in conjunction with the Solidarity Tax on Large Fortunes, respects core constitutional limits—namely, taxpayers' ability to pay and the prohibition of confiscatory taxation.

Some European policymakers already acknowledge how controversial and politically challenging wealth taxes can be. In October 2025, France's parliament rejected economist Gabriel Zucman's proposal for a 2% annual tax on fortunes above €100 million ($114 million), which would have targeted around 1,800 households in the hope of raising up to €20 billion. Conservative and centrist lawmakers rightly raised concerns that such a policy would trigger capital flight. More recently, Danish Prime Minister Mette Frederiksen scrapped her wealth-tax proposal this May to overcome a key obstacle in negotiations to form a new government.

All saw the writing on the wall. As former UK Chancellor of the Exchequer Denis Healey acknowledged in his memoirs: "We had committed ourselves to a wealth tax; but in five years I found it impossible to draft one which would yield enough revenue to be worth the administrative cost and political hassle."

In the case of the United States, wealth-tax proposals face yet another constraint: interstate mobility. Unlike national governments, states operate within an integrated economic union where individuals can relocate relatively easily. Subnational wealth taxes thus are especially vulnerable to base erosion. Even small outflows of high-income residents can significantly affect both wealth-tax revenues and other tax streams, such as income taxes.

In California, with interstate mobility and several high-profile individuals changing their residency status ahead of the potential implementation of the tax, the proposal has already weakened the state's tax system. Since California relies heavily on a narrow group of top earners for its personal-income-tax base, a wave of departures could erode much of the revenue a billionaire tax is meant to generate. And that is before factoring in the inevitable legal challenges.

California should have learned this lesson from the state of Washington's failed 2023 proposal for a 1% tax on tradable net worths above $250 million. While the state's economists projected that the measure would raise about $3.2 billion per year, 45% of that—$1.44 billion—would have been collected solely from Amazon founder Jeff Bezos. When Bezos relocated Florida, almost half the anticipated revenue vanished overnight.

These dynamics mirror the European experience. For obvious, predictable reasons, high rates applied to a small mobile base have tended to trigger relocation, legal challenges, and an overall negative impact on tax revenue. Thus, where wealth taxes have been tried, they have usually been abandoned. As policymakers in California, New York, France, and elsewhere revisit this old idea, they should heed the lessons of this history.

Policymakers should stop wasting public resources reviving failed ideas, especially ones that are more about political signaling than devising meaningful solutions. They should discard proposals that offer the appearance of concern for the middle class while delivering few real benefits. To restore public confidence in our political and economic system, we should instead focus on fostering growth and expanding opportunity—on building the bottom up, not tearing the top down.

12. Peace With Iran Won't Last Unless It Benefits Ordinary Iranians

Author: Djavad Salehi-Isfahani **Published:** Aug 5, 2026 **Link:** View Original

BLACKSBURG, VIRGINIA—The US-Israeli war against Iran has been marked by miscalculations, starting with the erroneous belief that decapitating the Islamic Republic's leadership would trigger the regime's collapse or force its "unconditional surrender." US President Donald Trump's assumption that Iran is ready to put the war behind it and move on to reconstruction is equally misguided.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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Iran sees its control over the Strait of Hormuz—and the attendant ability to close the waterway—as one of its few remaining deterrents, and therefore as a prerequisite for peace. After two military campaigns, both preceded by diplomatic engagement, Iran's leaders are unwilling to relinquish this source of leverage without credible guarantees that the United States and Israel will not attack again.

But lasting peace requires more than military deterrence. It requires a political and economic settlement whose benefits are broadly shared.

The aftermath of the Iran-Iraq War offers an important lesson. The 1988 ceasefire that ended the eight-year conflict left the regime facing the challenge of justifying the war's enormous sacrifices without the consolation of victory. The political focus thus shifted from the battlefield to the revolution's unfinished domestic agenda.

The ideological divisions laid bare by the ceasefire gradually receded under President Ali Akbar Hashemi Rafsanjani, whose government launched one of the most ambitious development programs in modern Iranian history. At its core was massive public investment in rural infrastructure, which brought roads, electrification, drinking water, schools, and clinics to long-neglected regions.

As a result, millions of Iranians were lifted out of poverty, and the middle class expanded from roughly 30% to 60% of the population (although it has since declined). At the same time, the regime reversed its ban on family planning, using its new rural health network to improve maternal and child health, expand access to contraception, and increase women's educational attainment. By 2000, women had closed the education gap with men.

By making reconstruction synonymous with social justice and national development, Rafsanjani reconciled his economic agenda with the revolutionary aspirations of those who saw the ceasefire with Iraq as an ideological compromise.

Rebuilding the country became the revolution's new mission, preserving the broad coalition that sustained the Islamic Republic during the war.

Today's peace efforts face a tougher challenge, but their political logic is remarkably similar. Mohammad Bagher Ghalibaf, speaker of the Iranian parliament and Iran's chief negotiator in the recent talks with the US, reportedly remarked that those who can rebuild the country "must take over the trench from the launcher boys," echoing Rafsanjani's postwar rhetoric.

Yet reconstruction is no longer viewed as an extension of the revolution's promise of economic justice. For many Iranians, market-oriented reforms, trade, and foreign investment have become associated with rent-seeking rather than shared prosperity. While public investment in roads, clinics, schools, and electrification aligned with the revolutionary ideal of social justice in 1988, no comparable development project today can unite the country's competing political factions.

The Iraq War also left millions of veterans and bereaved families who required long-term support, creating what UCLA's Kevan Harris has called the "martyrs' welfare state." Reconstruction gave wartime institutions a peacetime mission, with many Revolutionary Guard veterans finding productive roles through Khatam al-Anbiya Construction Headquarters, the engineering organization whose expansion Rafsanjani encouraged.

Whether today's leadership can devise an equally compelling political project remains an open question. Over the past three decades, the revolutionary pursuit of social justice has gradually shifted from public investment to income support, with cash transfers ultimately becoming the principal instrument of redistribution. In 2011, when they were first introduced to offset the removal of energy and bread subsidies, these transfers amounted to roughly 28% of median per capita household income. Fears of fueling inflation, however, prevented the government from increasing their nominal value, and by 2025 their real purchasing power dropped to a fraction of its original level.

The severe pressure on living standards caused by tighter US sanctions and the ongoing war has prompted the government to increase these cash transfers. But while they now provide a safety net against hunger, they are a far cry from the transformative reconstruction programs of the post-Iraq War era.

Providing a safety net for ordinary households is as much a political imperative as an economic one. In 2019, President Hassan Rouhani's government raised gasoline prices without offsetting the burden through cash transfers, triggering nationwide protests. After the Joint Comprehensive Plan of Action (JCPOA) entered into force, the government announced plans to purchase 200 aircraft from Boeing and Airbus. For many lower-income Iranians, these episodes reinforced the perception that politicians pursuing diplomacy and market-oriented reforms were more interested in rewarding elites than raising living standards.

Those experiences will inevitably shape how Iranians judge any peace agreement with the US. If the deal is seen as primarily benefiting exporters, investors, and urban professionals while asking lower-income households to shoulder the costs, it is unlikely to win strong public support.

So far, sanctions relief proposals have focused on allowing Iran to export more oil and regain access to frozen foreign assets. While these measures would strengthen the government's finances and help pay for imports, they would do little to generate broad-based employment.

Lifting financial sanctions, by contrast, would do far more to support job creation. By cutting off small and medium-size Iranian firms from global markets, they prevent millions of educated Iranians from taking advantage of a depreciated rial to sell goods and services abroad. With domestic demand weakened by years of sanctions and stagnation, access to foreign markets has become the primary avenue for expanding production.

Enabling Iranian firms to re-enter global markets would therefore increase demand for Iranian labor and boost household incomes through employment rather than transfers. More importantly, it would give millions of Iranians a direct stake in preserving peace.

While Trump would find these sanctions politically difficult to lift, any agreement that does not allow Iranian firms to regain access to international finance and trade will struggle to generate the jobs needed to achieve a sustainable peace. Ultimately, a deal that repeats the mistakes of the JCPOA may prove no more durable than its predecessor.

13. The Right Way to Regulate AI

Author: Gabriela Ramos **Published:** Aug 5, 2026 **Link:** View Original

PARIS—US President Donald Trump’s decision to put Treasury Secretary Scott Bessent in charge of implementing his recent executive order on AI oversight marks a significant shift in America’s approach to tech governance. Such a change was unlikely to come from the AI industry or sectoral regulators, both of which remain wedded to the familiar narrative that regulation stifles innovation and that the overriding policy priority is to beat China by developing the world’s most advanced AI models—including, ultimately, superintelligence.

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While Bessent may share the administration’s determination to defeat China, placing the Treasury Department at the center of AI oversight in the United States brings a welcome institutional perspective. Seen through the lenses of national security, cybersecurity, financial stability, and critical infrastructure, AI calls for a very different regulatory philosophy from the hands-off, free-market approach that has defined Trump’s AI policy until now.

Bessent’s latest proposal is the clearest sign of that shift. According to Bloomberg, the Trump administration could soon create an agency modeled on the Financial Industry Regulatory Authority (FINRA), an industry-funded self-regulatory organization that supervises broker-dealers under a framework authorized by Congress and overseen by the Securities and Exchange Commission.

The good news is that, for the first time, a US administration is seriously considering a dedicated body to protect the public interest by evaluating frontier AI models before they are released. The problem is that the proposed agency is modeled on FINRA, which is governed and funded by the very industry it regulates. It is hardly surprising, then, that Google DeepMind CEO Demis Hassabis has long advocated this approach.

Beyond the obvious conflict of interest, however, this model has a more fundamental flaw: it is not designed to detect systemic risk. That weakness was laid bare during the 2008 global financial crisis, which is estimated to have cost the US economy $22 trillion and prompted the Dodd-Frank reforms, including the creation of the Financial Stability Oversight Council.

A FINRA-style model is ill-suited to AI oversight. Instead, governments should build their own AI expertise, drawing on the public oversight mechanisms introduced after the emergence of generative AI. One such measure was former US President Joe Biden’s executive order requiring developers of frontier AI models to share the results of their safety tests with the federal government before release. That same year, UK Prime Minister Rishi Sunak launched the AI Safety Summit, commissioned the inaugural International AI Safety Report, and paved the way for the establishment of the AI Safety Institutes.

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Following the unveiling of Anthropic's Mythos—the most powerful frontier model to date—Trump issued his own executive order. But it falls short, leaving pre-release evaluation voluntary. That creates a profound imbalance: today's increasingly powerful AI systems require independent public institutions with the expertise and authority to oversee them, and Trump's executive order provides neither.

The same asymmetry is evident in how governments approach AI risks. They tend to treat AI primarily as a national-security challenge, while devoting far fewer resources to addressing its effects on employment, health care, education, and other aspects of everyday life. Even the European Union's AI Act, despite requiring assessments of such societal risks, places greater emphasis on cybersecurity.

One notable exception is the growing recognition of the risks AI poses to children online, which has led to legislative and judicial action in many countries, including the US. But its broader societal consequences—such as its effects on cognitive development, women's economic opportunities, and privacy—have yet to prompt a coherent strategic response.

These skewed priorities can be traced to the framing of AI development as a geopolitical race. But technological leadership means little if it comes at the expense of workers' health, social resilience, and people's ability to lead meaningful lives. A country that develops the world's most capable AI models while leaving its workforce deskilled and its public discourse polluted by misinformation has not won anything worth winning.

Addressing these societal challenges is not at odds with competitiveness. On the contrary, it is essential to both competitiveness and national security. Ultimately, what determines success in the age of AI is not just the capabilities of a country's frontier models, but also the strength of the institutions that protect its citizens' welfare: schools and universities, health and social care, and an independent judiciary.

Yet those are precisely the institutions struggling to keep pace with technological change. In education and labor markets, the OECD has found that AI's benefits are accruing unevenly, reinforcing existing inequalities: Students who are already advantaged are better positioned to benefit from AI-powered learning, while skilled workers adapt more easily than those with fewer qualifications.

Similar trends can be seen in health care, social welfare, and the justice system. As decision-making is delegated to AI at scale, mistakes become harder to challenge, especially for those least able to do so. An AI-hallucination database maintained by Damien Charlotin of HEC Paris has documented more than 1,800 cases worldwide in which judges identified fabricated AI-generated material, often submitted by self-represented litigants who could not afford legal counsel.

The implications for judicial integrity are far-reaching. Courts depend on the ability to verify facts and evidence, but AI is making that task increasingly difficult, with the burden falling disproportionately on those already at a disadvantage. In July, for example, India's Supreme Court set aside two tribunal rulings based on non-existent case law, warning that reliance on unverified AI-generated precedents "subverts the rule of law."

To be sure, many of AI's societal effects cannot be evaluated before deployment in the same way as cybersecurity risks. But that is all the more reason for continuous public oversight.

Instead of another industry-run agency, what the US and other countries need is the AI equivalent of the Financial Stability Oversight Council: a regulatory body charged with identifying systemic risks to education, health, labor markets, and the judiciary. We have already established such bodies to safeguard financial stability and national security. It is time to do the same for the institutions on which society depends.

14. Aid's Next Chapter

Author: Nancy Qian **Published:** Aug 5, 2026 **Link:** View Original

CHICAGO—Foreign aid is shrinking, but it is not disappearing. Even after the sharpest annual decline on record, OECD donors still provided $174.3 billion in assistance in 2025. This includes $29 billion from the United States, despite the slashing of 83% of US Agency for International Development (USAID) programs by Donald Trump's administration. Moreover, wars, epidemics, displacement, and geopolitical competition will ensure that rich countries continue to spend money abroad, whether for humanitarian reasons or in pursuit of their own interests.

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With the number of ongoing conflicts having reached a record high in 2025, and with 117.8 million people ending the year forcibly displaced, the question is not whether foreign aid will survive, but what sort of aid system will emerge from the current retrenchment. This is a moment not to discard decades of progress in learning how to deliver aid, but to reconsider priorities and demand greater accountability.

Aid has long drawn two basic complaints. The first is that it does not work: either the promised funds never reach the people who need them, or the money arrives but fails to have the intended impact. The second is that aid is spent on the wrong things: even when it works, it may not serve the donor country's interests or align with taxpayers' priorities.

The recent cuts are ostensibly justified by this second argument. Since aid is public money, the argument goes, it should be redirected toward national-security objectives, commercial interests, or other goals that command broad taxpayer support in donor countries. But while such debates are legitimate, poorly managed cuts risk worsening the problems that aid was supposed to address, and just when substantial progress has been made in improving aid delivery.

For most of its history, foreign aid focused on government-to-government transfers. Beginning in the early 2000s, however, the development community paid growing attention to the "last mile" between a donor's disbursements and the person the aid is ultimately meant to help. Just as vaccines do not administer themselves, cash-transfer programs need registries, payment systems, and grievance procedures. Maternal care depends on workers who know which women are pregnant, which families distrust clinics, and which roads vanish in heavy rains.

For aid to work, funding must be converted into actual goods and services for people in remote villages and refugee camps. Focusing on last-mile delivery can increase efficacy and therefore boost the appeal—the soft power—of the donor. But when delivery fails on the last mile, even well-intentioned aid can cause harm.

Food aid is a good example. Aid workers have long warned that without stronger local infrastructure for delivery, food often ends up in the hands of militias instead of hungry families. Research shows that US food aid, despite the humanitarian intent behind it, tends to increase the incidence and duration of civil conflict in recipient locations. The problem arises when logistics, monitoring, and local safeguards are treated as administrative add-ons, rather than as a central element of the intervention.

Through painstaking fieldwork, however, researchers and aid workers have made real progress in understanding how to improve the last-mile delivery of public services. In rural India, child vaccinations rose by 22% when immunization information was directed to villagers who had been identified by their neighbors as effective information spreaders, rather than to people chosen at random. In Uganda, community-health programs performed better when they recruited workers who exhibited strong prosocial motivations. When put on the front lines of public health, such workers conducted more prenatal checks and remained in their jobs longer.

These studies demonstrate that effective aid requires connecting foreign resources to local delivery systems, and building those systems where they do not yet exist. That means recruiting people with local knowledge, training them well, creating organizations with good incentives, and strengthening supply chains.

Last-mile aid matters not only because it vaccinates a child or supports a farmer today, but also because it supports the formation of critical capacities, including cohorts of trained workers, functioning supply chains, reliable information systems, and domestic institutions capable of carrying the work forward after foreign assistance ends. The benefits accrue both to recipient countries and to donor governments seeking durable alliances and greater stability globally or in their own neighborhood.

But delivery capacity takes longer to build than it does to lose. It resides less in buildings and equipment than in people, routines, and relationships. When a community health worker leaves, their replacement may need to rebuild trust from scratch, such as by learning which households need what kinds of attention. When an organization shuts down, its trained staff will scatter. When a data system or supply chain is abandoned, a program may stop functioning even if some funding remains.

That is why cuts or reallocations intended to serve donor interests can make the remaining aid less effective, especially when they are abrupt and poorly planned. Last year’s sweeping USAID cancellations illustrated this perfectly. They left workers unpaid, medicines unavailable, referral systems broken, and local partners stranded. They risked dismantling the monitoring and data systems needed to distinguish effective programs from ineffective ones.

Donors are entitled to change their priorities. But it is in everyone’s interest to preserve the machinery of delivery. Programs that no longer fit a donor’s objectives should be transferred, consolidated, or wound down in an orderly fashion, and not demolished overnight.

Foreign aid is not disappearing, but it remains to be seen whether our hard-won knowledge about effective aid delivery will survive its retrenchment. It would be a tragedy to throw this knowledge away, only to have to rebuild it later at a greater cost. Donor governments therefore face an important choice not between preserving every aid program and abandoning foreign assistance altogether, but between needless destruction and rebuilding the system around what has been learned. It is not too late.

15. Global Tax Reform Is the Key to a Fair AI Economy

Author: Zorka Milin **Published:** Aug 5, 2026 **Link:** View Original

WASHINGTON, DC—AI's rapid advance and the resulting popular backlash have lent new urgency to an old question: How can we promote equitable economic growth from technological innovation while mitigating the negative social and environmental consequences? Both domestically and globally, the answer starts with corporate tax policy.

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Anxieties about AI have less to do with any philosophical unease than with the societal effects. Financial gains are increasingly concentrated among a handful of firms and their shareholders, while the costs—from job displacement to rising energy prices—are borne by everyone else. In democratic societies, taxation is the primary mechanism for translating private gains into public benefits. When that mechanism breaks down, a backlash is inevitable.

Distributive justice is an equally salient concern at the global level. While the Global North is preoccupied with the significant public pushback against AI, the Global South faces a pressing need to mobilize domestic tax flows from multinational corporations, particularly tech firms, in the wake of drastic aid cuts. These problems stem from the same source: when companies shift profits out of the countries where they are generated to tax havens, that reduces public revenues for all governments.

The digitalization of the global economy has demonstrated the insufficiency of the international tax system. But the need to shatter the status quo has never been clearer. AI has supercharged the trend of taxable value being decoupled from physical corporate presence—long a prerequisite for a country's right to tax. Training data, compute, and intellectual property can be scattered across many jurisdictions, far from where workers or users are located, fueling debate about where value is created.

US-based multinational tech giants, some of which are poised to win big from the AI revolution, have created a playbook that companies like OpenAI and Anthropic could follow. Because their profits are mostly generated from intangible assets such as software, they can shift them to tax havens, manipulating decades-old norms to pay rock-bottom rates. It is no wonder that so many Big Tech firms have been embroiled in tax controversies.

For example, a 2013 US Senate investigation and a subsequent 2016 European Commission investigation revealed that Apple had shifted a large portion of its billions of dollars in global earnings to its Irish subsidiaries, which then paid a tax rate on Apple's European profits as low as 0.005%. The uproar culminated in European Union authorities ordering Apple to pay Ireland a staggering €13 billion ($15 billion) in back taxes and sparked a major international tax overhaul at the OECD.

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The inability to tax the profits of digital companies demands nothing less than an overhaul of the international tax system. Policymakers have attempted to arrest the global tax race to the bottom by introducing minimum taxes at both the national and global levels. The United States enacted a corporate alternative minimum tax in 2022, but it has since been diluted. The same is true of the global minimum corporate tax adopted under the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting, whose planned reallocation of taxing rights from headquarters to market countries has stalled.

Tax-justice groups have criticized the Apple court decision and the OECD reforms for failing to consider developing countries' interests. To create a fairer and more predictable system, African governments have proposed a Framework Convention on International Tax Cooperation under the auspices of the United Nations, with negotiations currently underway in New York.

The world ultimately needs a robust and durable multilateral tax framework (whether at the UN, the OECD, or elsewhere) to capture the value of AI-driven economic activity where it occurs. But a global minimum corporate tax and the reallocation of taxing rights, while both necessary, would not help governments tax AI companies in the near term, as many have yet to turn a taxable profit. That is why a growing number of jurisdictions are looking beyond taxes on net income and introducing digital-service taxes (DSTs) on gross revenues.

More than 20 countries are considering or have already implemented DSTs, prompting threats of retaliatory US tariffs. Moreover, different versions of such taxes are currently in effect or have been proposed in several US states. In all these cases, policymakers recognize that DSTs are a valuable release valve, be it globally or at the subnational level.

While not a long-term substitute for reforming an obsolete global tax system, DSTs are at least a stopgap. They provide proof of concept by normalizing the once-radical idea that taxing rights should align with where users are located, not just where companies choose to incorporate or play accounting games. DSTs may not be the final destination, but they are an important and necessary first step toward a fairer international tax order.

DSTs, like broader multilateral tax reforms, have come under fire from short-sighted politicians and experts who insist on defending the status quo. But these leaders fail to recognize that the status quo is fiscally and politically untenable. This was the case before AI arrived but has come into sharper focus as the technology spreads.

If AI-driven profits are subject to the same asymmetric global tax architecture that has allowed digital activities to be undertaxed, there is a good chance that Big Tech's outsize power will only grow. There is also the risk of resistance to AI hardening into a legitimacy crisis, which means that society may miss out on its potential benefits. Corporate tax policies are the battleground where public trust in this new technology, and our governing institutions, will be won or lost.

16. Fauci's Modern Pillory

Author: Ian Buruma **Published:** Aug 6, 2026 **Link:** View Original

NEW YORK—Anthony Fauci has had a long and distinguished career as an immunologist. But you wouldn't know that from his recent hearing before the US Senate Committee on Homeland Security and Governmental Affairs. Republican senators hurled gratuitous attacks on the former director of the US National Institute of Allergy and Infectious Diseases (1984–2022) and chief medical adviser to the President (2021–22), who was instrumental in the development of HIV/AIDS treatments and led America's response to the COVID-19 pandemic.

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This combative session mainly concerned the origins of the coronavirus. Fauci believes that the virus jumped from animals to humans. But his critics—notably, Republican Senator Rand Paul, a former ophthalmologist—maintain that it leaked from the Wuhan Institute of Virology in China, whose experimental research was partly funded by US National Institutes of Health grants, channeled through an intermediary nonprofit. Each side has accused the other of lying.

Paul, as part of his broader investigation, released a tranche of Fauci's diary entries from this period. They reveal a certain pleasure in being a national celebrity. But that is only human. And since Fauci was dealing with a virus about which little was initially known, he may have given advice that later had to be revised. That is hardly his fault—it is how science works.

Perhaps Fauci was sometimes a little too sure of himself. Maybe he was a bit vain. But nothing can excuse the behavior of Republicans at Fauci's hearing. Paul and others jeered, sneered, and shouted at the 85-year-old doctor. Senator Josh Hawley of Missouri called Fauci "a megalomaniac and a liar" before accusing him of profiting from his public service.

Senator Rick Scott of Florida added his voice to the verbal lynching: "You forced loved ones to die alone, destroyed the federal government's credibility when it comes to public health." And in his final remarks, Paul speculated that Fauci must be wondering "late at night" whether his actions led to "the largest man-made plague in history" and whether "his experiments" caused millions of deaths.

Fauci was well advised not to fall into the trap of making incriminating remarks, so the volley of insults and leading questions was met with the same statement, repeated more than 100 times: "On the advice of counsel, I respectfully decline to answer based upon my rights under the Fifth Amendment to the Constitution." Fauci even invoked his right against self-incrimination when asked the color of his tie.

To be sure, congressional oversight is an essential tool of government, as Fauci acknowledged in his opening statement. But his interlocutors' raw hostility was extraordinary. This was not just political theater; it was a pillory. While Fauci was unwise to write his personal diary on a government computer, holding his private thoughts up for ridicule was an attempt at public humiliation.

This raises the question of why the science behind vaccines, as well as climate change, elicits such a frothing rage among right-wing populists all over the world. There is nothing inherently left-wing about inoculating people against contagious diseases or taking measures to stop heat waves from destroying more lives. True, some people object to vaccines for religious reasons. But perhaps the problem is less about science and more about class.

Populists don't hate science as much as they hate scientists—the people of higher learning who claim to know what is best for us based on their superior knowledge. This is an old issue. Since ancient times, sorcerers, witch doctors, village chiefs, mullahs, rabbis, and priests have reacted strongly when people who sought truth elsewhere challenged their authority. Such ideological clashes have almost always been about authority: who gets the university chairs, prizes, social status, and political power.

Starting in the 19th century, educational attainment increasingly served as a source of status and power, with family background becoming less salient. We were taught to trust the expertise of doctors, professors, and lawyers. Liberal democracies are governed by elected politicians, yet they rely on specialists for advice on issues they know little about. Hence the numerous expert bodies that guide lawmakers in their decision-making. How many politicians, after all, have any proficiency in climate science or disease control?

But now, we live in an age of angry reaction against the authority of experts. US President Donald Trump famously doesn't read. He boasts about trusting his instincts over his intellect. Many people voted for him not in spite of his obvious intellectual deficiencies, but because of them. He hates and distrusts the experts as much as his followers do.

Attacking universities—whose faculty, it must be admitted, have at times behaved with the typical arrogance of privileged elites—fits into this class war. As does the concerted effort to undermine or banish the experts who helped elected officials govern effectively. The MAGA administration's assault on the so-called "deep state" is really an effort to destroy government agencies with vital institutional knowledge and know-how.

Fauci has the misfortune of being today's hated class enemy because he told Americans to wear masks and get jabs during a destructive pandemic, even as Trump was suggesting that people could inject disinfectant into their bodies. That is why Republican senators hauled Fauci in for a hearing. They couldn't wait to pelt him—and, by association, any public-facing expert—with rotten eggs in front of the cameras.

17. Can Progressives Deliver Economic Growth?

Author: Rick McGahey **Published:** Aug 6, 2026 **Link:** View Original

TEMPE—When New York City Mayor Zohran Mamdani named Anthony Shorris and Lina Khan to lead the city's Economic Development Corporation (EDC)—as president and board chair, respectively—he did more than fill two important vacancies in his administration. He also underscored his recognition of a key challenge with which the left has long grappled: how to deliver not only economic redistribution but also economic growth.

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As is customary for the left, Mamdani's winning electoral message focused on the redistribution side of the equation: improving affordability, advocating a rent freeze, providing free use of public buses, establishing municipal grocery stores, pursuing racial equity, delivering universal childcare, and taxing the wealthiest households. Since assuming office at the beginning of this year, he has made notable progress on many of these promises, while strengthening daily governance and the delivery of basic services, reducing bureaucracy, and promoting housing construction.

Mamdani's initial successes are all the more striking because, like other American mayors, he faces structural limits on his policies, including a state government that circumscribes the city's scope of action on taxes and regulation, and a bond market skeptical of redistribution. Moreover, New York City is the center of a fractured metropolitan economic region in which the city drives growth—and covers the costs and problems this process creates—while politically independent suburbs capture much of the wealth.

Compounding the challenge, US President Donald Trump's administration is particularly hostile toward Mamdani, who has become a test case for the kind of people-oriented progressive agenda that Republicans (and many Democrats) decry as incompatible with growth and innovation. But Mamdani is not alone in facing such criticism, nor is this exclusively an American issue. Across Europe, leaders promising economic justice have often struggled to convince the public that they can deliver dynamism.

This has been the case for Germany's Social Democrats, whose redistribution-oriented proposals have been inadequate to prevent their polling numbers from sinking into the single digits in some states. It has also been true for France's left-wing alliance, which largely touts a redistribution-focused program, including a higher minimum wage, price controls, and a wealth tax. In 2024, more voters reported trusting Marine Le Pen's far-right party on the economy than the left-wing alliance or President Emmanuel Macron's centrist alliance.

Spain's leftist governing alliance has seemingly flipped the script, delivering some economic growth. But its approval ratings are falling, partly because of the lack of progress on another key element of the economic-justice agenda: housing affordability.

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These political difficulties point to a fundamental challenge. At a time of historic inequality and inadequate public investment, redistribution is essential; but no jurisdiction can tax and regulate its way to affordability. A growth-enhancing agenda that generates good jobs and productive capacity is also crucial.

Harvard's Dani Rodrik offers a way forward. Under his "productivism" framework, governments build the capacity to create good jobs at scale, not in manufacturing—a sector that evokes much nostalgia, but has limited potential for employment growth—but in services like health care, logistics, hospitality, and child and elder care. This approach is consistent with progressivism, as it "puts less faith in markets" and "is suspicious of large corporations," while emphasizing "production and investment over finance, and revitalizing local communities over globalization."

Elements of this framework are apparent in the EDC's agenda for New York, which includes the use of "city-owned land, financing, and investment" to "create good jobs" and "support small businesses." And Mamdani's selections appear well-suited to implement it. Shorris is a veteran of New York City government—having served as executive director of the Port Authority and first deputy mayor under Bill de Blasio—who is respected by the city's business community.

In contrast, Khan, who chaired the Federal Trade Commission under President Joe Biden, built her reputation on challenging the concentration of corporate power and using government to defend workers, small businesses, and consumers from it. Beyond the EDC, New York's first-ever deputy mayor for economic justice, former Acting Secretary of Labor Julie Su, will defend workers' rights, such as by supporting unionization, promoting worker training, and improving job quality.

But protecting workers and supporting small businesses will not deliver good jobs at scale. Mamdani's administration must also find ways to work with the large firms in the industries that anchor New York City's economy and fund its budget, namely finance, health, logistics, and technology. If Mamdani cannot show progress on this front soon, he will give the left's critics more fuel in the run-up to November's midterm elections.

The experience of Britain's new Labour prime minister, Andy Burnham, shows just how delicate the balancing act will be. As mayor of Greater Manchester, Burnham helped lay the groundwork for that region to become Britain's fastest-growing, including by investing in areas like education and public transport. These efforts were bolstered by the devolution of some spending and decision-making powers to regional authorities.

As prime minister, Burnham has called for more "flexibility" within fiscal rules to finance investments like the "biggest council house-building program since the postwar period," alongside increased defense spending. But the bond market reacted negatively to Burnham's plans, fearing a sharp increase in borrowing. Higher interest rates could constrain Burnham's program and the UK's overall growth potential.

Burnham also wants to take devolution further. Mariana Mazzucato of University College London believes that this can play a powerful role in driving inclusive growth, as long as it is pursued in the context of a national industrial strategy. But the political pressure to deliver quick victories could undercut Burnham's ability to satisfy various stakeholders—voters, the bond market, and businesses considering investment. The same goes for Mamdani.

Nonetheless, Mamdani has shown that he is not afraid to tackle hard problems. Though delivering growth alongside equity might be among the thorniest economic-policy challenges today, his appointment of Shorris and Khan, with their contrasting reputations and experiences, suggests that he understands it. With Mamdani's mayoralty having emerged as a kind of bellwether for progressive politics, the entire Atlantic left should be rooting for him.

18. Colombia's New Right-Wing Government Faces an Uphill Battle

Author: José Antonio Ocampo **Published:** Aug 6, 2026 **Link:** View Original

NEW YORK—This week, Colombia will undergo one of the most consequential political transitions in its recent history as right-wing President-elect Abelardo de la Espriella succeeds left-wing President Gustavo Petro. Like several other Latin American countries that have shifted to the right, Colombia is likely to face deepening polarization, suggesting that a strong opposition, possibly led by Petro himself, will emerge.

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The new administration will inherit a mixed economic legacy. On the social front, multidimensional poverty has continued to decline, a trend that dates back to the 1991 constitution and has been supported by sustained growth in social spending. But these gains reflect improved access to education, health care, public utilities, and housing, rather than meaningful improvements in income. Meanwhile, the rural-urban gap has widened, and the health-care system faces a deep crisis.

Similarly, while unemployment has declined significantly under the Petro administration, much of this improvement appears to reflect the expansion of public-sector employment. Progress could thus be reversed by the necessary fiscal adjustment the new government is expected to undertake. Labor-market informality remains extremely high, affecting nearly half of urban workers and more than four-fifths of those in rural areas.

At the same time, the new administration's 7% growth target seems overly ambitious. A more realistic objective—perhaps around 4%—could be achieved through a recovery in sectors that performed poorly under Petro, such as oil, mining, and construction. Yet the top priority is to stimulate investment, which has hovered around 17% of GDP in recent years, compared with roughly 22% during the 2010s.

Another priority will be sustaining the growth of non-traditional exports, which in Colombia refers to exports other than oil, coal, and coffee. The success of this effort will depend on whether the central bank's recently approved interventions in the foreign-exchange market can slow the peso's sharp appreciation. US President Donald Trump's tariffs are also poised to weigh on export growth, although their effects could be partly offset by economic recovery in Venezuela, formerly Colombia's second-largest trading partner.

Plenty more challenges are clouding the near-term outlook. El Niño could disrupt agricultural production while increasing the risk of electricity rationing. Colombia's heavy reliance on hydroelectric power, limited generation capacity (which expanded only slowly under Petro), and a growing natural-gas shortage leave the country particularly vulnerable. High interest rates, maintained by the central bank to contain rising inflation, could also slow economic activity.

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Looming over all these challenges is the severe fiscal crisis the new government will inherit. Since 2024, fiscal deficits have exceeded 6% of GDP—among the highest in Latin America. Public debt rose above 66% of GDP in 2025, one of the highest levels in Colombia's history.

Much will depend on the scale of the budget cuts the government actually implements. De la Espriella aims to reduce public spending by roughly 3% of GDP through a "shock plan" that involves eliminating a significant number of public-sector jobs. But this target will be hard to achieve given the limited flexibility of many spending categories and the need for additional funding for health care and other key sectors.

A major tax reform may ultimately prove necessary, although de la Espriella's team has indicated that it is not an immediate priority. On the positive side, interest rates on both domestic and external public debt have declined since the election, reflecting improved market confidence. Whether this trend continues will hinge on the credibility of the new government's fiscal policies.

There are, of course, other major concerns. National security was the central issue in de la Espriella's campaign, and delivering on his pledge to dismantle illegal armed groups may require additional spending. Equally important is rebuilding the public sector's administrative capacity, particularly in health care, where the erosion has been most severe.

Lastly, there is the question of foreign policy. One of the new government's first tests will be how closely it aligns itself with the Trump administration. Some of de la Espriella's proposals, including his plan to limit Colombia's participation in the United Nations and other multilateral institutions and sever diplomatic ties with Cuba, have already provoked strong domestic opposition. Whether these policies will ultimately be adopted, however, remains to be seen.

Taken together, these challenges leave the incoming administration with a daunting agenda. For Colombia's rightward shift to bear fruit, the new government will need to restore fiscal stability and boost investment without sacrificing the social gains of the past few decades.

19. Cheaper Mortgages Won't Solve the US Housing Crisis

Author: Ross Levine **Published:** Aug 6, 2026 **Link:** View Original

STANFORD—For half a century, US policymakers have mistaken mortgage policy for housing policy. Rather than making homes more affordable, their efforts to make mortgages cheaper have mostly produced more borrowing.

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That paradox has been at the heart of the biggest housing debate on Capitol Hill in decades. The new bipartisan 21st Century ROAD to Housing Act, enacted on July 11, reflects two competing explanations for why so many families cannot afford to buy a home.

One emphasizes supply: the United States does not build enough homes where people want to live. Zoning restrictions, permitting delays, and a thicket of other regulations make new construction slow, costly, or—in some places—virtually impossible. The other explanation focuses on market-power: large institutional investors have acquired too many single-family homes, outbidding first-time buyers and turning would-be homeowners into tenants.

Both concerns deserve attention. In some communities, corporate landlords have indeed become highly visible buyers whose scale can reshape neighborhoods and rental markets. Congress was right to ask whether families and large investment funds compete on a level playing field.

But the two diagnoses are not interchangeable. Restricting who can buy a house may change who owns it; it does not create another house. Imagine 200 families bidding for 100 homes. Remove several investment funds from the bidding, and some families may have a better chance. But there are still only 100 homes. Unless supply grows, prices will remain under pressure, and another group of well-financed buyers can take their place.

The ROAD to Housing Act quietly recognizes this reality. Its most consequential provisions are not the restrictions on institutional buyers but the measures designed to make building easier by streamlining reviews, encouraging manufactured housing (prefabricated homes that can be mass produced), and rewarding communities that build more homes.

Together, these provisions mark a significant shift. For decades, policymakers assumed that expanding mortgage credit was the path to broader homeownership. The historical record suggests otherwise. Through Fannie Mae, Freddie Mac, and other federal programs, mortgage credit has become abundant, standardized, and widely available, even during financial crises. Yet the homeownership rate remains close to where it stood in the late 1970s. What has risen instead are house prices and mortgage balances.

In a new study, we examine five decades of data and research and find a remarkably consistent pattern: expanding mortgage credit increases borrowing and drives up house prices far more than it boosts homeownership. The effects are most pronounced where zoning and permitting prevent builders from responding to higher demand by building more homes.

The reason is simple. Give every bidder a larger line of credit while constraining the number of homes, and much of the subsidy goes to the seller. As a result, the federal subsidy becomes embedded in the price of the land, leaving buyers with cheaper mortgages but more expensive homes.

None of this means the federal mortgage system has no value. Fannie and Freddie provide liquidity, support a national market for 30-year fixed-rate mortgages, and keep credit flowing when private markets seize up. Those are important public benefits. The mistake is to confuse a well-functioning mortgage market with an affordable housing market. One determines how homes are financed, while the other depends on how many homes are built, where they are built, and what they cost.

That distinction matters because American housing policy is now pulling in opposite directions. While Congress has begun to recognize affordability as a supply issue, mortgage policy continues to treat it as a demand problem.

US President Donald Trump’s directive ordering Fannie and Freddie to purchase an additional $200 billion of mortgage-backed securities is a case in point. Lower mortgage rates may reduce monthly payments, but in supply-constrained markets they also drive up house prices. In other words, buyers borrow more without reducing the cost of buying a home.

The same logic applies to proposals to privatize Fannie and Freddie. Returning them to private ownership would make sense only if the federal government first defines the scope of its guarantee, requires the companies to hold enough private capital to absorb losses before taxpayers do, and establishes who will control them once they are privately owned. Otherwise, privatization would amount to little more than the old arrangement under a new label: shareholders collect the gains, politicians direct the companies, and taxpayers absorb the losses when the market turns. That was not a genuinely private market before 2008, and relisting Fannie and Freddie would not make it one now.

The debate over institutional investors therefore risks becoming a distraction. It offers a visible villain while diverting attention from the harder task of reforming a system that has subsidized nearly every bidder for decades, even as local governments limited the supply of homes.

Encouragingly, Congress has begun to address that imbalance. The new law combines competing policy priorities because building a bipartisan coalition required both: Democrats wanted greater protection for families and tenants, while Republicans wanted regulatory relief, community-bank provisions, and fewer barriers to construction. The compromise may endure precisely because neither side got to define the crisis on its own.

The underlying economics, however, remain unchanged. Market power can worsen outcomes in particular places, but only a larger housing supply can make homes more affordable and spare families from ever more expensive bidding wars.

For decades, American policymakers have focused on helping families buy the homes the country already has. Finally, they are beginning to focus on building the homes American families need. The logical next step is not another housing program but greater restraint in mortgage policy. Subsidizing every bidder while restricting construction cannot make housing more affordable—it simply changes who gets the keys.

20. Democracy, Autocracy, or Something Else?

Author: Helmut K. Anheier **Published:** Aug 7, 2026 **Link:** View Original

BERLIN—This year has been marked by striking political upheavals. For supporters of liberal democracy, the most encouraging news came in April, when Hungarian voters brought an end to former Prime Minister Viktor Orbán’s 16-year project of building an authoritarian model that he dubbed “illiberal democracy.” Defying the odds and the Fidesz party’s manipulation of public and private media, Hungarians handed Péter Magyar’s Tisza party a landslide victory, making him prime minister.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

Orbán had turned Hungary into a model for aspiring autocrats across the European Union and the West. Although Hungary was not the first European country to reject authoritarian populism—Poland did so in 2023 by voting the Law and Justice (PiS) party out of power—Orbán’s defeat showed that even Europe’s most entrenched illiberal regime could be voted out of office.

A month later, however, the summit between US President Donald Trump and Chinese President Xi Jinping offered a starkly different vision of global politics. At its core was what Chinese officials called a “constructive China-US relationship of strategic stability,” based on pragmatic cooperation on trade, agriculture, and energy.

During the summit, Xi reportedly urged Trump to avoid the so-called Thucydides Trap—conflict resulting from an incumbent hegemon’s fear of a rising challenger—and work together more closely. Viewed alongside Xi’s continued consolidation of power and Trump’s increasingly autocratic agenda, the meeting raised the prospect of a new authoritarian era, driven not by rogue states like Russia but by the world’s two superpowers.

Which of these developments will define the future of global politics? The answer is far from clear. But the contrast between them reflects a deeper tension between two competing governance models identified by the 2026 Berggruen Governance Index (BGI).

In its fourth edition, the BGI assesses governance across 145 countries between 2000 and 2023. Rather than reducing governance to a single indicator, the index focuses on three interconnected dimensions: government quality (state capacity), democratic quality (accountability), and quality of life (the provision of public goods). Together, these form what the BGI calls the “Governance Triangle.”

Crucially, the BGI’s headline findings paint a more complex picture than familiar narratives of governance resurgence, consolidation, or decline would suggest. It shows that, rather than converging toward a single model, countries consistently cluster into four distinct “governance worlds.”

These classifications represent recurring empirical patterns. Year after year, the statistical analysis identifies the same four groups, with remarkably little movement between them. Between 2000 and 2023, more than 80% of countries remained in the same governance world.

This stability is striking given the shocks of the past quarter-century: the 2008 global financial crisis, the COVID-19 pandemic, numerous wars and civil conflicts, and the prospect of a democratic recession. Yet despite these upheavals, the BGI finds that the underlying patterns of domestic governance have been far more resilient than news headlines imply.

What are governance worlds, and what distinguishes them? The first comprises 39 consolidated democratic states that score highly across all three dimensions of governance. Most of Western Europe—along with the United States, Japan, South Korea, Uruguay, and Costa Rica—belongs to this group. While many of these countries struggle with policy inertia and political dysfunction, they remain better equipped to absorb shocks and adapt to future challenges.

Next are the capacity-constrained states, a group of 45 countries with reasonably strong democratic accountability and governments that struggle to deliver a high quality of life. India, Indonesia, the Philippines, and much of Latin America fall into this category. Although these countries are more vulnerable, they can still advance if democratic institutions and state capacity develop together over time. Otherwise, they risk becoming trapped in a vicious cycle in which weaknesses in one dimension erase gains in another.

The third group encompasses 29 authoritarian and hybrid states, including China, Russia, the Gulf countries, Belarus, and Vietnam. Their quality of life is comparable to that of capacity-constrained democracies, albeit with far less democratic accountability. Pervasive corruption, however, continues to undermine state capacity, casting doubt on the long-term sustainability of these gains.

Lastly, the BGI identifies 32 low-capacity developing states, including Haiti, Pakistan, Papua New Guinea, and much of Sub-Saharan Africa. These countries rank lowest across every dimension of governance. They are not only the most exposed to future crises but also the least equipped to respond, lacking the necessary institutional resilience.

Taken together, the BGI's findings suggest that these four groups will drift further apart in their ability to confront future crises. Consolidated democracies, at least in principle, will be able to respond to climate change, pandemics, and economic upheaval. Most other countries will struggle or fail to meet the same challenges.

The past quarter-century offers little reason to think otherwise. During that period, only one country, Jamaica, joined the consolidated democratic world, while five left it: Argentina, Botswana, Hungary, Poland, and Hong Kong. The BGI finds that it is far harder to enter this group than to leave. By contrast, once countries enter the authoritarian and hybrid group, they are much less likely to escape.

In other words, the world is not converging on liberal democracy, as the "end of history" optimists of the post-Cold War era assumed. Nor is it being swept by an authoritarian tide. Instead, the defining feature of global governance today is stasis.

Hungary stands out as one of the few countries to move between governance worlds by sliding backward, though the BGI data end in 2023 and therefore do not capture the likely democratizing effects of Magyar's election victory.

In 2000, Hungary firmly belonged to the group of consolidated democratic states. Its democratic-accountability score stood at 85 (on a scale of 0–100), reflecting the hard-won gains of its post-communist transition. By 2023, however, that score had fallen to 60. The 25-point decline reflected Orbán's systematic dismantling of institutional checks, contributing to a 28-point drop in Hungary's media and civil-society score and an 18-point fall in state capacity.

The country's democratic backsliding quickly became an international reference point, inspiring populist authoritarians around the world and encouraging neighboring countries like Slovakia to follow a similar path. Yet even as its institutions weakened, Hungarians' quality of life remained largely intact, sustained by debt-financed public spending and substantial EU subsidies. This illustrates one of the BGI's main findings: high-quality public goods do not necessarily require sound democratic governance.

Hungary's experience also demonstrates that democratic backsliding is not irreversible. While democracy is neither resurgent nor inevitably self-correcting, the world is not moving inexorably toward less political freedom and accountability.

China provides a powerful counterexample. Its democratic-accountability score fell from an already low 29 in 2000 to just 17 in 2023. Institutional, electoral, and societal accountability all weakened, and restrictions on civil society intensified. Despite its reputation for administrative efficiency, its state capacity stood at just 45 in 2023, below the global average of 49. Meanwhile, its public-goods score rose from 61 to 77, driven by massive public investment that lifted its infrastructure score from 73 to 97.

China thus achieved substantial improvements in living standards while suppressing democratic freedoms and without exceptional state capacity. Decades of export-led growth and rapid industrialization generated the resources needed to invest heavily in infrastructure, education, and other public goods. Rising living standards, in turn, strengthened the political legitimacy of one-party rule.

But the authoritarian bargain is a worse bet than its apparent successes suggest. Autocratic stability is a myth; authoritarian and hybrid countries suffer from deep structural weaknesses. Among the four governance worlds, only the low-capacity developing states are more fragile and less peaceful.

Autocracy often fails to produce stable or resilient states. Countries in this cluster are the highest per-capita carbon emitters, even as the global economy shifts toward decarbonization. They also have the lowest levels of female political empowerment, leaving much of their human potential untapped. Compounding these weaknesses, many remain heavily dependent on resource rents instead of building knowledge-intensive industries.

While some authoritarian and hybrid states have become much more effective at providing public goods, only Singapore has translated those advances into broader governance improvements. By contrast, eight of the ten countries with the largest declines in governance performance since 2000 belong to this cluster.

Nor has the authoritarian world expanded much, despite repeated predictions that it would. And the few countries that have joined it were not fully democratic to begin with. This may be because many governments recognize the authoritarian model's inherent weaknesses. It often buys today's public goods by mortgaging tomorrow's capacity, relying on state-directed investment rather than broad-based, inclusive institutions.

In fact, the impressive development gains achieved by authoritarian countries were possible precisely because they removed many of the institutional constraints—independent courts, a free press, and a vibrant civil society—that can slow decision-making but also enable sustained governance improvements. What may look like an impediment to rapid growth is often the very system of democratic checks and balances that enables societies to learn from and correct their mistakes.

China is a case in point. Its stability, much like Russia's before 2022, ultimately depends on sustained economic growth. If that growth falters, the regime will increasingly have to rely on repression, a strategy that seldom produces enduring stability.

Trump's second term demonstrates how profoundly a country can change without leaving its governance world. US democratic accountability stood at 91 in 2000 and peaked at 96 in 2013, midway through Barack Obama's presidency. Yet early hopes of institutional renewal soon gave way to partisan gridlock and self-imposed fiscal constraints.

Trump's first election in 2016 accelerated that decline. Democratic accountability fell to 85 by 2020 as electoral integrity and societal accountability weakened amid intense political polarization during his first term. Under Joe Biden, the score recovered modestly to 89, but Trump's second presidency is likely to reverse those gains once new data become available. The Supreme Court's recent decision to roll back key provisions of the Voting Rights Act, together with earlier rulings that have expanded presidential power by overturning long-standing precedents, suggests that democratic accountability will deteriorate further.

The decline in state capacity is even more striking. Beginning at 80 in 2000, America's score fell to 67 by 2019 before rising to 74 in 2023, still well below many advanced democracies in Western Europe. That decline largely reflects years of underinvestment in core government functions which steadily weakened the authorities' ability to coordinate policy and deliver public services.

Early evidence suggests that the deterioration has accelerated under Trump's second administration. Most notably, the Department of Government Efficiency (DOGE), initially led by Elon Musk, slashed funding for public health and scientific research and rolled back numerous environmental rules. At the same time, Trump has systematically dismantled institutional constraints on executive power, securing virtual immunity from the Internal Revenue Service for himself, his family, and the Trump Organization.

As in many other countries, America's public-goods score proved more resilient, rising from 87 to 90. One reason is that the private sector plays a much larger role in providing health care, education, and other services than it does in most other advanced democracies, making their performance less dependent on the federal government. American science also continues to lead the world, despite Trump's repeated attempts to starve it of federal funding. But that resilience is financed by public debt of about 120% of GDP, a burden that Trump's tax cuts and deficit spending will almost certainly deepen.

But rich democracies rarely collapse overnight. Their nemesis is complacency, which sustains policy neglect until the damage to institutions becomes impossible to ignore. Although the transformation of the federal government under Trump has been rapid and dramatic, it builds on a long decline in state capacity and democratic accountability that the BGI identified years ago, when it described the US as a "falling star."

The US is hardly alone. Germany, for example, underinvested in infrastructure during Angela Merkel's 16-year chancellorship, leaving the country ill-prepared for the geopolitical and economic shocks of the pandemic, Russia's invasion of Ukraine, and intensifying competition from China's manufacturing sector. The United Kingdom, meanwhile, is paying the price for years of austerity, widening regional inequalities, and Brexit. Although each country's circumstances are distinct, the underlying pattern is strikingly similar: complacency and policy neglect erode governance long before a crisis forces a reckoning.

The absence of a global democratic or authoritarian wave does not mean governance has stood still. The four governance worlds may be remarkably sticky, but they are not frozen.

To be sure, the consolidated democratic world has proved extraordinarily difficult to enter. As Jamaica's experience shows, entry requires bold institutional reforms and painstaking efforts to restore fiscal stability. At the other end of the spectrum, no country has slipped into the low-capacity developing cluster, suggesting that falling to the bottom of the governance hierarchy is almost as rare as rising to the top.

Most transitions occurred between the capacity-constrained and the authoritarian and hybrid clusters. Between 2000 and 2023, six countries—El Salvador, Iran, Nicaragua, Russia, Turkey, and Venezuela—crossed from the former to the latter, while four moved in the opposite direction: Iraq, Kyrgyzstan, Malaysia, and Tunisia.

These two groups are home to much of the world’s population. Capacity-constrained countries like Brazil, India, Indonesia, Mexico, and South Africa vary widely in terms of history, institutions, and development trajectories, but they face the same structural constraint: they lack the state capacity needed to translate relatively high levels of democratic accountability into effective governance. As a result, their citizens have a lower quality of life than their institutions would be expected to deliver.

When democratic governments consistently fail to improve people’s lives, authoritarianism becomes more appealing. Russia, Turkey, and Venezuela are prime examples: each entered the 21st century with meaningful, if imperfect, democratic accountability before gradually abandoning it.

But that authoritarian bargain has largely failed. Capacity-constrained countries that shifted into the authoritarian and hybrid group achieved only modest improvements in quality of life while sacrificing democratic accountability and, over time, state capacity itself.

The middle of the governance spectrum is also where democratic self-correction is most likely. Brazil’s recent political history helps explain why. The country entered the 2010s with a relatively strong democratic-accountability score of 92, up from 88 in 2000. But the Operation Car Wash corruption scandal shattered public trust and propelled the far-right Jair Bolsonaro to victory in the 2018 presidential election.

Bolsonaro’s presidency dealt a severe blow to Brazilian governance. Democratic accountability fell sharply, with the country’s score dropping to 77 by 2019 as checks and balances came under strain. Environmental standards were also rolled back, driving the environmental public-goods score down to 51 in 2020.

President Luiz Inácio Lula da Silva’s return to office in 2023 reversed both trends. Democratic accountability recovered to 84, and the environmental public-goods score reached new highs. While Brazil remains in the capacity-constrained world, its experience shows that democratic decline is not a one-way street. Populations are not always willing to accept a slide toward authoritarianism. When the authoritarian bargain fails to deliver, they can choose to restore accountability and move back toward the consolidated democratic world.

The BGI offers another reason for cautious optimism: a handful of “balanced governance performers” (BGPs) improved simultaneously on all three measures represented by the Governance Triangle. This group includes three capacity-constrained states (Armenia, Moldova, and Malaysia) and three low-capacity developing states (The Gambia, Angola, and Sierra Leone).

What sets these six countries apart is not the extent of their gains but the order in which they occurred. Among the capacity-constrained BGPs, democratic accountability increased by 11–16 points between 2000 and 2023, and state capacity rose by 11–17 points. Public-goods provision lagged behind, increasing by just 4–7 points.

Although they started below the average of their respective clusters, these balanced performers were able to break away from their peers, especially after 2015. They did so by strengthening democratic accountability and state capacity first, building the institutional foundations for lasting improvements in quality of life.

The BGI’s most important insight is that countries tend to improve their governance in one of two ways. The first is the “grand bargain”: a moment of political rupture in which threatened elites surrender their monopoly on power in exchange for a stake in a new order.

Armenia’s 2018 Velvet Revolution is the clearest example. Its democratic-accountability score, which stood at 53 as recently as 2015, rose to 80 by 2020. The Gambia’s 2016 democratic transition followed a similar pattern, with most of its 35-point increase in democratic accountability occurring after the ouster of former President Yahya Jammeh. The late Nobel laureate economist Douglass North and his co-authors identified this dynamic as one of the "doorstep conditions" for an open political order.

The second route to improved governance is incrementalism, embodied by the gradual reform efforts of countries like Jamaica and Moldova, where progress on one front creates the political capital to tackle the next. Albert Hirschman described this as the logic of "linkages" and "possibilism."

External institutional anchors, such as the EU's accession process, can reinforce this process. In either case, durable progress depends less on a single election than on years of often unglamorous institution-building.

The two paths differ in form but seek the same balance between state capacity and democratic accountability—the "narrow corridor" described by the Nobel laureates Daron Acemoglu and James A. Robinson. Good governance exists between despotism and disorder. It requires both a state capable of governing and a society strong enough to hold it accountable. As the BGI shows, countries move into (and along) that corridor through grand bargains or incremental reform. They can also fall out of it.

Recent developments in Budapest and Beijing have brought both paths into sharp relief. Hungary's democratic renewal suggests that even severely weakened accountability mechanisms can be revitalized when citizens demand stronger checks on executive power.

The Trump-Xi summit—and America's willingness to accommodate authoritarian regimes like Russia and the Gulf countries—highlights the enduring appeal of the autocratic model. Although the governance performance of authoritarian regimes varies widely, some have delivered rapid gains in quality of life, at least for a time.

The future of governance is therefore unlikely to be shaped by a wave of democratic resurgence, an authoritarian triumph, or a single geopolitical turning point on the scale of the fall of the Berlin Wall. The four governance worlds identified by the BGI have proved remarkably durable, and the gaps between them are more likely to widen than to narrow as the challenges of the 21st century intensify.

Moreover, the political conditions that make such progress possible are not evenly distributed. Nor are the economic, geopolitical, and environmental pressures that governments around the world must confront. But the BGI makes clear that progress remains possible in almost every setting, and Brazil and Hungary remind us that institutional decline need not be permanent.

What is certain is that the decisive political struggles of the coming century will not be decided by dramatic geopolitical breakthroughs. Instead, they will be won or lost through the incremental choices that determine whether countries strengthen democratic accountability and state capacity or succumb to institutional decay and autocratic temptation.

21. The Ceuta Crisis Is About More Than Migration

Author: Moha Ennaji **Published:** Aug 7, 2026 **Link:** View Original

FEZ—The sight of 72,000 people rushing into the Spanish enclave of Ceuta from neighboring Morocco was a blunt reminder that one of the European Union's most sensitive land borders is in North Africa.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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The status of Ceuta and Melilla, another Spanish enclave within Morocco, has been a simmering political dispute between the Moroccan and Spanish governments for many decades. Morocco claims sovereignty over these cities, whereas Spain maintains that they are as much a part of its national territory as Madrid. For centuries, the Muslim dynasties that ruled the western Maghreb and al-Andalus controlled Ceuta, until King John I of Portugal captured it in 1415—a precursor to European expansion overseas. When the Portuguese monarchy came under the control of the Spanish Habsburgs in 1580, so, too, did Ceuta. Following the restoration of Portuguese independence in 1640, the city remained loyal to the Spanish monarchy.

As the great French historian Fernand Braudel observed, the Mediterranean should be understood as a historically interconnected theater, shaped by migratory, commercial, cultural, and political exchanges that long predate the modern nation-state. From this perspective, the Strait of Gibraltar is not merely a border but a liminal zone between two shores of the same sea that have long been in close, if often conflictual, contact.

To support its sovereignty claim, Morocco points to precolonial history and the continuity of the Moroccan Sultan's authority over extensive territories in the western Maghreb. Moroccan historians, notably Abdallah Laroui, have also emphasized the need to avoid mechanically applying the territorial categories of the contemporary nation-state to precolonial societies.

The modern European conception of the border as a precisely demarcated, legally recognized line does not always correspond to the forms of sovereignty that prevailed in the Maghreb before colonization. The Sultan's authority was exercised to varying degrees through relations of allegiance, taxation, religion, and political affiliation, without necessarily taking the form of uniform administrative control. It is within this context that Morocco's claims concerning Ceuta, Melilla, and other Spanish territories on the North African coast should be examined.

Following Moroccan independence in 1956, the question of colonial-era borders became a topic of national debate. Moroccan nationalists, particularly Sultan Mohamed V, advocated the recovery of territories considered to have been detached from Morocco during the colonial period. This policy unfolded amid a broader push for decolonization, resulting in Spain relinquishing Tarfaya in 1958 and Sidi Ifni in 1969.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Yet Ceuta and Melilla remained under Spanish control, with these former colonial territories eventually becoming part of the EU’s external border. EU efforts to clamp down on migration in recent years have thus transformed these cities, imbuing them with a strategic importance comparable to their historical and military significance.

This change helps explain the paradoxical nature of the Morocco-Spain relationship. Despite strong economic and trade relations and close cooperation on security and migration, the territorial dispute remains a source of conflict. In a study of Morocco’s claims to Spanish territories in Africa, the University of Cambridge’s Jamie Trinidad emphasizes that the legal arguments vary for each territory, meaning that Ceuta, Melilla, the Chafarinas Islands, and the islet of Perejil are not analogous cases.

But that does not mean a resolution is out of reach. Consider Gibraltar, which is frequently invoked in Moroccan political discourse. The process of determining Gibraltar’s status after Brexit, which required close cooperation between the United Kingdom, the EU, and Spain, demonstrates that a longstanding territorial dispute can end in joint management, even when fundamental positions on sovereignty remain divergent.

This experience offers a lesson for Morocco: even longstanding territorial disputes can invite cooperation. They can be eased through gradual negotiations, confidence-building measures, and other mechanisms that divorce, at least temporarily, questions of sovereignty from the practical necessities of everyday life.

To take such an approach in Ceuta and Melilla would require Europe to recognize that the militarization of borders alone cannot solve the migration issue. They can still be used to exert diplomatic pressure, as recent events have shown. Migration cooperation between Morocco and Spain should therefore be part of a broader strategy focused on economic development, legal mobility, the fight against criminal networks, and the protection of fundamental rights.

The future of Ceuta and Melilla should be viewed through the lens of Euro-Mediterranean relations—as sites of dialogue, exchange, and cooperation between Africa and Europe, not just fortified borders. Morocco and Spain are fated to coexist. Their geographical proximity, economic and human relations, and shared security interests require a relationship built on trust and mutual respect.

Resolving this territorial dispute won’t be easy, as each country has longstanding claims to the two cities. But the time has come to seek a new path based on negotiation, not confrontation. This would not only mark a new chapter in bilateral relations, but also benefit the wider Mediterranean region.

22. The Rising Price of a Cheap Renminbi

Author: Gene Frieda **Published:** Aug 7, 2026 **Link:** View Original

LONDON—China's undervalued exchange rate is often read as a symptom of the imbalance that underlies its surpluses. This is the wrong metaphor. The exchange rate is better understood as a price: by suppressing the renminbi's value, the Chinese government not only obscures the underlying imbalance, but also disables the main mechanism for correcting it. The result is a deliberate policy of self-harm.

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By the International Monetary Fund's assessment, China's real exchange rate fell by 14% in 2021–25, while the country's officially reported current-account surplus rose to 3.8% of GDP. China's exchange-rate management is not just about keeping the currency at a particular level; it also offers exporters an implicit volatility guarantee. With most exports still invoiced in dollars, a tightly controlled renminbi-dollar exchange rate reduces uncertainty over domestic-currency revenues. Competitors can hedge, but at a cost; Chinese manufacturers receive much of their insurance from the state.

The reasoning behind this policy lies in the framework within which it is devised, which does not aim primarily to maximize welfare or even growth. Instead, President Xi Jinping's government has, since 2012, pursued a "security-first" model, which emphasizes resilience alongside growth. Policymakers must plan for sanctions, while accounting for Xi's ambition to secure control over Taiwan.

As Harvard's Gita Gopinath, Pierre-Olivier Gourinchas of the University of California, Berkeley, and the London Business School's Hélène Rey recently noted, the "disease" underlying China's surpluses is a policy mix that produces too much saving, including by suppressing household consumption. But the cure is not a mystery: IMF staff estimate that stronger social spending and reform of the hukou household-registration system could lift consumption by as much as 3% of GDP.

The barrier to progress is not policy design; it is policy preference. For those who are concerned about the global imbalances China's surpluses create, the question is how to make the costs of this preference untenable. To treat the exchange rate as a mere symptom, as Gopinath, Gourinchas, and Rey advocate, would be to fail to recognize the power of prices to change behavior.

Gopinath, Gourinchas, and Rey are right that a currency's role in trade invoicing and global finance is endogenous. Excess saving from underconsumption and overinvestment generates appreciation pressure, which is absorbed through capital controls and state-asset accumulation. But an endogenous variable can still be an instrument: by resisting appreciation, China's government stops the real rate from correcting the imbalance and reinforces the profitability of the sector that produced it, thereby entrenching the distortions behind the surplus.

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The costs end up on balance sheets—and they are mounting. The IMF estimates that China's broad, augmented public-sector debt reached approximately 127% of GDP in 2025, while official data indicate that commercial bank net interest margins have compressed for six straight years, from 2.2% in 2019 to a record-low 1.4% last year. China is not running out of money, but it is running out of painless ways to deploy it. A weak, stable renminbi preserves exporters' cash flows, sustains employment and tax revenue, and defers loss recognition across these balance sheets. It does not repair the financial system, but it does buy time.

Renminbi appreciation would not, on its own, rebalance the economy. But by increasing households' purchasing power over imports and compressing tradable-sector margins, it would raise the cost of avoiding reform. Dollar invoicing reinforces both channels: the prices in renminbi of dollar-priced imports fall roughly one-for-one as the renminbi's value rises, while sticky foreign-currency export prices push the adjustment onto exporters' domestic revenues.

To be sure, as Gopinath, Gourinchas, and Rey note, the initial effects of renminbi appreciation would be deflationary and, given the prevalence of dollar invoicing, the impact on export prices would be delayed. Absent a change in the savings-investment balance, a forced appreciation could be matched by falling prices, returning the real exchange rate and the surplus to levels near where they began.

But that reversion is not neutral: the deflation that reverses the appreciation is the same deflation that compounds the real debt burden across public and private balance sheets. China can hold the real rate down only through a debt-deflation dynamic, the effects of which it cannot absorb indefinitely. At some point, it will have to choose between a deepening slowdown and the reflation it has resisted.

The G7 can accelerate this process. As Brad W. Setser, a former deputy assistant US treasury secretary, and Shahin Vallée of the German Council on Foreign Relations, have observed, resistance to currency appreciation forces China and other Asian surplus economies to accumulate reserves, yet the scale and liquidity of those assets make diversification away from G7 currencies extraordinarily difficult. This is an underappreciated source of G7 leverage, and in their view, the group should make use of it by issuing a joint, conditional tariff threat on Chinese exports.

To understand the scale of the appreciation pressure China faces, consider the amount of currency state institutions absorb: Setser estimates that forward-adjusted foreign-exchange intervention purchases reached $320 billion in 2025. This is why Setser and Vallée's proposal makes sense. The tariff would offset the price advantage created by an undervalued renminbi just as the cost of replacing that subsidy is rising, making reflation the least costly way of upholding the same model.

Crucially, the tariff threat must be conditional and reversible, with reflation being framed as China's own choice, not capitulation. The conditionality is the face-saving off-ramp.

China's imbalances create the surpluses, and exchange-rate management enables the country to externalize the adjustment. This makes fiscal excess easier to sustain in deficit economies, particularly the United States, whose deficits attract the foreign savings that official demand helps sustain. While currency adjustment is no substitute for structural reform, under present conditions, reform is unlikely without it.

23. Will Iceland Rejoin the EU Path?

Author: Carl Bildt **Published:** Aug 7, 2026 **Link:** View Original

STOCKHOLM—In a volatile world, solitude is rarely comforting. That is the simple explanation behind Iceland's August 29 referendum on whether to reopen its abandoned membership negotiations with the European Union. (Any final accession agreement would require a separate vote, after negotiations have been concluded.)

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With around 400,000 citizens, a key position in the North Atlantic, and an economy highly integrated with the outside world, Iceland obviously is sensitive to how conditions for its development—and, more importantly, its security—are changing. When the country applied for EU membership in 2009, it had only recently emerged from the near-death experience of the 2008 financial crash, which had triggered an economic collapse. Many in Iceland then felt that tying the country's currency and economy to the Union was the safest bet.

After a positive assessment of the country by the European Commission, accession talks began in 2010 and progressed rapidly until 2013. Of the 33 negotiating chapters, 27 had been opened, and 11 had even been closed, although key issues such as fisheries control were still pending.

But the new Icelandic government that was elected in 2013 broke off negotiations. The general feeling among policymakers was that the economy's recovery from the 2008 implosion had been smoother than expected. Iceland, many came to believe, could stand on its own feet.

Since then, Iceland's economy has performed well, driven not least by a booming tourism sector. Moreover, it has benefited significantly from being part of the EU's single market through the European Economic Area (EEA) agreement, to which Norway and Liechtenstein are also parties. But uncertainty about Iceland's volatile currency has kept interest rates—and thus many other costs—comparatively high.

Perhaps more importantly, with geopolitical and geoeconomic tensions rising, many are starting to worry that Iceland's position outside the EU has become a vulnerability. That is why Prime Minister Kristrún Frostadóttir's government has sought a mandate to reopen accession talks and explore the option of membership.

For historical reasons, sovereignty figures heavily in Icelandic debates about joining the bloc. But with the country already in an economic satellite relationship with the EU through the EEA agreement, full membership would only strengthen its sovereignty by allowing it to shape decisions that it is already required to implement.

Fisheries policy would be a core and sensitive part of any membership talks. But with the United Kingdom no longer an EU member, and with Iceland's economic zone not bordering any other member state's zone, there seems to be room for compromise. Given that Sweden and Finland have already secured special arrangements on agriculture in northern regions, it should be possible for Iceland to receive similarly favorable treatment.

Despite these long-standing concerns, broader security priorities are increasingly shaping the conversation. Iceland is a member of NATO but without a military of its own. During the Cold War, the United States operated the enormously important Keflavík airbase in the country, but left suddenly and unceremoniously in 2006. Now, European air forces mainly rotate their fighters to Keflavík to help with North Atlantic surveillance.

No one can predict what US President Donald Trump will do about neighboring Greenland, which he continues to covet. But his administration's volatile and unpredictable security policies have undoubtedly made Iceland more vulnerable. In January, Trump's pick for US ambassador to Iceland, apparently inspired by the president's territorial ambitions, joked that the country should become the 52nd state, before rapidly backtracking. (It's worth noting that the EU was prepared to stand up for Greenland.)

Moreover, in the current era of trade wars, being outside the EU's customs union also leaves Iceland exposed. Large economies like the EU and China can retaliate against the Trump administration's whims, but smaller ones lack leverage.

If Iceland votes to reopen accession talks, progress would most likely be swift, with a final decision on membership probably within two years. There is no reason to think that the EU—particularly the Nordic and Baltic member states—would not welcome Iceland into the fold. And Iceland joining the EU would probably force Norway to reconsider its position outside the bloc. An EEA agreement with only Liechtenstein means little in this climate.

But these are all possible issues for the future. For now, the question is whether Icelandic voters will decide to set the process in motion.

24. Who Should Build the Low-Carbon Economy?

Author: Pedro Ivo Ferraz da Silva **Published:** Aug 7, 2026 **Link:** View Original

BRASÍLIA—Suppose the global economy comprised countries roughly equally equipped with research institutions, technology development labs, and industrial production facilities. They might compete fiercely, build rival alliances, and vie aggressively for raw materials and natural resources. But one can also imagine a more optimistic scenario. Since each country would understand its own challenges best, it could devise solutions adapted to its own circumstances, building systems and equipment at precisely the scale required. And where competences complement one another, governments could engage in mutually beneficial collaborations, mobilizing scientists, technology, and manufacturing toward common goals.

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Unfortunately, humankind has tended in the opposite direction. Since the first Industrial Revolution and the emergence of a truly global economy around the turn of the

19th century, goods and technologies have reached the farthest corners of the world, but the ability to design, build, market, and extract value from them has remained highly concentrated.

By the mid-1800s, steam locomotives were already operational in almost 60 countries or colonies, yet only Britain, the United States, and certain German states were fully capable of supplying them. Telegraphic lines followed a similarly uneven pattern, as did the auto industry, which emerged at the turn of the 20th century and became emblematic of globalization in the post-World War II era with the internationalization of manufacturing capabilities, especially in large developing countries in Asia and Latin America. But only two of these economies, Japan and South Korea, managed to join the exclusive club of so-called original equipment manufacturers.

With the end of the Cold War, the information-technology industry took this model—under the banner of “Designed in California, assembled in China”—to the next level, drawing a clear line between knowledge-intensive, well-remunerated activities and labor-intensive, low-paid operational ones.

Nonetheless, with the rise and spread of the clean-energy industry and other climate technologies, many thought that history could be written differently. When China started to gain global market share in the production of solar panels and wind turbines, some analysts suggested that “green windows of opportunity” could emerge across the rest of the developing world. Having successfully learned the inner workings of the new technologies through joint ventures and licensing agreements with advanced-economy providers, China seemed to have found a blueprint that others could follow.

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But the geographical diversification of technological innovation has remained more of a dream than a reality. The International Energy Agency finds that while clean-energy technologies are spreading fast, with solar capacity having increased tenfold since 2015, manufacturing capabilities remain highly concentrated. Across most clean-energy supply chains, 60-85% of production capacity is concentrated in no more than five countries, with some individual segments exceeding 95%. Despite mounting efforts to diversify production, no major shift in these supply chains' geography is likely before 2030.

Worse, this trend is no longer confined to mature technologies such as solar panels, wind turbines, and batteries. Emerging sectors such as electrolyzers for low-emissions hydrogen and small modular reactors are already exhibiting similar dynamics. Data collected by the OECD show that about 92% of the patents for new environment- and climate change-related technologies in 2023 stemmed from China, Japan, South Korea, the United States, and the European Union. Rather than ushering in a more distributed industrial and technological landscape, the transition to a low-carbon economy appears to be reproducing a familiar historical pattern: adoption is global, but the knowledge, productive capacity, and value creation remain clustered in a remarkably small number of countries.

Closing this gap will not be easy. The Economic Commission for Latin America and the Caribbean argues that a "big push" will be necessary to mobilize the coordinated investments capable of transforming productive structures and building domestic technological and innovation capabilities in left-behind countries and regions.

Multilateral climate institutions are also fully aware of this challenge. Last year, parties to the Paris agreement, meeting under the UN Framework Convention on Climate Change, adopted the Belém Technology Implementation Programme, which aims to ensure that environmentally sound technologies are deployed in developing countries.

One pioneering feature of this program is that it frames domestic innovation as a must, rather than deeming the transfer of off-the-shelf technologies sufficient. It recognizes that locally conceived, developed, and produced technologies are the most suitable for addressing context-specific challenges and unlocking economic value.

To be sure, technology transfer remains a cornerstone; but it should take place within a framework that accounts for the whole technological cycle. This means recognizing that transfers can take place across multiple stages of the innovation process (from research and design to demonstration, deployment, and commercialization), rather than being confined to the diffusion of fully mature solutions. Such a change should expand opportunities for learning, adaptation, and innovation in recipient countries.

Implementation of the Belém program will face several obstacles, from geopolitical tensions and trade barriers to the diversion of financial resources toward security and defense. But we must not lose sight of the additional value that could be unlocked with a new approach. In developing his concept of "cosmotechnics," the Chinese philosopher Yuk Hui reminds us that technologies are not universal. They carry the worldview and values of the places where they were conceived. To counter the legacy of colonialism, current inequality, and the ills associated with the industrial age, humanity must decisively embrace "technodiversity."

A serious response to climate change requires more than deploying homogeneous clean technologies at scale. It calls for expanding the world's capacity to understand problems, generate solutions, and build the systems needed to address them. The success of the low-carbon transition should not be measured only by the speed at which technologies spread, but also by how widely the capabilities to innovate, adapt, and produce them are distributed. In the end, a safer climate will depend both on decarbonizing the global economy and on democratizing the technological foundations that make such transformation possible.

The views expressed in this article are those of the author in his personal capacity and do not necessarily reflect the official views or positions of the institutions with which he is affiliated.

25. No Escape from the Russian Terror Playbook

Author: Nina L. Khrushcheva **Published:** Aug 10, 2026 **Link:** View Original

MOSCOW—In the early 1950s, a group of prominent, mostly Jewish doctors from Moscow was accused of plotting to assassinate Soviet leaders on orders from the West. The accused were fired from their jobs, arrested, and tortured. But after Joseph Stalin died in 1953, Lavrenty Beria—one of Stalin's longest-serving secret police chiefs, who oversaw the People's Commissariat for Internal Affairs (NKVD) in 1938–45 and spent decades filling the Gulags—called off the investigation. As it turned out, the security services had made the whole thing up.

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Today, the Kremlin is following the same playbook. While the 2012 foreign-agent law was initially applied to organizations receiving international funding, its reach has expanded dramatically since Russia's full-scale invasion of Ukraine in 2022, with the "foreign agent" label slapped on anyone deemed inconvenient.

This label carries a range of penalties, from a ban on holding public office or performing publicly funded work (such as teaching) to disclaimers on social-media accounts. Last month, the Duma approved measures to strip key citizenship rights—including access to bank accounts and consular services (such as passport renewals)—from Russians living abroad who face prosecution at home over political "offenses," such as failing to comply with foreign-agent legislation. Duma Speaker Vyacheslav Volodin derided those affected as "degenerates and traitors to the motherland." His choice of words was telling: not dissidents, but "degenerates."

Around the same time, the Ministry of Justice added a new section to its website tracing a long series of supposed anti-state plots, from the 1500s through today, thereby presenting all of Russian history as one long siege by foreign enemies. The 1,200-plus people currently designated as foreign agents are listed, along with a portrait and description of their offenses (here is my entry). In doing so, the Kremlin has left no doubt about the message it wants the foreign-agent designation to send.

The foreign-agent label is just one way Russian President Vladimir Putin's regime silences dissent. More than 5,600 people (probably many more) are currently facing politically motivated prosecutions in Russia, compared with fewer than 5,000 following Stalin's death. (This figure continued falling after Nikita Khrushchev delivered his "Secret Speech" denouncing Stalin's cult of personality.) Putin's campaign of repression is starting to resemble the Great Terror of 1937.

To be sure, there is a lot about Stalinism that Putin has not quite replicated, beginning with the scale of the Gulag system. But in one respect, Putinism is worse. However distorted Vladimir Lenin's vision of a workers' paradise became under Stalin, it remained fundamental to the Soviet system. Today, there is no ideology, no grand project. There is just one man and his security apparatus working out how to safeguard their own power indefinitely.

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The Russian author Vladimir Sorokin saw this coming. In his 2006 novel Day of the Oprichnik, Sorokin describes the brazen, violent, and debauched behavior of a state enforcer within a new tsarist-totalitarian Russia of the kind envisioned by nationalists like the political philosopher Aleksandr Dugin. Two decades later—with Putin's security services having dusted off the playbook of the NKVD (not the KGB, which after Stalin's death was mild by comparison)—it reads more like nonfiction than satire.

An older work offers further insight into modern Russia. In Mikhail Bulgakov's The Heart of a Dog, written in 1925, the brilliant surgeon Filipp Filippovich Preobrazhensky turns a stray dog into a crude, aggressive proletarian named Sharikov. Russia has since produced plenty of educated, capable professionals like Preobrazhensky. But nowadays, they are increasingly choosing to behave more like Sharikov.

Dmitry Medvedev, who once served as Russia's somewhat liberal president (2008–12), praises the Kremlin and spews vulgar insults against its "enemies" on social media. Foreign Minister Sergei Lavrov, who once displayed unwavering professionalism, now discusses diplomatic relations like mafia deals, using colloquial expressions like "patsan skazal—patsan sdelal"("the guy said, the guy did"). Gulag culture—in which the "guards" are pitted against the "guarded," and anyone who challenges the norm is silenced, humiliated, and punished—encourages this kind of race to the bottom.

One should not assume that all of Russian society is submitting to Putinism. For starters, Putin's approval ratings are dropping. While there is a limit to how low these ratings can tumble—the Kremlin-controlled Public Opinion Foundation published a 66% rating early last month, but obediently pushed it back up to 70% the following week—the signal is clear. Even the Levada Center reports that the share of Russians who approve of Putin's activities has declined from 84% to 74% this year.

Moreover, evidence of covert protest is everywhere. A shopkeeper displays balloons in the yellow and blue of the Ukrainian flag, as if part of an unrelated product promotion. A bookstore sells tote bags emblazoned with 1984, as if it were simply a literary novelty item. A theater stages anti-Stalinist plays, such as Evgeny Schwartz's The Dragon.

True, there is no mass mobilization against the Ukraine war, even as Ukrainian drones reach targets deep inside Russia, let alone against Putin's regime. But Russians have endured enough tyranny to know what it means to be at the mercy of security forces that will stop at nothing to maintain control. Even subtle resistance to the Kremlin's demand for total surrender is enough to enrage its occupants—and bring intensifying repression.

Ultimately, the only exit from Putinism may well be the same as the exit from Stalinism: the leader's demise. Many Russians hope that, at that point, a Khrushchev-like figure will emerge to denounce the worst of what came before. But Russia might also get a Beria, who was directly responsible for many of the regime's atrocities.

In such a scenario, Russians must ensure that the limits of totalitarian control are undeniable. Only then will the new leader be motivated to dismantle the systems of repression that are now in place, just as Beria, in the brief period between Stalin's death and his own downfall, began dismantling the Gulag system he had spent his career building.

26. The Last Trump Election

Author: Ian Bremmer **Published:** Aug 10, 2026 **Link:** View Original

NEW YORK—Few ideas are more fundamental to US President Donald Trump's political brand than his consistent claim that the American left steals elections at his expense. If we don't stop them, he warns his followers, we won't have a country anymore.

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When he (fairly) defeated Hillary Clinton in 2016, but without winning a majority of votes, he insisted that millions had voted against him illegally, and that the Democratic Party had "rigged the election at polling booths." When he lost to Joe Biden in 2020, he made these and other charges, then encouraged a riot at the Capitol to try to halt the election's certification. In 2024, he said Democrats had recognized his victory over Kamala Harris only because the margin had been "too big to rig."

Now Trump faces his final popular vote. His name won't appear on the ballot this November, but the results of the midterm elections for Congress are nearly always considered a referendum on the incumbent president and his performance, and that's especially true when his party holds majorities in both legislative houses.

This election also comes at a moment of deep unpopularity for Trump. His poll numbers are lower at this point in his tenure than those of any second-term US president in the past 80 years, with the sole exception of Richard Nixon on the eve of his disgraced resignation in 1974. But this time, judging by his actions, Trump doesn't seem to care about the election's outcome.

To be sure, earlier this summer, he used a televised speech to rehash unsubstantiated charges about previous elections, including accusations that China has created an "unprecedented election security nightmare" by hacking millions of voter registration files and manipulating social media (though he did not suggest any action against China in response). He also accused Democrats of hiding the evidence, and he persists in pushing the Republican-controlled Congress to pass new laws that would require all voters to present identification at their polling place—a measure many of his fellow Republicans oppose. But none of this rhetoric is new, and most of the Republicans now facing midterm challenges have done little to boost Trump's various conspiracies.

The president also seems bent on sabotaging his party's best re-election candidates more directly. In state after state, he has driven strong, if independently minded, Republican lawmakers into retirement, favoring candidates who pledge loyalty to him over incumbents with a better chance of turning back popular Democratic challengers. He has repeatedly inflicted harm on the Republican leaders of the House and Senate by trying to force them to adopt deeply unpopular positions or pass legislation that has no chance of success. And he has pressed GOP lawmakers to cancel their August recess, despite this being a crucial time for campaigning back in their states and districts.

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Most importantly, Trump has devoted much attention to issues he cares about personally—a new ballroom for the White House, new monuments in Washington, and political revenge against his enemies—while all but ignoring more immediate problems like consumer price inflation, which his war of choice on Iran and tariff policies are exacerbating.

What’s going on? Has Trump lost interest in protecting Republican majorities? Democrats will almost certainly win control of the House of Representatives, giving the opposition some power over government spending and an opportunity to launch official investigations into the president and his administration. They could even impeach him a third time. The Senate is a much closer call, but the opposition might still win a majority there, too, undermining Trump’s ability to confirm senior officials, judges, and new Supreme Court justices.

But it is these odds that explain why Trump seems to be shrugging at his party’s endangered majorities: he knows he has little chance of success. Once the November votes are counted, the president will refuse to accept the outcome. He will send immigration police to man the polls. He will contest the close races, challenge the integrity of voting machines and election workers (particularly in majority Democratic states), and claim that shadowy foreign agents helped the opposition win. He will also claim that Republicans would have won big had they simply done all that he demanded.

This inevitable response will further damage public confidence in the institutions of American democracy, but it will not affect the final election outcome. As in all Trump elections—the 2016, 2020, and 2024 presidential races, as well as the 2018 and 2022 midterms—ballots will be counted by local authorities, and the legitimate winners will claim their seats. Trump cannot change that because the US federal government has no constitutional role in the administration of American elections. The outcomes will be decided in the states.

Once again, the country’s institutional guardrails will hold. Regardless of what Trump says and does in the days, weeks, and years that follow, US courts will reject his challenges. Even his fellow Republicans, whatever they say when pressed for personal opinions on Trump’s claims, will move forward to prepare for the many post-Trump political and legislative battles to come.

In the process, we will begin to turn the page from the Trump chapters of American presidential history. US Vice President JD Vance, Secretary of State Marco Rubio, and many others will carefully open their bids to break free from the decaying orbit of Trump’s political star. Without this president to unite them, Democrats will soon wage their own internecine battles. US allies and rivals will begin to consider how the next US president, Republican or Democrat, might change America’s political and policy trajectory.

Yes, in geopolitics, two years is a long time. New Trump stories remain to be written, and this president will continue to shape America’s politics and its role in a fast-changing and fragmented world. But this November’s midterm elections, however colorful the dramas that surround them, will mark a turning point in the country’s recent history. Trump’s ability to redefine what is possible inside the United States and vis-à-vis its friends and foes has reached its peak.

27. The World Economy Is Swerving, and the Destination Is Unknown

Author: Mohamed A. El-Erian **Published:** Aug 10, 2026 **Link:** View Original

PHILADELPHIA—For decades, companies, investors, and policymakers operated on the comforting assumption that the global economy was underpinned by a relatively stable equilibrium. Macroeconomic and financial shocks were treated primarily as cyclical disruptions that could be managed to put things back on track toward a predictable destination—that of per capita GDP growth within a continuously globalizing economic and financial order. But this paradigm is now being challenged by geopolitical tensions, the weaponization of economic relations, the rapid advance of new technologies, and other factors.

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Navigating economies and markets through this storm is possible, but it requires a commitment to building resilience, maintaining optionality, and demonstrating agility. That will not happen automatically, because there is now uncertainty about the theoretical and practical endpoints of many ongoing secular changes—from productivity and economic growth to supply chains and equilibrium interest rates. Moreover, the broader trade and payments architecture is evolving rapidly, adding to many firms’ operational complexities and planning uncertainties.

For those who think this is an exaggeration, consider how our new reality has been playing out this year across three domains. First, geopolitical tensions are motivating new efforts to exploit and weaponize critical supplies. The post-Cold War era of frictionless globalization has given way to a scramble for political leverage via existing interdependencies. State and non-state actors alike have recognized the potential to wield asymmetric power by throttling the physical arteries of global commerce. From maritime disruptions in the Strait of Hormuz and the Red Sea to the fierce contest over critical mineral supply chains, geography is being systematically weaponized.

But these strategies have no clear endpoint. No one knows where the current geopolitical fragmentation will lead. Some hope for what former UK Prime Minister Gordon Brown calls “managed globalization light,” others fear an irreparably fractured international order, and some still long for the old days of unfettered globalization and multilateral rule of law. Yet at this very moment, shipping routes are having to be rewired, and maritime risk premiums remain elevated. With no grand diplomatic settlement on the horizon, multinational corporations will be forced to shift further from efficient “just-in-time” supply chains to building in more costly “just-in-case” redundancies.

Second, economic policy instruments that once underpinned the functioning of the shared plumbing of a unified global economy are becoming weapons. The increasingly unpredictable use of tariffs, sanctions, investment controls, and export embargoes is fundamentally altering the calculus of global capital allocation and upending the international financial order as we know it. As national-security concerns increasingly override economic and commercial efficiency, there are no longer any mutually agreed limits to economic statecraft. Here, too, the destination or endpoint is unclear, because what were once parameters of the system are now volatile variables.

Third, markets are being asked to fund massive capital expenditures (capex) in the race to develop and deploy productivity-enhancing technologies. Tech giants and non-tech incumbents, together, are committing hundreds of billions of dollars to data centers, computing capacity, and AI deployment. Yet once again, the destination—the point where this unprecedented spending will translate into large, monetizable productivity gains—remains unknown.

Owing to the perceived penalty for falling behind, many corporate boards feel compelled to authorize historic levels of investment without a clear path to earning adequate returns on invested capital. And because all this capex needs to be financed, the implications for debt markets are far from comforting. Indeed, the cost of capital is already experiencing upward pressure from competing private and public funding claims.

True, despite the uncertainty around major structural determinants, the global economy and the bond market have so far navigated around the biggest landmines. But this is largely because a few powerful factors have protected the system. The first is the dynamism of the US economy, which plays a central role in global growth and innovation, offsetting the structural sluggishness of China and Europe.

The second factor has been the availability of endogenous market liquidity. Despite the post-2021 monetary-policy tightening, the financial system has generated its own liquidity. Deep corporate cash buffers and new financial instruments have kept credit flowing, reinforcing the role of physical inventory buffers—most notably in energy markets, where strategic reserves and flexible refined-product markets have repeatedly absorbed geopolitically driven supply shocks.

But a critical distinction must be made between genuine, structural sources of resilience and the more temporary forms that rely on depletable physical and financial buffers. Oil inventories have now been drawn down to lows not seen in decades, and abundant endogenous market liquidity may not be relied on—as evidenced by the recent fire sale of overleveraged hedge fund Situational Awareness and the deleveraging of some Korean exchange-traded funds. Sooner or later, profligate fiscal policies and unbridled corporate capex will collide with rising debt burdens, excessive financial leverage, and higher interest rates.

Without clearer endpoints, hopes for a return to the predictable world of the past must give way to the reality of bumpy geo-economic transitions. Companies, governments, and investors can no longer afford to orient their strategies around single-point forecasts (“baselines”). Instead, the focus must shift to building even greater resilience, agility, and optionality in the near term. These are the strategic assets needed to survive a bumpy, unsettling journey that could veer in any number of directions. With the buffers that have shielded the global economy depleting, everyone will need to build wider margins of safety.

The system is coasting in part on what will soon be the fumes of borrowed liquidity and drained physical inventories, as well as deficit-funded spending. As this realization sinks in, the months and years ahead will be increasingly characterized by greater economic and financial volatility, as well as a broader dispersion of outcomes as the gap between winners and losers widens across and within sectors, countries, and financial assets.

We must accept that the absence of widely accepted endpoints constitutes yet another “new normal.” As destabilizing and disorienting as this structural reality seems, those who embrace it will find that these are the circumstances in which multi-year leads are established, and fortunes are made. And those who fail to exhibit resilience, agility, and open-mindedness risk the kind of paralysis that undermines economic well-being now and for years to come.

28. Is China Really a Beggar-thy-Neighbor Power?

Author: Dani Rodrik **Published:** Aug 10, 2026 **Link:** View Original

CAMBRIDGE—As China continues to capture global markets in manufactures and its trade surpluses grow, it is increasingly viewed elsewhere as a country whose economic growth comes at the expense of the rest of the world. China's industrial policies and growth model at large, the critics complain, are beggar-thy-neighbor.

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The term "beggar-thy-neighbor" has an interesting history. It refers to an old children's card game in Britain, as depicted in Charles Dickens's 1861 novel Great Expectations, where the objective is to win all the cards in the deck. It made its first appearance in economics in Adam Smith's portrayal of mercantilist thought in Wealth of Nations. Mercantilists mistakenly taught nations, wrote Smith, "that their interest consisted in beggaring all their neighbors."

But it was Joan Robinson, the Cambridge economist and contemporary of John Maynard Keynes, who popularized the term in an essay written in the 1930s. Robinson wrote at a time of generalized unemployment caused by a collapse of aggregate demand—what we would subsequently call Keynesian unemployment. Many governments deployed mercantilist policies, such as import tariffs or currency depreciations, that they hoped would improve the home country's trade balance. The goal was to increase domestic employment by diverting demand from foreign goods and services to domestic ones.

As Robinson pointed out, these policies were zero-sum from a global perspective. A country could increase its trade surplus or reduce its trade deficit only if other countries' trade balances were changed by the same amount in aggregate. Mercantilism could help employment in one country only at the expense of greater unemployment in others. Robinson called these policies "beggar-my-neighbor." The term eventually transmuted into "beggar-thy-neighbor," which came into use in the late 1960s and eventually supplanted the original version.

Superficially, Robinson's description would seem to apply to China's policies, since its export surplus requires other countries to run trade deficits. The big difference, however, is that we are no longer in a world of deficient aggregate demand. Unemployment rates are 4.2% and 6.3% in the United States and Germany, respectively, compared to 25% and 30% at the height of the Great Depression. Boosting aggregate demand and employment is not a policy priority in any of the world's major economies.

When economies run near full capacity, it is not clear that trade deficits should be a cause for concern. After all, they represent a transfer of purchasing power from surplus countries (China), which can lead to higher consumption or, more desirably, investment. By this logic, China's surpluses might as well be called enrich-thy-neighbor.

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What, then, would make China's surpluses a problem? First, macroeconomic imbalances can create financial instability and increase the risk of a crisis. Second, insofar as they produce "excess capacity" and "over-production" in many manufactured sectors, China's surpluses may promote industrial decline in deficit countries. And third, they can aggravate distributional and social problems in deficit countries.

These concerns are often justified, but they do not imply that China's economic gains come at other countries' expense. For the most part, they call for appropriate responses from the affected countries, rather than for major adjustments in China.

Governments concerned with the macroeconomic and financial consequences of large deficits have a large menu of policy options. They can rein in their fiscal deficits, tighten prudential regulations, tax capital inflows, and depreciate their currencies. When deficit countries complain that their policy choices are restricted, it is often because they are trying to eat their cake and have it, too. The US government, for example, refuses to do anything that would reduce the attractiveness of US assets. So, it reaps benefits as the world's financial center, while griping about the trade deficits that are at least partly the result.

Deficit countries also have options when it comes to manufacturing, but they must be clear about their objectives. Complaints about excess capacity are often misplaced. The consumer benefits of cheap Chinese goods are real regardless of whether they are the result of genuine productivity or government subsidies, and in this case, it is mostly the former. There is no evidence that China intends to exercise (or ever has exercised) monopoly power in the manufacturing sectors of concern, so predatory pricing is not an issue either. Job losses in affected industries can be socially costly, but governments should recognize that, with or without Chinese competition, manufacturing is no longer an employment-creating sector.

The adverse impact on import-competing firms is also real. But policymakers in advanced economies should be concerned about Chinese competition in manufacturing only to the extent that their own manufacturing firms generate technological and learning spillovers for other firms and sectors in the economy. This may be true in some segments, but certainly not across the board. Where the argument carries weight, it calls for selective domestic policies that target market failures and externalities in those segments directly. In other words, countries worried about China's impact on their manufacturing sectors should deploy their own versions of China's industrial policies.

In all the discussion on beggar-thy-neighbor policies, we should not forget renewables, where China's industrial policies have generated enormous enrich-the-world effects. China's subsidies, public venture funds, and other policies to promote investments in solar, wind, electric vehicles, and batteries have produced a veritable revolution in renewable energy. The dramatic reduction in the costs of alternative sources of power is the best news the world has had in the fight against climate change. In pursuing its own technological and commercial advantage, China has also delivered a major global public good.

China's critics might have a stronger point when they argue that China's overall macroeconomic posture is harmful to China's own economy—that it is beggaring itself. The country's unbalanced strategy, with its heavy emphasis on exports of manufactures and repression of consumption, has delivered high rates of economic growth, but may well be due for a redesign. Still, outsiders should be wary of second-guessing policymaking in a country that, for the last 50 years, has delivered the most impressive economic performance in history.

29. The Extractive Trap Has a Green Exit

Author: Désiré Assogbavi **Published:** Aug 10, 2026 **Link:** View Original

DAKAR/RIO DE JANEIRO—For five centuries, raw materials have flowed out of Africa and Brazil at low cost to be used as inputs elsewhere—often returning to their source countries embedded in expensive finished goods. The energy transition offers a critical opportunity to escape this extractive dynamic. The key for these economies is to leverage their vast resources, as well as mutual cooperation, to build thriving green industries of their own.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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The current global energy crisis has made the energy transition all the more urgent. Supply disruptions and rising costs have put pressure on governments, households, and businesses in many countries, weakening productivity, straining food supplies, and exacerbating economic inequality.

The effects of the crisis are particularly acute in many African countries, which already struggle with persistent poverty, limited energy access, and inadequate infrastructure. Africa’s energy-producing countries are not immune, not least because they often export crude oil while importing costlier refined products like diesel and gasoline.

But the problem runs far deeper than the current crisis. As a recent Oil Change International report shows, decades of extraction have produced income concentration, economic dependency, external vulnerabilities, and the weakening of other productive sectors.

Achieving broad-based development requires a new approach, one which leverages South-South cooperation to advance green development and sustainable industrialization. Brazil and African countries, such as Kenya, Namibia, South Africa, and Tunisia, are particularly well-suited to spearhead such a strategy, acting not only as diplomatic partners, but as co-producers of a green industrial transformation.

Since returning to the presidency in 2023, Brazil’s Luiz Inácio Lula da Silva has emphasized the importance of South-South cooperation, not least to advance the climate and development agenda. Moreover, he has resumed official visits to African countries, such as Mozambique and South Africa, whose leaders have reciprocated with visits to Brazil. Such diplomatic initiatives have been matched by concrete cooperation in agriculture, health, education, defense, energy, and other areas. But it is in green industry that this partnership can take on real strategic significance.

Brazil and Africa have important comparative advantages in two sectors that are central to the global energy transition. The first is critical minerals. African countries have significant reserves of cobalt, graphite, lithium, and manganese—

critical inputs in batteries, electric vehicles, and renewable-energy technologies. Brazil also has reserves of graphite and lithium, as well as nickel and rare-earth elements.

The United Nations reports that trade in raw and semi-processed critical minerals reached roughly $2.5 trillion in 2023, accounting for more than 10% of global trade. That total is projected to triple by 2030. According to the International Energy Agency's Global Critical Minerals Outlook 2025, lithium demand alone could grow fivefold by 2040, while cobalt and rare-earth demand might rise 50-60%.

If Brazil and Africa focus on meeting this exploding demand with raw exports, they will find themselves ensnared by the same old extractive trap. But by building shared production chains and pursuing technology-transfer agreements, joint research, and industrial policies focused on adding value locally, they can finally translate their resource wealth into sustained growth and development.

Africa and Brazil also stand to benefit from some of the best conditions in the world for solar- and wind-power generation. Already, decentralized solar-power installations are proliferating in many African countries, expanding access to electricity in rural areas and urban peripheries. In many cases, this is a bottom-up energy transition, with families and small businesses purchasing and installing solar panels, often using pay-as-you-go solutions.

Brazil, for its part, is a global leader in biofuels and hydropower technologies. According to the IEA, the country contributes almost 7% of the world's renewable-energy production, despite accounting for only 3% of its population and 2% of its GDP. And Brazil continues to invest heavily in expanding and "greening" energy access. The Amazon Energy Program aims to replace diesel-based power generation in the Isolated Systems of the Legal Amazon with clean, renewable energy sources.

Cooperation on renewable energy can help Africa and Brazil alike. Brazil can contribute its technical and institutional capacities. Its Luz para Todos program, which has connected more than 17 million rural Brazilians to electricity since 2003, is precisely the kind of initiative that can be adapted to African contexts. African countries, for their part, can share the innovative solutions they have developed for expanding energy access, including pay-as-you-go solar home systems and micro-generation of energy.

But installing renewable-energy infrastructure alone will not deliver green development. That requires countries to increase their productive capacity, enhance their technological capabilities, and train and employ skilled workforces. A green industrial transformation must generate jobs—the third critical area for cooperation.

The International Renewable Energy Agency projects that the energy transition could create millions of jobs in Africa by 2030, especially in solar energy, electrical infrastructure, and green manufacturing. The same applies to Brazil, which seeks to shift its industry toward sectors linked to the low-carbon economy.

But major roadblocks remain—none greater than finance. This is particularly true for Africa, which, despite holding 60% of the world's best solar resources, receives only about 3% of global energy investment and 2% of clean-energy investment. African countries also face extremely high borrowing costs. Alternative cooperation mechanisms and joint South-South financing initiatives, as well as increased support from development banks and greater private-sector participation, are needed to advance green industrialization.

For too long, Africa and Latin America have served as mere suppliers of raw commodities, preventing them from achieving broad-based prosperity. By working together, however, developing economies can transform their strategic resources into the industrial, technological, and political capacity they need to build robust, dynamic, and sustainable economies.

30. Dude, Where’s My Recession?

Author: Barry Eichengreen **Published:** Aug 11, 2026 **Link:** View Original

STEAMBOAT SPRINGS, COLORADO—Exhibiting an apparently limitless ability to shrug off bad news, the US economy continues to motor ahead. Real (inflation-adjusted) GDP grew at a seasonally adjusted annual rate of 2.1% in the first quarter of this year and, according to an advance estimate from the Bureau of Economic Analysis, by 1.5% in the second quarter. Both figures are close to the US Federal Reserve’s own estimate of the economy’s long-run potential growth rate of 2%.

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The economy has appeared resilient despite an exceptional series of adverse shocks, from the April 2025 “Liberation Day” tariffs and the ongoing tariff uncertainty to US President Donald Trump’s political attacks on the Fed. Meanwhile, US-China tensions have depressed bilateral trade and investment; the US war against Iran has led to on-again, off-again closures of the Strait of Hormuz and spiking oil prices; and the Russia-Ukraine war has increasingly disrupted Russian energy supplies and refining capacity. Topping it all off, global bond, equity, and foreign exchange markets have suffered multiple shocks just in the past few weeks.

So, why the resilience? Although Trump’s Liberation Day tariffs ranged as high as 50%, his administration soon made multiple tariff exceptions, exemptions, and reversals, bringing the effective US tariff rate down to 10–15%, on average, over the last year. While not favorable, this lower level is at least manageable.

The tariff-related uncertainty has been considerable, of course. An index of trade-policy uncertainty created by Fed economist Dario Caldara and his colleagues reached its highest level on record following Trump’s Liberation Day press conference. Yet with an import-to-GDP ratio of only 14%, the US economy was already relatively closed. Whatever the damaging effects of tariff uncertainty, they were always going to be less severe than for more open economies.

Similarly, the share of US imports coming from China has declined to barely 7%, but it had already fallen from over 20% to under 14% in the decade ending in 2024. After surpassing $100 billion at its peak in 2016, Chinese foreign direct investment in the US has evaporated completely. Despite these trends, the negative impact on the US economy has been minimized by a rerouting of Chinese exports via Vietnam and Mexico, and by America’s continued success at attracting FDI from other sources, notably Germany and Japan.

Then there is the latest energy shock. Crude oil futures spiked from $60 per barrel at the beginning of the year to above $100. They are now in the neighborhood of $80 and will continue to fluctuate along with prospects for reopening the Strait of Hormuz. More importantly, the crack spread, the cost difference between crude oil and refined products, has tripled since the start of the year as US refineries have been caught wrong-footed by shifting crude supplies. Still, the adverse effect has been limited, because the US economy is less energy intensive now than in the past, owing to a broader shift in economic activity toward services.

Finally, insofar as these factors have dampened US economic growth, their negative impact has been offset by strong investment in AI-related data centers, software, and research and development, as well as by consumption spending rooted in a robust stock market.

What could possibly go wrong? In a word: everything. Despite court rulings striking down many of the administration's tariffs, the tariff threat remains, with Trump invoking it in response to everything from Canadian wildfires to Brazilian elections. Equally, the prospects for reopening the Strait of Hormuz remain uncertain, and US-China tensions are ratcheting up again, with China slapping trade restrictions on dozens of US entities in advance of President Xi Jinping's upcoming trip to the United States.

It is anyone's guess what will happen after that trip is over. Given reports that the US has expended many of the munitions and strategic resources that it would need to deter China from aggressive action in the South China Sea, an escalation in tensions cannot be ruled out. Although the rise in oil prices has been moderated by drawdowns in Chinese and US petroleum reserves, the US Strategic Petroleum Reserve is now at a 45-year low, and half of what remains cannot be withdrawn without risking a collapse of the salt caverns in which it is stored.

Above all, there is the potential threat from financial markets. The combination of a richly valued stock market and rising long-term interest rates has historically been a toxic brew. We saw in July how pessimism about the immediate returns to AI-related investments can lead to a sharp drop in AI company share prices, especially when those investments are debt financed and the cost of debt is rising. If the share-price declines resume, the negative wealth effects on spending could be significant.

We also saw how such share-price movements can wrongfoot investors in the same trendy sectors, with ruinous implications when their bets are backed by leverage, and with potentially serious consequences for banks and others providing the credit. Not every financial crash and crisis has been followed by a recession. But they are the best leading indicator we have.

31. The Return of the Power Trust

Author: Sandeep Vaheesan **Published:** Aug 11, 2026 **Link:** View Original

WASHINGTON, DC—The AI boom has thrust the power sector, a critical but largely invisible industry, into the political spotlight. Around the world, governments are grappling with data centers' enormous energy demand, with consumers and lawmakers alike asking whether it can—or should—be met without driving up electricity bills. In the United States, however, a quieter trend threatens to push power rates even higher and weaken corporate accountability: utilities are consolidating at a rapid pace and piquing the interest of Wall Street investors.

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Americans have experienced this before. A century ago, utility executives built huge holding companies that owned dozens or even hundreds of power systems. Collectively known as the "power trust," these corporate empires appeared formidable but were heavily indebted. Many collapsed after the stock-market crash of 1929.

Although utility mergers are nothing new, today's deals differ markedly in both scale and ambition from those in the recent past. The $67 billion merger between NextEra and Dominion Energy is a prime example. If completed, it would create a national giant controlling vertically integrated utilities—spanning generation, transmission, and distribution—in Florida, the Carolinas, and Virginia, as well as power plants across the country, potentially further concentrating wholesale electricity markets in which electricity is bought and sold by utilities, industrial customers, and generation companies.

The combined company would also wield outsize political influence at the federal, state, and local levels. Notably, NextEra has already been accused of abusing its power by intimidating journalists, backing sham candidates to manipulate local elections, and attempting to acquire Jacksonville's publicly owned utility.

This proposed mega-merger comes on the heels of Constellation's acquisition of Calpine, completed in January 2026, which created America's largest power-generation company. The Federal Energy Regulatory Commission approved the deal, even though the combined company appears to possess enhanced pricing power in the Mid-Atlantic wholesale electricity market.

Lured by utilities' strong and stable profits, private-equity firms are moving aggressively into the sector. In 2025, BlackRock partnered with the Canada Pension Plan Investment Board to buy Allete, a Minnesota utility. It then teamed up with Swedish private-equity firm EQT to acquire power producer AES earlier this year. Now Blackstone is attempting to purchase the southwestern utility TXNM Energy.

Prospective buyers claim that utilities need greater scale to meet surging electricity demand. But companies like Allete already possess the financial and managerial capacity to build the infrastructure needed to electrify homes, industry, and transportation networks, as well as power new data centers. Private-equity firms, meanwhile, often prioritize short-term gains and may neglect essential maintenance and cut costs at the expense of utility workers.

Utilities' mounting debt should also alarm policymakers. NextEra has become the world's largest issuer of risky hybrid bonds, which allow the company to defer interest payments. Heavy indebtedness increases financial fragility and raises borrowing costs, which utilities typically pass on to customers through higher rates. It can also undermine the long-term viability of companies that provide a vital public service.

The power trust offers a cautionary tale. In the 1920s, utility executives like Samuel Insull worked with leading financiers to build sprawling holding companies that spanned much of the country. They financed acquisitions with debt, boosted profits through financial engineering, and created bewilderingly complex ownership structures by stacking corporate entities on top of each other.

Those at the apex of these corporate pyramids could convert relatively modest capital investments into extraordinary power. In 1929, Howard Hopson and John Mange, for example, controlled the Associated Gas & Electric Company, with an estimated book value of more than $900 million and an equity stake worth less than $300,000.

Some of these utility agglomerations, including Insull's Middle West Utilities, had little operational logic. In the words of one economist, they were a "helter-skelter formation of systems of poorly integrated properties" that had "been gerrymandered in a way which would surprise and delight the eyes of a political boss."

The power trust's failure to serve the broader public provoked widespread opposition. In pursuit of easy profits, private utilities focused on industrial customers and wealthy households. Although most city residents had electricity by the late 1920s, high rates and an outdated housing stock meant that many working- and middle-class households still lacked refrigerators and washing machines.

Conditions were far worse in the countryside. In 1925, when the US was still substantially rural, fewer than 5% of farms had electricity. Without electric power or nearby laundromats, clothes were washed by hand—a backbreaking chore performed almost exclusively by women.

Debt ultimately proved to be the power trust's undoing. Compared with manufacturing and agriculture, electricity sales declined only modestly after the 1929 stock-market crash. But even that limited downturn left holding companies unable to service the enormous debt burdens of the multiple corporate layers stacked on top of utilities. Insull's empire collapsed, and he fled the country to avoid prosecution.

Campaigning in San Francisco in 1932, Franklin Delano Roosevelt argued that the government had a duty to restrain private power companies when they threatened the public interest. He declared that when "the reckless promoter, the Ishmael or Insull whose hand is against every man's, declines to join in achieving an end recognized as being for the public welfare, and threatens to drag the industry back to a state of anarchy, the Government may properly be asked to apply restraint."

Roosevelt's New Deal put that philosophy into practice by breaking up and regulating the power trust and bringing affordable electricity to all parts of the US through an ambitious public-investment program. Recreating the New Deal may not be politically feasible at the moment, but federal and state governments should apply restraint to utility consolidation before history repeats itself and Americans once again end up footing the bill.

32. Morocco's Bet on Targeted AI

Author: Amal El Fallah Seghrouchni **Published:** Aug 11, 2026 **Link:** View Original

RABAT—The AI revolution is often described as universal, but its benefits have so far been concentrated in the countries shaping frontier models. The United States, where staggering amounts of capital are flowing into the sector, has embraced technological sovereignty as an instrument of power. China regards AI development as a strategic and deeply embedded state project, with the explicit ambition of global leadership by 2030 (hence the creation of the "World Artificial Intelligence Cooperation Organization" in Shanghai in July 2026). For the rest of the world, AI offers the promise of progress, but not a clear path toward achieving it.

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Morocco, like many other countries, must decide whether to try to catch up with the global frontrunners by investing massively in infrastructure and computing power—an increasingly difficult task—or to pursue a different approach. In the year since our inaugural National AI Conference, we have chosen an ownership strategy focused on organizing domestic data, training local talent, and shaping use cases that meet our needs in education, health care, public administration, agriculture, defense, innovation, and cultural industries.

This path, which is neither imported nor imposed, rests on a simple idea: technological power is measured not by domination or submission, but by usefulness. A "powerful" AI is one that solves real problems for people in their own languages and contexts, while accounting for their own priorities and constraints. Through various national initiatives—the Maroc Digital 2030 strategy and the AI Made in Morocco roadmap—we have adopted a long-term horizon for this technological transformation to ensure that we maintain sovereignty over our data and guide AI toward uses that have a real-world impact on our people's lives and livelihoods.

While global competition has focused on the most advanced large language models, which require billions of parameters and colossal computing infrastructure, other countries should learn from Morocco's bet on leaner, more targeted systems. That has informed our work with Mistral AI to build the first Moroccan large language model in Arabic, Darija, and Amazigh. It has also led us to begin developing the Digital X.0 Framework Law and the Idarati X.0 platform, which aim to transform how citizens access public services. Both initiatives also seek to enhance personal-data protection, cybersecurity, and algorithmic accountability, because citizens will adopt AI systems only if they trust the institutions overseeing them.

Meanwhile, Morocco is investing in infrastructure. By 2030, the country plans to have a green data center with 500 megawatts of cumulative capacity in Dakhla, and it is already home to North Africa's first hyperscale public cloud region and Africa's most powerful supercomputer. But these facilities would be worthless without the necessary human capital, which is why the government has committed to training 100,000 professionals in digital professions annually by 2030, through engineering schools, doctoral programs, and other initiatives coordinated by the Jazari Institute network.

With its proximity to Europe, the Atlantic, the Mediterranean, and the Arab world, Morocco is uniquely positioned to push back against the great powers' efforts to build moats around their digital ecosystems. At this time of technological fragmentation, we are focused on building not only national capabilities but also regional coalitions.

After all, AI has enormous potential to drive structural change in Africa, which has a population of roughly 1.5 billion, a huge share of digitally connected young people, and immense needs in public services, education, health, administration, financial inclusion, and food security. But models designed elsewhere cannot fully meet the continent’s requirements of accessibility, frugality, and local relevance.

Ultimately, though, none of us can go it alone. Africa’s digital sovereignty depends on our capacity to form coalitions that benefit all. To that end, Morocco seeks to play a leading role in building regional partnerships that pool efforts, align priorities, and share frameworks.

Moreover, we are using our credibility on both sides of the Mediterranean and the Sahara to forge collaborations on digital and AI governance with the European Union and international bodies, including the United Nations Development Programme. In AI governance, we work with the Digital Cooperation Organization, where Morocco has been elected an executive member for a second consecutive year, as well as the African Training and Research Center in Administration for Development, founded in Morocco in 1964.

In a technological environment that tends not to recognize cultural differences or account for linguistic diversity, Morocco has developed an AI strategy that embraces innovation without ceding its identity to foreign models. When properly managed, AI can become an instrument of both economic development and cultural affirmation. The countries that use it to amplify their attributes, rather than mimic others’, will maintain their relevance as the AI future takes shape.

33. Excess Savings Are Driving the New China Shock

Author: Daniel Gros **Published:** Aug 11, 2026 **Link:** View Original

BRUSSELS—The first “China shock” followed China’s entry to the world trading system, when the mobilization of its massive pool of low-cost labor, combined with heavy investment from abroad, caused global manufacturing capacity to shift decisively toward the country. The new China shock is different: it is rooted in domestic technological upgrading and amplified by weak domestic demand.

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During China Shock 1.0, which began in the mid-1990s, China’s immense manufacturing capacity led to the formation of a huge surplus. After the 2008 global financial crisis, however, this surplus shrank. Infrastructure and housing booms absorbed domestic resources; imports of machinery and raw materials rose; and outbound tourism helped offset the goods surplus. By the late 2000s, the first China shock had come to an end.

But the tide soon turned again. The COVID-19 pandemic brought tourism to a standstill, and the 2022 collapse of a massive housing bubble undermined domestic demand. As Chinese firms chased markets abroad, exports rose and imports fell. China’s trade surplus again soared, surpassing $1 trillion last year—equivalent to just under 1% of global GDP (about $120 trillion).

While China’s exports are lower today than in 2008 as a share of its GDP, that is only because Chinese GDP has grown substantially over this period. Similarly, though China’s share of the global economy (evaluated at current prices) has fallen slightly over the last five years, that is because the renminbi has weakened considerably, and domestic prices have remained flat, while they rose almost everywhere else.

As China’s low domestic demand fueled a trade surplus, exports naturally increased in its most internationally competitive industries. But whereas the effects of the first China shock were concentrated in low-tech, labor-intensive sectors, such as textiles, toys, and furniture, Chinese exports now dominate several high-tech green sectors, such as batteries, solar panels, electric vehicles, and machinery.

Industrial policy and subsidies help channel China’s surging exports toward favored sectors. But they are not the underlying driver of that surge. Rather, China needs an external outlet for its excess savings.

China today is often compared to Japan in the 1980s. At the time, Japan was a high-saving Asian economy that had secured dominance in frontier manufacturing sectors, especially cars, consumer electronics, and semiconductors. It accounted for about 30% of global car production, similar to China’s 33% share today. Japan’s share of global GDP peaked at around 18% in 1994—again comparable to China’s current share.

Also, like China, Japan saw its surplus peak, triggering a strong political backlash abroad, then fall for a few years, owing to a housing boom. Once that bubble burst, the surplus again swelled, reaching a new peak in the mid-1990s. Eventually, however, slowing growth and declining savings weakened Japan’s economy. This is not happening in China.

China Shock 2.0 combines continued supply upgrading with an absorption problem: the decline in property and related investment has reduced domestic demand, but national saving remains very high. The result is a larger savings-investment surplus that spills into net exports. Unlike a permanent increase in productivity growth, this macro component is mainly a level effect: once the economy reaches a new lower investment equilibrium, exports and the current account are higher by a finite amount, unless savings rise further or domestic investment continues to fall.

The time path of savings is the underlying reason why China’s trajectory has diverged from that of Japan. Between 1991 and 2024, Japan’s savings rate fell from over 38% of GDP to under 27% of GDP. In 2024, China’s savings rate exceeded 43% of GDP.

Unless the economy is growing at close to double-digit rates, creating enough profitable investment opportunities to absorb such a large pool of savings is virtually impossible. With China’s GDP having grown at around 5% annually over the last five years, one can expect the country to continue running large surpluses for the foreseeable future.

It has often been argued that China needs to shift to a new growth model driven by domestic demand, and that a reduction in savings would go a long way toward supporting that goal. The same argument was made during the first China shock and about Japan in the 1980s. But it turned out to be difficult to get people to spend more. If Japan’s experience is any guide, it will take decades before China’s excess savings begin to fall.

This has an uncomfortable implication for Europe and the United States. Protectionist policies might slow the influx of Chinese products in some sectors, but they cannot eliminate the macroeconomic driver of the new China shock. So long as China saves more than it can profitably invest at home, the surplus will appear in foreign markets.

The first China shock faded as China’s economy absorbed more of what it produced. The second will wane only when China’s saving rate falls or domestic demand recovers. Neither is likely to happen quickly.

34. The Token Economy Requires Collective Data Governance

Author: Yaniv Benhamou **Published:** Aug 11, 2026 **Link:** View Original

GENEVA—For more than two decades, digital platforms have monetized our attention and social interactions. But today's AI models extract value from another source: our collective knowledge. Every article, photograph, code, video, and online comment can be turned into training data—trillions of so-called tokens—and ultimately into value.

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I call this new phase of digital capitalism the "token economy." The attention economy extracted value by capturing attention; the token economy extracts value by transforming human knowledge and creativity into data for training AI models.

Because the token economy is built on content produced by millions of internet users, the rules governing AI training data cannot be left to a handful of tech firms. If collective human knowledge has become one of AI's indispensable sources of value, it should be governed as a digital commons. New institutions are needed to negotiate collective access to that resource and ensure that the value it creates is shared more fairly.

While some individuals could theoretically exercise their licensing rights or consent for AI training, no user has the power to negotiate directly with OpenAI, Anthropic, Google, or Meta. They are simply too weak to confront tech firms with enormous market power, much like a single worker cannot bargain on equal terms with a large employer.

Collective-management organizations emerged over a century ago to fill this need. They have negotiated licenses on behalf of millions of authors and artists, collected royalties, and redistributed revenues according to transparent rules. Because of their ubiquity in creative industries, the idea of a well-known musician negotiating a separate agreement with every radio station and streaming platform that plays their songs seems absurd.

The token economy requires a comparable institutional response to govern the digital commons. One approach is to establish data cooperatives representing internet users, creators, and other rights holders. They could negotiate access to the content being fed to large language models, determine how the resulting value will be shared, and ensure that tech companies respect their members' choices.

But their role could extend beyond compensation. The central question is no longer only who gets paid, but also who gets to decide. Through these cooperatives, members could collectively determine the conditions under which AI developers can access their data, helping shape the values embedded in these systems and ensuring that they serve the public interest. Instead of being passive sources of data, citizens would become stakeholders in AI governance.

This is not a purely theoretical proposal. Markets for training data already exist; the real question is who oversees them. Reddit has secured data-licensing agreements with Google and OpenAI, demonstrating the value of user-generated content. Newspapers such as the Financial Times, Le Monde, and the Washington Post are also monetizing their archives for AI training. Across Europe, data-cooperative initiatives such as Switzerland’s MIDATA and Spain’s SalusCoop demonstrate that collective data governance is already becoming a practical reality, even if these models are only beginning to be applied to AI training data.

To be sure, critics will object that the complexity of such a system would make it too difficult to administer. But that argument is less persuasive in today’s token economy than it was in the attention economy, for two reasons. First, digital tools increasingly make it possible to identify datasets, track their use, and automate remuneration at significantly lower transaction costs. Second, many of the industries whose output trains AI models—notably publishing, music, and software—already possess institutions capable of negotiating on behalf of creators.

Moreover, complexity has never prevented collective-rights management before. Copyright societies have long distributed royalties according to agreed statistical methods rather than attempting to measure each contributor’s exact share. Data governance should follow similar principles. In the music industry, standardized identifiers already allow works to be tracked globally and revenues to be distributed automatically. Similar mechanisms could gradually make collective data governance a realistic and scalable solution.

The status quo, by contrast, has become increasingly difficult to justify. Millions of people continuously generate the raw material on which AI depends, yet almost none share in the wealth it creates, while a handful of companies capture most of the economic returns.

The internet was built through collective participation. The token economy should be governed the same way. The next challenge is not simply to build more powerful AI tools, but to ensure that the people whose knowledge makes them possible also help govern the institutions that organize their use. The attention economy created a handful of Big Tech giants. The token economy must now create institutions that distribute both economic value and decision-making power more broadly.

35. The Legacy of Zhu Rongji

Author: Minxin Pei **Published:** Aug 12, 2026 **Link:** View Original

CLAREMONT, CALIFORNIA—Since its founding almost 77 years ago, the People’s Republic of China has had eight premiers. But only two—Zhao Ziyang and Zhu Rongji—deserve credit for the country’s economic rise. In the 1980s, Zhao translated Deng Xiaoping’s vision of “reform and opening up” into policy, pushing through the reforms that underpinned China’s economic miracle. In the 1990s, Zhu—who recently passed away at age 97—racked up his own lengthy list of accomplishments, becoming one of China’s most respected senior leaders.

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Zhu’s rise to the pinnacle of Chinese politics could not have been predicted. Born in 1928 in Changsha, the provincial capital of Hunan, Zhu’s life was marked by tragedy from the start. His father died shortly before he was born, and his mother succumbed to illness when he was just nine, leaving him to be raised by his uncle.

Nonetheless, Zhu excelled in school. After finishing high school in 1947, he was admitted to the prestigious Tsinghua University, where he majored in electrical engineering. After graduating in 1951, he found a job in the State Planning Commission, where he stood out for his talent and work ethic. Before long, Zhu was promoted, becoming the executive assistant for a senior commission official.

But, soon after, it looked like Zhu’s rise through the ranks of the Communist Party of China might be cut short. In 1957-58, during Mao Zedong’s campaign against the intelligentsia, Zhu was labeled a “rightist” for criticizing Mao’s economic policies, expelled from the CPC, and banished to the countryside with other disgraced government workers and Party members for “re-education” through manual labor. He was subsequently transferred to a two-year college to teach mathematics.

After five years, Zhu was deemed sufficiently reformed and was permitted to return to his old job at the State Planning Commission. His “rightist” label was officially removed in 1962, but it continued to haunt him. Few were inclined to trust, let alone promote, a former rightist. As the Cultural Revolution unfolded later in the decade, Zhu was again purged and sent for “re-education.”

Once that dark period ended with Mao’s death in 1976, Zhu’s prospects brightened considerably. In 1978, he was allowed to rejoin the CPC, and he was appointed to a mid-level position in the powerful State Economic Commission (the successor of the State Planning Commission) the following year. In 1983, he became vice-minister of the commission.

Then came Zhu's big break. In 1987, he was appointed mayor of Shanghai, where he began to build a reputation as an effective economic reformer, loyal Party member, and fervent opponent of corruption. He also caught Deng's eye. After purging Zhao in the weeks following the Tiananmen Square crackdown in June 1989, Deng was looking for another competent technocrat to take charge of the economy. And he was reportedly deeply impressed by Zhu's grasp of economic issues during his visits to Shanghai in 1990 and 1991. So, in 1991, Deng appointed Zhu as a vice premier of the State Council.

Less than two years later, Zhu joined the Politburo Standing Committee and became executive vice premier—essentially China's economic czar. Again, he proved more than up to the job, quickly taming high inflation and implementing a series of ground-breaking reforms. Notably, he oversaw the unification of China's official and swap-market exchange rates in 1994, resulting in a massive one-time devaluation that would facilitate the country's emergence as an export powerhouse within a decade.

Zhu also restructured China's outdated tax system, dramatically increasing the central government's revenue—and thus its ability to make pro-growth investments. Moreover, he pursued financial-sector reforms that transformed a hidebound, centralized banking system into a dynamic, commercially-oriented sector. And when the Asian financial crisis erupted in 1997, Zhu saved the Chinese economy by restructuring its state-owned industries, privatizing some enterprises and shutting down others, and ensuring that state-owned banks received the capital they needed to shore up their balance sheets.

Zhu solidified his legacy of deft economic leadership after being promoted to premier in 1998. His crowning achievement was securing American support for China's entry into the World Trade Organization, which came in 2001. This was a decisive moment for China's economy. Total Chinese exports soared from $253 billion in 2000 to $1.65 trillion in 2010.

In terms of style, Zhu bore little resemblance to a typical Party apparatchik. Nicknamed "Boss Zhu," he was an outspoken, highly gifted technocrat who suffered no fools. But Zhu was not a political reformer. Yes, he managed to avert a bloodbath in Shanghai after the Tiananmen Square massacre—an achievement for which he was widely praised. But he never advocated political liberalization.

Even Zhu's institutional reforms were not necessarily focused on market liberalization. On the contrary, they ended up doing more to strengthen the state's administrative capacity than to empower the private sector. Likewise, even as he restructured the state-owned sector, he left large SOEs essentially untouched, enabling them to retain their near-monopolies in energy, telecommunications, and financial services.

In short, Zhu was not easy to categorize. He was both an exceptional reformer and a loyal CPC member—a technocratic trailblazer. When journalists called him "China's Gorbachev" during his visit to the United States in 1990, an annoyed Zhu shot back, "I am not China's Gorbachev. I am China's Zhu Rongji."

Zhu's rise from banished "rightist" to distinguished premier was as unlikely as it was astonishing. It might not have been possible at all without Deng's personal intervention. In hindsight, there is no question that Deng made the right choice.

36. The Monetary Roots of Political Extremism

Author: Ann Pettifor **Published:** Aug 12, 2026 **Link:** View Original

LONDON—Elon Musk does not know it, but he is indebted to the Geneva School of economists. It was this now largely forgotten group that, combining the Austrian school's emphasis on free markets with German ordo-liberalism, developed in the 1930s the theory that paved the way for greater private control over the creation, pricing, distribution, and marketing of money. This is the intellectual foundation on which plutocrats like Musk now construct their citadels of wealth and power, at the expense of democracy.

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The Geneva School's contribution to the erosion of democracy was no accident. As Boston University's Quinn Slobodian has observed, its key members—including Ludwig von Mises, Friedrich von Hayek, and Lionel Robbins—shared a view, later embraced by the Chicago School's Milton Friedman, that democracy posed a "potential threat to the functioning of the market order," not least by legitimizing demands for redistribution.

These neoliberal economists thus lobbied for "safeguards" against democracy's disruptive capacity. They wanted states, laws, and institutions redesigned to minimize public, democratic authority over the economy in order to protect and "encase" private market authority. And, to a significant extent, they got it.

Today, the global financial system is bigger than ever, and many parts of it—especially the "shadow banking" system comprising non-bank financial intermediaries like hedge funds and private-credit firms—operate largely beyond government oversight and regulation. In Frankfurt, London, New York, Shanghai, and Singapore, private actors have the power and freedom to shape huge, mobile, and speculative markets in money, energy, health, food, education, and housing—a kind of global casino where, as with all casinos, the house comes out ahead.

This system is, by design, remote and unaccountable. And the consequences have been predictable: extreme concentration of private wealth, a tightening grip on political influence by wealthy private actors, the degradation of the public sphere, the rise of political extremism, and, with the IPO of Musk's SpaceX, the (brief) emergence of the world's first trillionaire.

At the intellectual heart of this system is a warped and archaic understanding of money as a scarce commodity. In 1695, John Locke posited that money could be stabilized by tying it to a physical commodity like silver or gold—an arrangement that, as Georgetown University's Stefan Eich explains, effectively precluded discretionary political meddling in money.

Centuries later, Geneva School advocates embraced this idea of "depoliticized" money. In his 1976 monograph Denationalisation of Money, Hayek argued that the government's monopoly over money should be abolished. Unemployment, he asserted, arose not from any shortcomings of markets, but from "governments denying enterprise the right to produce good money." Inflation persisted because of state intervention in currency valuation, and because money was excluded “from itself being regulated by the market process.” Nothing, he concluded, should inhibit the development of a private market in the creation, supply, pricing, and distribution of money.

Democracies were particularly problematic. “A good money, like good law, must operate without regard to the effects that decisions of the issuer will have on known groups or individuals,” he wrote. While a “benevolent dictator might conceivably disregard these effects,” democratic governments, which are “dependent on a number of special interests,” cannot “possibly do so.”

Of course, Hayek’s vision of money as a commodity which must be de-politicized was fundamentally political. Today, its appeal remains far more powerful than is commonly understood—extending far beyond cryptomania. If money is understood as a commodity like lumber or platinum, then it is but one short logical step to the belief that money can be bought and sold in private markets.

But money is not a commodity. It is a social construct. It is a promise to pay, and the credibility of that promise is underpinned and upheld by laws, regulations, and public institutions. Money is, at its core, a credit system, the likes of which have existed for millennia, enabling societies to do more than they could through barter.

As Benjamin Braun of the London School of Economics and Political Science and Daniela Gabor of SOAS University of London explain, there are two main forms of credit-money: the liabilities of the central bank (reserves and cash) and the liabilities of commercial banks (deposits). The “moneyness” of these liabilities depends ultimately on the legal rights and financial backing that the state provides, including direct access to lender-of-last resort liquidity.

The Geneva School’s contemporary exponents distort this arrangement by permitting and encouraging privately arranged, market-based money creation and pricing (interest rates). While the central bank has direct control over the “bank rate,” market rates are, by design, beyond its regulatory oversight. This private power to fix the “price” of money drives up real rates and yields, and encourages private money markets to apply the principles of usury to generate wealth-extracting and debt-inflating credit.

Such “easy” money creation, coupled with high real rates, inevitably drives up the cost of private borrowing. Moreover, the global shift toward inflation targeting in the 1990s caused central banks to account primarily for the interests of creditors in their interest-rate decisions. Partly as a result of this easy but costly money creation public and private debt has surged, reaching an eye-popping $251 trillion in 2024, equivalent to 235% of global GDP, up from roughly 100% in the 1960s. Private debt alone amounts to 143% of global GDP.

Hayek’s monetary dream finds its fullest expression in the largely unregulated global market in money. As Cornell Law School’s Paul McCulley, formerly a managing director at PIMCO, pointed out in 2009, this “shadow banking” system has contributed to “explosive growth in leverage and liquidity risk outside the purview of the Federal Reserve.” And this market continues to grow. In 2024, it expanded by 9.4%—double the pace of the regulated banking sector—reaching $256.8 trillion, or 51% of global financial assets.

As Braun and Gabor also show, when private financial actors innovate, they create “shadow money”—financial liabilities that fulfill quasi-monetary functions within the financial system, but without (ex ante) state support. Prior to the 2008 global financial crisis, both Bear Stearns and Lehman Brothers created shadow money to fund their rapidly expanding balance sheets. But the creation of new money, Braun and Gabor explain, depends on the daily valuation of the collateral against which the new credit has been created. When private collateral valuation broke down, so did the shadow banks.

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Musk has been tapping Wall Street and shadow banks for billions of dollars in loans over the past year to fund the growth of SpaceX, which Bloomberg's Nir Kaissar describes as a "profitless, non-dividend-paying, one-person-controlled, empire-building project" and the "very definition of a junk stock." While many have been willing to extend those loans, they have demanded high real interest rates.

Unlike credit-rating companies, the private bond market judges a company's value by the additional yield it has to pay above US Treasuries with similar maturity. The bonds issued by SpaceX trade at a wider average spread of 1.62 percentage points across maturities. That is larger than BB-rated junk bonds' average spread of 1.55 percentage points.

As the credit market understands, junk bonds are far more likely to default, which is why many institutional investors such as pension funds, insurers, and government accounts usually won't hold junk-rated bonds at all. When Musk's other company, Tesla, almost went bankrupt over 2017-19, its bonds were trading as low as nearly 80 cents on the dollar.

One might expect that, at the very least, these private credit markets face the same discipline as other capitalist enterprises —getting either rewarded or disciplined for risk-taking—and that they do not benefit from public policies and resources. In fact, to mitigate the risks of crises, these private markets remain tethered to publicly backed central banks. Monetary policymakers' actions, from quantitative easing (QE) to interest-rate cuts, provide a periodic boost to shadow-banking leverage, as Gabor and Copenhagen Business School's Cornel Ban have shown.

After the global financial crisis, the European Central Bank went out of its way to protect the securitization market by providing collateral, engaging in QE, and lobbying the European Commission and national governments for regulatory easing. The ECB also successfully fended off a proposal by the European Commission for a tax on financial transactions, including shadow banks' repurchase agreements.

The surplus accumulated by a small but growing number of plutocrats is further bolstered by tax breaks and public subsidies (such as for fossil fuels). It was partly because of the distribution of public financial resources that the combined wealth of America's billionaires surged by $2.071 trillion (70.3%) during the COVID-19 pandemic (March 2020–October 2021), reaching $5.02 trillion. The wealth of the country's richest five people at the time—Jeff Bezos, Bill Gates, Mark Zuckerberg, Larry Page, and Musk—increased by 123% during that period.

This trend has only accelerated since then. According to Jasper Boll of the Paris School of Economics, and Emmanuel Saez and Gabriel Zucman of the University of California, Berkeley, the wealth of 250 California billionaires has grown 144% in 2023–25, reaching more than $2 trillion—almost half of California's annual GDP—at the end of last year. By May 2026, it had grown a further 12.5%, to $2.31 trillion.

Musk is not on this list, as he abandoned California for Texas, a state with no income tax. But, after receiving tens of billions of dollars in US government subsidies and contracts, his net worth reached over $1.4 trillion, though it now hovers around $800 billion.

In their 2020 book Trade Wars Are Class Wars, finance writer Matthew C. Klein and Peking University's Michael Pettis argue that rising inequality within countries heightens international trade conflicts. Falling wages and real incomes reduce the purchasing power of working people, while raising the level of savings.

The wealthy capture a large chunk of those savings. But, like those that benefited from 19th-century imperialism, today's wealthiest people cannot spend all the wealth they possess. There are only so many superyachts, private jets, rocket ships, luxury bunkers, and sprawling mansions, let alone non-luxury goods, they can buy. Unable to sell their wares, firms accumulate growing surpluses—a recipe for recession unless foreign market outlets can be found to absorb a country's excess production and savings.

In the 19th century, these conditions contributed to imperialism, with a focus on countries like Brazil, India, and South Africa. In the 21st, they have helped to propel hyper-globalization, with wealthy actors seeking foreign markets not only to absorb the growing surpluses they control, but also to help increase those surpluses further, such as by shifting production to China and South Asia. Silicon Valley billionaires and US private-equity investors have also found opportunities in Western and Eastern Europe, as well as Latin America—particularly their housing, energy, health-care, and transport markets.

Globalization enabled rapid growth for many developing countries, with 800 million people lifted out of poverty in China alone. But it also fueled trade imbalances, leading to political tensions between surplus and deficit countries. And while hyper-globalization met capital's needs, it did not account for labor's well-being. Workers in America's Rust Belt, for example, endured decades of erosion of their livelihoods before embracing a populist political movement that promised to reverse their fortunes.

They are not alone. In countries as varied as Brazil, Russia, Italy, and India, millions of voters have backed right-wing strongmen (and strongwomen) who vowed to take back control over their economies and protect workers' job from the international economic system.

But these "saviors" often make matters worse. Nowhere is this more obvious than in the United States, where President Donald Trump promised to protect Americans by cracking down on immigration and erecting tariff barriers to the Mexican, Chinese, and even Canadian markets. Meanwhile, his administration cut taxes on the wealthy and slashed regulations on their speculative and extractive activities. As the richest few gain control over ever-larger surpluses of unspent savings, their appetite for investment and speculation in foreign markets only grows, along with right-wing populism at home.

The combination of extreme domestic inequality and global trade and financial imbalances has produced what Wolfgang Streeck, a former director of the Max Planck Institute for the Study of Societies in Cologne, calls a "revolutionary situation." Such a situation occurs, as Vladimir Lenin put it, "when the 'lower classes' do not want to live in the old way, and the 'upper classes' cannot carry on in the old way." But a 21st-century revolution would be unlike any before it for one reason: humanity is facing the existential threat of climate breakdown and biodiversity collapse.

The global economic system is falling short of what people deserve and what the planet needs to maintain humanity's life-support system. While the financial system generates unprecedented wealth for plutocrats like Musk, it also produces shocking levels of precarity and hardship, with economic inequality directly translating into political inequality. Moreover, it is dangerously over-indebted and prone to recurring financial crises.

Given these risks, nothing less than an economic and financial overhaul will do. The world needs systemic change. We should start by rejecting the dangerously flawed theory of money that underpins the status quo.

37. Europe Failed the Ceuta Test

Author: Zaki Laïdi **Published:** Aug 12, 2026 **Link:** View Original

PARIS—Soon after it became clear that more than 70,000 Moroccans were attempting to cross into the Spanish enclave of Ceuta—many by swimming across the narrow stretch of water separating it from Morocco—22 European Union member states called on European Commission President Ursula von der Leyen to convene an emergency meeting of the bloc's interior ministers. But before the meeting could even take place, Italy announced that it was temporarily suspending visa-free travel from Spain and reintroducing border controls.

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The irrationality of this reaction reveals the extent to which the migration crisis is eroding European unity. Over the past decade, it has fueled the rise of far-right movements that have learned to exploit anti-immigrant sentiment for political gain, while also undermining trust among European governments whenever one of them comes under pressure.

Italian Prime Minister Giorgia Meloni, increasingly worried about her diminishing electoral prospects, has led the charge against Spain, imposing border controls rather than showing solidarity with a fellow European government. More dispiriting still was the public backing she received from Danish Prime Minister Mette Frederiksen, given Spain's support for Denmark in the face of US President Donald Trump's threats to take over Greenland.

The contrast with 2021, when 8,000 people attempted to cross the same border, is striking. Back then, the EU responded quickly and decisively, affirming that the problem concerned the bloc as a whole. In recent weeks, by contrast, several European governments have come close to blaming Spain for a crisis it did not create. Meanwhile, von der Leyen has avoided taking a clear position, preferring to stay out of the line of fire.

The question, then, is not how so many migrants managed to converge on the border at the same time, but what caused the crisis in the first place. As in most crises, the answer lies in three overlapping sets of immediate, contingent, and structural factors.

The most immediate cause was a recent ruling by Spain's Supreme Court involving a migrant who had attempted to reach Ceuta by swimming, only to be returned to Morocco after being intercepted by Spanish police. The Court held that crossing a border by sea was not legally equivalent to crossing it by land, which entails a deliberate act of overcoming a physical barrier.

One could endlessly debate the merits of this legal distinction. But the crucial point is that the Court did not rule that migrants attempting to reach Ceuta by swimming were entitled to enter Spanish territory. It simply held that a person arriving by sea could not be sent back immediately and automatically.

Prospective migrants, of course, did not dwell on such legal nuances. Word spread quickly on social media that crossing by sea would no longer lead to immediate expulsion. That small legal opening was enough to encourage many desperate people to try their luck. At the same time, Europe’s far-right parties seized on the ruling to renew their attacks on the rule of law and demand draconian measures unconstrained by legal safeguards.

One can hardly blame migrants for failing to grasp the finer points of Spanish law when European leaders appear even more confused. Ceuta and Melilla are within the Schengen (visa-free-travel) area, but only for Europeans. In other words, entering either enclave does not give a Moroccan the right to travel elsewhere in Europe. Yet that did not stop Italy from announcing its temporary border restrictions.

Then there are the contingent factors, beginning with the initial passivity of authorities on both sides. In 2024, a social-media campaign encouraging a mass crossing circulated on TikTok, with one video alone receiving more than 500,000 views.Moroccan authorities reacted swiftly, removing more than 4,500 people from the border.

This time, despite the far larger number of migrants involved, Moroccan authorities failed to prevent tens of thousands from crossing. Whether that was the result of negligence, security forces being preoccupied with Morocco’s Throne Day celebrations, or a hybrid attack can only be determined by an investigation. Morocco had a lot to lose in masterminding such an operation, but some Spanish commentators have their doubts about its innocence.

To be sure, the failure was not Morocco’s alone. Spain’s security services have considerable experience monitoring attempted border crossings at Ceuta and Melilla. How did they not anticipate such a large mobilization and alert officials in Madrid?

The possibility of political sabotage cannot be dismissed. Prime Minister Pedro Sánchez is under pressure on three fronts: in Spain, where the right has every incentive to weaken his government; in Europe, where the right is using this crisis to undermine one of the continent’s few remaining left-leaning governments; and in the US, where President Donald Trump wants both to weaken Sánchez, whose policies he dislikes, and show that public anger over migration is a serious issue that Europeans are incapable of resolving. Whatever happened on the Spanish side, and whoever bears responsibility, there is little doubt that the principal beneficiary of the crisis is the anti-immigration Vox party.

The third factor is structural. Too many young Moroccans see few opportunities at home, causing them to look abroad for a better future. Nearly 1.5 million Moroccans between the ages of 14 and 24 are not in school, training, or employment. In a country of more than 38 million people, only about 2.2 million workers are covered by the social-security system.

Compounding the frustration, educational attainment has risen markedly, but job creation has failed to keep pace. Educated young Moroccans naturally expect jobs that match their qualifications and greater access to economic opportunities. GDP per capita in Ceuta, despite being the second-lowest in Spain, is more than five times that of Morocco. Only sustained cross-border development can change this bleak picture.

For Europe, the Ceuta crisis is particularly alarming because it reveals how quickly European solidarity collapses when migration pressures collide with leaders’ short-term electoral interests. With elections looming in France, Italy, and Spain, the temptation to counter the far right by adopting increasingly hardline positions on immigration will only grow, pushing governments toward security-driven responses to a problem that cannot be reduced to border control alone. For now, at least, Europe’s far right has every reason to be pleased.

38. Will Latin America Embrace Guerrilla Geopolitics?

Author: Jorge G. Castañeda **Published:** Aug 12, 2026 **Link:** View Original

MEXICO CITY—The wars in Iran and Ukraine have put the spotlight back on guerrilla warfare. Conflicts in which smaller groups, forces, or countries resist or defeat much stronger adversaries using unconventional tactics, weapons, and strategies date back to the Scythian resistance to Persian Emperor Darius I. But this type of fighting is more commonly linked to the Spanish insurgency following Napoleon's 1808 invasion (guerrilla means "small war" in Spanish).

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While guerrilla warfare can be a defensive response to an attack or incursion, as in 19th-century Spain, it has also been employed by revolutionary groups seeking to overthrow a regime or a colonizer, like in Algeria, Cuba, and Vietnam in the 1950s and 1960s. Soon after the successful Cuban Revolution, Che Guevara—the Argentine adventurer who led the revolt alongside Fidel Castro—wrote Guerrilla Warfare. This short how-to manual, which contained simple practical advice and dubious theoretical assertions, served as a north star for Latin American armed groups in the 1960s. Guevara also tried to implement these teachings (unsuccessfully) in the Congo and Bolivia.

Many in the West saw guerrilla warfare, particularly the Algerian National Liberation Front's (FLN's) fight against the French in Algeria and the Viet Cong's efforts in South Vietnam, through the lens of terrorism. As a result, experts on international law and the law of war, including Richard Falk and the late Charles Chaumont, sought to establish a legal foundation for this type of military activity.

The resulting legal arguments were contradictory. Chaumont argued that weaker combatants were obliged to devise forms of struggle adapted to their military inferiority and their special circumstances. That could mean attacking civilian targets, such as cafes in Algiers. The idea, while dubious, echoed a real dilemma: one man's terrorist was another's freedom fighter.

The guerrilla arsenal has expanded to include autonomous drones and maritime chokepoints, which now define asymmetric warfare in Ukraine and Iran. Their experiences have shown that smaller, weaker countries—not just rebellious factions or armed groups—can use such tactics to resist larger, more powerful adversaries, resulting in stalemates.

With weapons, intelligence, and logistical support from the United States and the European Union, Ukraine has managed to contain the Russian invasion and even regain some of the territory it lost at the start of the war. Ukraine has also inflicted heavy casualties on the Kremlin's army and attacked strategic targets deep inside Russia, owing to its impressive advances in drone design, production, and deployment. Whether this will be sufficient to compel Russian President Vladimir Putin to accept a negotiated peace remains uncertain.

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The ultimate outcome of the US-Israeli war against Iran is just as murky. By closing the Strait of Hormuz—more through the threat of attack rather than through actual assaults on container ships—and dragging the Gulf countries into the fray, Iran is in a position of strength. Moreover, the Islamic Republic seems more patient than US President Donald Trump, who is desperate for some sort of victory and has already made grave miscalculations. Iran may well emerge as the victor.

As we have seen before, misreading facts on the ground—both on the battlefield and at home—almost invariably leads to defeat. Vietnam eventually won its war against the US, owing to its willingness to endure pain, seemingly unlimited supplies of arms from China and the Soviet Union, and domestic US opposition to the conflict. The FLN’s military victories, coupled with the French people’s growing aversion to colonial wars, forced France to accept Algerian independence. Even Castro and Guevara toppled Fulgencio Batista’s regime partly because public and political sentiment in Havana had turned against the dictator.

The resurgence of guerrilla warfare has underscored the potential benefits of asymmetric warfare in today’s increasingly multipolar world, encouraging countries and regions to assess how they can effectively leverage their unique strengths.

Latin America, for example, is a minor player on the international stage, accounting for 8% of the global population and 6% of global GDP. But the region could compensate for its relative weakness by emphasizing its many advantages. These include being the world’s largest net food exporter, possessing the biggest freshwater reserves, and having the highest biodiversity levels. Latin America also holds the world’s largest deposits of copper and lithium, as well as vast reserves of other strategic minerals and rare earths.

Despite being the world’s most violent region based on homicides per capita, Latin America has long lacked conventional wars between countries: the last such conflict occurred in 1995 between Ecuador and Peru. Moreover, the region has been a nuclear-free zone since the Treaty of Tlatelolco was signed in 1967 (with the possible exceptions of Cuba through the 1980s and the Panama Canal Zone, which was abolished in 1999).

Unfortunately, recent victories by right-wing candidates in Chile, Ecuador, Peru, and Colombia suggest that some in the region will be inclined to acquiesce to the US, rather than pursue active non-alignment. Brazil faces a tight presidential election in October, with President Luiz Inácio Lula da Silva confronting an extremist conservative challenger and a slight ebb in popularity (the 80-year-old first ran for president in 1989). Mexican President Claudia Sheinbaum is popular but presides over a stagnant economy and widespread violence, subjecting her to constant pressure from the US, to which she inevitably caves.

Canadian Prime Minister Mark Carney best described the evolving situation at Davos: if middle powers are not at the table, they are on the menu. Latin America is currently not at the table, but if Trump’s National Security Strategy is anything to go by, it looks like a main dish. In such an environment, it would not be surprising if Guevara’s book finds a new audience.

39. China’s Biggest Weakness on AI

Author: Carl Benedikt Frey **Published:** Aug 12, 2026 **Link:** View Original

OXFORD—In late April, a Chinese court ruled that an AI firm could not legally dismiss an employee simply because his role had been automated. Shortly thereafter, Chinese regulators reportedly suspended new autonomous-vehicle licenses nationwide in response to a mass robotaxi failure in Wuhan, a city where cab drivers had long petitioned authorities to slow the technology’s rollout. And all the while, Chinese state media has been criticizing companies for contemplating AI-driven layoffs, arguing that they have a duty to protect their employees.

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Together, these episodes suggest that China is beginning to pump the brakes on its own AI rollout. But why would a state with such coercive capacity and a strong desire to dominate the technological frontier choose restraint? After all, China seemed to have a structural advantage in the AI race. An authoritarian state can be a deployment machine, overriding worker resistance, suppressing protests, and keeping the gears turning, whereas liberal democracies are deliberation machines that must account for elections, unions, assembly rights, and other institutional constraints.

But China has a fundamental weakness: it lacks a robust social safety net. True, the West’s high social spending—on unemployment benefits, public health care, and retraining schemes—is usually framed as a brake on innovation, since it requires taxing high earners and transferring wealth from productive sectors to dependent ones. But the historical record shows that social insurance can accelerate the deployment of new technologies. When a state can credibly promise that displacement will not mean destitution, workers and their representatives are more likely to accept technological change.

Of course, plenty of countries have chosen repression instead, clearing the way for the machines by force. Britain deployed the army against the Luddites in 1812 and made machine-breaking a capital offense. The industrializations of South Korea and Taiwan relied partly on suppressing independent unions. But repression is easiest to sustain when it comes with a credible promise of progress. South Korea and Taiwan could suppress labor because they were also delivering factory jobs, urbanization, and rising living standards. Workers were asked to endure low wages today in exchange for richer lives tomorrow.

AI displacement does not allow for such a trade-off in China. It is arriving in offices, services, and platforms, threatening educated young workers as much as factory hands, and it comes just as China’s promise of ever-greater opportunity is becoming harder to keep. Chinese growth is slowing, the property ladder is broken for many young people, and labor-market anxieties are reflected in high precautionary saving rates and nostalgia for the boom years.

Chinese authorities seem to recognize the problem. But even if they understand that technology-driven displacement must be managed politically, China’s lack of a strong institutional cushion limits their options. Public social spending is only around 10% of GDP, less than half the OECD average. Hundreds of millions of internal migrants remain disadvantaged by the hukou system, and Chinese households still bear a large share of health-care costs out of pocket.

As the economist Barry Naughton has shown, China has built much of the framework for a universal welfare system, but transfer flows remain modest, constrained by the urban-rural divide and demographic aging. Its unemployment insurance was designed for cyclical rather than structural displacement, and only a relatively small share of those out of work draw benefits.

China has paid the price for failed technological deployments before. For centuries, craft guilds resisted mechanization to protect their members, thereby delaying China’s industrialization for two centuries. The risk today is similar. The short-term political need to avoid disruption could deprive Chinese society of the latest technology’s long-term benefits.

By contrast, Britain could sustain mechanization during the Industrial Revolution partly because it boasted a social-welfare system unmatched anywhere in Europe. Under the Old Poor Law, parishes, from 1601 onward, were legally obliged to relieve the able-bodied poor. As a result, most paid cash allowances to those out of work or on low earnings, covered rents, supplied bread and fuel, and paid for medical care.

These measures worked. Recent research by the economists Avner Greif and Murat Iyigun finds that English counties with higher per capita poor relief experienced fewer riots as the economy industrialized. The Poor Law had many flaws, but its political consequences were clear: it acted as a shock absorber that helped keep factories running. Far from hampering technological deployment, the welfare state may be an essential complement. Yet the West risks squandering this advantage. In the United States, unemployment insurance is reaching a shrinking share of the unemployed just as AI has begun to affect the labor market.

Of course, some social protections create their own challenges. Many parts of Europe risk delaying AI deployment because there are rules on the books protecting specific jobs rather than insuring workers through transitions. When a German works council demanded that its employer bar staff from using ChatGPT, the Hamburg Labor Court rejected the petition, but the firm still had to litigate the matter. Such uncertainty makes experimentation costly. When SAP restructured its operations around AI in 2024, shedding roughly 8,000 positions, it had to set aside €2.2 billion ($2.5 billion) for voluntary buyouts and early retirement—equivalent, by one estimate, to more than three years of pay per affected worker in Europe.

Denmark’s flexicurity model comes closest to striking the right balance: Weaker employment protections are offset by generous unemployment benefits and intensive active-labor-market policies, including retraining and re-employment. Firms can deploy AI safely, knowing that workers are insured and that the overall political economy will hold.

The race between the US and China is not only about chips, compute, and model parameters but also about institutional capacity. China must now build the welfare state it has long avoided building—and at a time of slowing growth and deteriorating demographics. America and Europe are starting from a better position, but they still have a long way to go to modernize their welfare states and eliminate veto points before displacement becomes politically uncontainable.

Repression is what states reach for when they have nothing else. The AI revolution will be won not by the country most willing to force workers aside, but by the one that makes them secure enough to let the machines in.

40. The Twilight of the ICC

Author: Shlomo Ben-Ami **Published:** Aug 12, 2026 **Link:** View Original

TEL AVIV—International criminal tribunals once focused on bringing defeated leaders, such as Serbia's Slobodan Milošević and Liberia's Charles Taylor, to justice. But the International Criminal Court has gone further, issuing arrest warrants for incumbent leaders—notably, Russian President Vladimir Putin and Israeli Prime Minister Benjamin Netanyahu. While there is a certain boldness in such actions, they fail to account for political reality. In fact, the ICC's new, more forceful posture may well have incited its downfall.

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Western governments were united in applauding the ICC's 2023 arrest warrant for Putin, but they remain deeply divided over the 2024 arrest warrant for Netanyahu. Whereas Ireland has supported the move, Czech Foreign Minister Jan Lipavský decried it: "Putting a terrorist and someone defending their country against [terrorists] on the same level ... undermines the credibility of the court."

In the United States, nearly half of the population believes that Netanyahu should be arrested if he enters the country, in accordance with the ICC warrant. But President Donald Trump's administration considers the ICC's actions part of an unacceptable new front in the "war" that Secretary of State Marco Rubio claims the institution has been waging on the US and its allies.

Rubio has vowed to dismantle the ICC "brick by brick," including through asset freezes, visa bans on ICC judges, and pressure on member states, such as US client Venezuela, to withdraw from the Court. Burkina Faso, Mali, and Niger have also begun the withdrawal process, denouncing the ICC as a "tool of neocolonial repression."

This is not just about Netanyahu: though the US has supported ICC action when it aligned with US interests, the Trump administration insists—at precisely the moment when it is carrying out military operations that violate international law—that the Court should have no jurisdiction over Americans. But Netanyahu's case has become an existential test for the ICC, one that the institution will almost certainly fail.

A court whose indictments do not lead to arrests lacks legitimacy. And the chance that Netanyahu—or Putin, for that matter—will be taken into custody is close to zero. "I don't think there is a single European country that would arrest Mr. Netanyahu," said Belgian Prime Minister Bart De Wever, noting that within the "framework of realpolitik, practical considerations prevail over ethical considerations."

Such defiance is hardly unprecedented. The ICC first charged Sudan's then-president, Omar al-Bashir, with war crimes in 2009 and issued a second arrest warrant in 2010 for his role in the Darfur genocide. Yet Bashir remained in power until the 2019 coup d'état. When Bashir visited Turkey in 2017, President Recep Tayyip Erdoğan said he could "only laugh" at the ICC's demand for an arrest. Erdoğan has praised the ICC's warrant for Netanyahu, however, highlighting the extent to which support for the Court is about politics, not respect for the institution.

Turkey is not an ICC member. Nor are Indonesia, Israel, or Pakistan, let alone major powers like China, India, Russia, and the US. European countries are—and they, too, have refused to help enforce arrest warrants. In January 2025, Osama Elmasry Njeem, a senior Libyan military officer charged with war crimes and crimes against humanity, was arrested in Turin under an ICC warrant. But Italy then released Njeem and sent him back to Libya, without so much as notifying the Court—a violation of its obligations under the ICC's Rome Statute. Njeem was arrested in Tripoli the following November.

Further undermining the ICC's credibility are charges of "selective justice," which are reinforced by a structural constraint of the Court: in cases where the crime took place on a non-member state's territory, the ICC may exercise jurisdiction if the state agrees or if the United Nations Security Council refers the case to the Court. This explains why the ICC has not been able to indict former Syrian dictator Bashar al-Assad, who oversaw the massacre of roughly half a million people.

Nor has the Court charged any Chinese leaders over the cultural genocide perpetrated against the Uyghur minority in Xinjiang. And despite the Trump administration's claims that the ICC has an anti-American vendetta, the US and its British allies remain shielded from accountability over the hundreds of thousands of civilian deaths in non-member Iraq.

In Netanyahu's case, the ICC found a way around this constraint. It asserts that it can "exercise its jurisdiction on the basis of territorial jurisdiction of Palestine," which has acceded to the Rome Statute, even though the legal status of the State of Palestine is a source of considerable disagreement, among both states and legal scholars.

To push the case forward, the Court also arguably failed to uphold the principle of complementarity, which requires the Court to defer to national authorities that are willing and able to investigate and prosecute the relevant crimes. The ICC was meant to be a court of last resort, and while Israel's political class warrants reproach, its judicial system remains capable and respected. Yet Israel seems not to have been given a reasonable opportunity to claim complementarity before the ICC issued its arrest warrant.

This amounts to a significant blunder—especially given that, as of last October, 74% of Israelis supported the establishment of a state commission of inquiry into the war in Gaza. There is every reason to believe that, sooner or later, Israeli leaders will be held accountable for the horrors they have overseen.

The Netanyahu arrest warrant has underscored the ICC's impotence and tendency toward selective justice, but it did not create them. In fact, the Court's days were arguably always numbered. Born amid the euphoria of the West's Cold War victory, it embodied the aspiration that international law could transcend politics, and that a single institution could fairly and impartially defend human rights around the world.

But the ICC always represented victors' justice, and it was never equipped to operate in a world shaped by Machtpolitik. In this context, non-judicial mechanisms—such as political pressure, bilateral agreements, economic sanctions, and the promotion of complementarity—may well prove more effective. In any case, the ICC's record clearly does not vindicate its purported role as the universal arbiter of international criminal justice, and it might have to relinquish it.

41. The Real Competitiveness Test

Author: Jan Mischke **Published:** Aug 13, 2026 **Link:** View Original

ZURICH—Ask what makes a country competitive and you will drown in answers. Existing frameworks, including those used by the World Bank, rely on hundreds of indicators. In new research, my coauthors and I propose a simpler measure: investment. Where companies choose to build their next factory, laboratory, research center, or power plant is the clearest indicator—and the ultimate test—of competitiveness.

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At the heart of our study is a line-by-line comparison of investment cases across ten industries, from chemicals and steel to advanced semiconductors and drug discovery. We find that building and operating a factory or research-and-development facility in Europe or the United States is generally at least 50% more expensive than in today’s leading investment destinations.

In research-intensive activities, this gap can approach 300%. Developing a new electric-vehicle platform, for example, costs about $445 per vehicle in China compared with roughly $1,600 in Germany. Is it any wonder, then, that China has become a location of choice for automotive R&D? Capital tends to go where costs are lower, especially in globally traded, footloose industries.

In 1995, investment in productive assets like factories, machinery, and production platforms was broadly similar across Europe, the US, and China. Since then, however, China has pulled decisively ahead. Today, its net productive investment is roughly six times that of the US. Each year, it adds three times as much productive capacity as Europe and the US combined. China now produces 85% of the world’s batteries, and one in every two new car models launched globally last year came from a Chinese manufacturer.

Europe has moved in the opposite direction. As a share of GDP, net productive investment has fallen by half since the early 2000s, from roughly 4% to about 2%. In Germany, Europe’s manufacturing powerhouse, it amounted to just 0.2% of GDP in 2024. The EU’s annual investment shortfall has been estimated at €750–800 billion, or about 4.5% of GDP. In practical terms, that means fewer factories, less R&D, and declining manufacturing capacity.

In the US, investment has shifted toward digital technologies and, more recently, AI. Seven AI-related companies increased their combined capital spending and R&D 50-fold over the past two decades, from $15 billion in 2005 to nearly $750 billion in 2025. By the end of this year, that figure could approach $1 trillion. Yet total productive investment as a share of GDP has remained flat, and despite recent industrial-policy initiatives, manufacturing investment has fallen over the past year.

None of this implies that China is unbeatable. The country generates about 40% less value from each unit of capital than Europe and the US, prompting the Chinese government to launch a campaign against what it calls neijuan (“involution”). Nevertheless, China now attracts more than one-quarter of global investment, absorbing 63 cents of every dollar invested in machinery worldwide.

What explains China’s success, and that of other investment magnets? Part of the answer is lower wages combined with productivity that matches or exceeds that of higher-wage economies—not in aggregate but for new investments. Beyond labor costs, energy and construction are cheaper, and projects move much faster. Europe’s industrial heartland, for example, pays well over $150 per megawatt-hour for electricity—roughly three times the cost in China or the US.

Then there is speed. While a nuclear power plant takes less than six years to build in China and roughly eight in South Korea and the United Arab Emirates, it can take as long as two decades in Europe or the US. Securing an operating license takes roughly five days in China, 20 in the US, and 115 in France.

Rebalancing global investment won’t be easy, but it’s not impossible either. Our research suggests that partly closing the construction-cost gap, using automation and AI to boost productivity by roughly 30%, and matching China’s speed could close 50–70% of the cost gap between the US and the world’s leading investment destinations. In Europe, those same measures could narrow the gap by roughly one-third to three-fifths.

These approaches have already been shown to work. Germany, for example, installed floating liquefied natural gas terminals barely 200 days after Russia’s 2022 invasion of Ukraine, using modular construction techniques similar to those employed in China and elsewhere. Companies are also beginning to relocate energy-intensive activities to regions in Europe with cheaper, more abundant power, such as Iberia and the Nordics.

Faster adoption of AI and robotics offers another opportunity to raise productivity and lower costs. Notably, China currently installs more industrial robots annually than the entire Western world combined.

Cost, though, is only one dimension of competitiveness, and the hardest one for high-wage economies to win. They can also focus on areas in which price is not the decisive factor. Complex drug therapies, for example, often enjoy effective market exclusivity for 10–14 years, giving companies greater pricing power. Leadership in one of today’s 18 emerging competitive arenas, from quantum computing to bioengineering, is another way to build competitive advantages that offset higher costs. American companies already lead in 14 of these arenas.

But companies cannot restore national competitiveness on their own. Government policies shape the playing field through a wide range of industrial-policy tools, from direct and indirect subsidies and tax incentives to public procurement, price supports, regulations, and trade restrictions that support domestic producers. China, for its part, provides companies with land and property at heavily discounted rates, equivalent to roughly 0.5% of GDP in additional subsidies.

Semiconductors are a case in point. Although state support for chip manufacturing has increased across all major economies, OECD research finds that China offers the most generous subsidies, averaging roughly 10% of revenue, despite its already more competitive cost structure. By comparison, support for semiconductor fabrication in North America and Europe averages just 2–3% of revenue.

The broader lesson is clear: countries that attract investment today do so by design, not by accident. They have reduced the cost of building and operating new facilities, accelerated project delivery, and embraced new technologies that boost productivity. Any country willing to do the same can compete for the capital that will shape the industries of the future.

42. Chile’s Boring Conservative President

Author: Andrés Velasco **Published:** Aug 13, 2026 **Link:** View Original

LONDON—When the conservative José Antonio Kast became president of Chile six months ago, the big question was whether he would be a pugnacious populist like US President Donald Trump or an unexpectedly pragmatic operator like Italian Prime Minister Giorgia Meloni. He has been neither. Instead, he most resembles former UK Prime Ministers Keir Starmer and Theresa May, which is to say he has been boring.

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Far from an insult, this is how Kast and his team describe themselves. His chief of staff is reported to have said, “This is the government of the boring—we dress boringly, we speak boringly, we reply boringly.”

Some of their boring choices have been welcome. During the campaign, Kast made noises about governing by decree if Congress did not do his bidding. But like his left-wing predecessor, Gabriel Boric, and unlike many of his friends on the Latin American far right, Kast has played by the rules of the democratic game.

Kast had also hinted at a culture war, insisting, for example, that the trans woman who starred in the first Chilean film to win an Oscar is a man. But since taking office, he has toned down his anti-woke rhetoric, perhaps because polls show that it is not what Chileans want.

The Economist’s choice to place Kast in the middle of a Trumpy wave supposedly washing over Latin America was not correct. Chile’s new president is boring precisely because he is more of an old-style conservative than a new-style Trump wannabe. Though his anti-immigrant tirades occasionally make him sound like Mr. ICE, the rest of his approach owes more to Francisco Franco or Milton Friedman than to his US counterpart.

For the last half-century, and especially during General Augusto Pinochet’s dictatorship, the Chilean right has been an uneasy mix of conservative Catholicism and free-market economics. Sebastián Piñera, the Harvard-educated self-made billionaire who legalized gay marriage, tried to craft a more liberal right during his presidencies (2010–14 and 2018–22). Kast’s rise marks a return to the earlier tradition.

Skeptical of contraception, he and his wife of 35 years have nine children. Although they could afford a big house, they have chosen, in a show of austerity, to live in a small flat within the 18th-century La Moneda palace—something no Chilean president had done since the 1950s.

Moreover, Trumpian tariffs and handouts are not Kast's thing. He never showed much interest in economics during his 16 years as a congressman, and he has since delegated economic policy to a finance minister whose faith in tax cuts as a cure-all rivals that of Ronald Reagan. Together, they have managed to push through an ambitious tax reform bill that lowers the corporate tax rate to 23% and freezes the tax burden on large investments for as long as 20 years.

In fact, Kast is an heir to the same Latin American conservative tradition as former Argentine President Carlos Menem and former Peruvian President Alberto Fujimori: that of campaigning on one set of promises and delivering something else once in office. As a candidate, Kast repeatedly vowed to deport more than 300,000 of Chile's undocumented migrants on his "first day" in office. Yet in May, barely two months into his term, he declared that he had been misunderstood, and that his deportation vow was only a "metaphor" (later changed to "hyperbole").

But the biggest surprise involves the fight against crime and gangs, the big promise that propelled him to the presidency. He fired his first security minister after she admitted that the government did not have an anti-crime plan. Now, her successor has announced a broad set of legal reforms that will take some time to work their way through Congress, and which will likely come out much-changed. The tough talk has yet to lead to tough actions. Even Chile's membership in Trump's "Shield of the Americas" was little more than a Miami photo-op.

Kast has also conveniently downgraded his promise to slash $6 billion from the country's budget. Though his finance minister made some cuts, these amount to a small fraction of what was promised. Now, the combination of tax cuts and largely unchanged spending has raised concerns among financial analysts. Both Chile's autonomous fiscal council and the ratings agency Fitch have warned that the fiscal deficit will widen, debt will grow, and Kast will likely miss his own self-imposed fiscal targets.

If financial markets take fright and push up the interest rate they demand on Chilean public debt, that will also raise borrowing costs for businesses, potentially offsetting the expansionary effect of the tax cuts and putting a brake on Chile's growth. If Chile does grow faster in 2027–28, it will be thanks to old-fashioned good luck more than old-fashioned Friedman-Reagan policies. The global trend toward electrification keeps pushing up the price of copper—of which Chile is the world's largest producer—and creating opportunities in lithium and other critical minerals that the country has the potential to produce.

A boring approach to politics comes with its own costs. Since Kast did not take the time to explain to citizens what his tax cuts are supposed to accomplish, the left-wing opposition has succeeded in depicting it as a sop to the rich. His approval rating is around 35%. One of Chile's shrewdest analysts has warned that Kast's approach amounts to a "refusal to compete" in the political arena.

Meanwhile, Chile is still producing plenty of applicants for the role of Trumpiest politician in the land. The leading one is Franco Parisi, a Rolex-wearing, Porsche-driving uber-populist in the mold of new Colombian President Abelardo de la Espriella. If Kast underperforms, Parisi—who finished third in the 2025 presidential election—will pounce, and that will be anything but boring.

43. Our AI, Your Problem

Author: Bertrand Badré **Published:** Aug 13, 2026 **Link:** View Original

PARIS—In 1971, US Treasury Secretary John Connally famously told European finance ministers that the dollar was "our currency, but your problem." The Nixon administration had just suspended the greenback's convertibility into gold, and the rest of the world had no choice but to absorb the shock. That is what happens when the global economy runs on a currency that most countries do not control and cannot influence.

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The same logic is apparent in the global adoption of new generative AI tools. European companies increasingly run on AI systems whose price, availability, and rules are set in the United States or China. On one side are leading Chinese models, most of which are open-weight, improving fast, and startlingly cheap. DeepSeek's V4 Flash, for example, costs roughly \$0.14 per million input tokens, compared with \$3 for a comparable US model. No wonder the share of tokens used by US companies on Chinese models (through OpenRouter) has skyrocketed from under 10% in early 2025 to 45% as of July.

On the other side are American frontier labs whose models are more capable at the top end, but pricier and shaped by their own government's whims. In June, the Trump administration temporarily blocked foreign nationals' access to Anthropic's newly launched Claude Mythos 5 and Fable 5 models. Vendor availability is thus becoming a salient issue for businesses, governments, and geopolitical strategists, making the debate over open-source/weight AI as much a strategic matter as a commercial one.

The choice facing Europeans seems stark: embrace the cheaper, open option and risk exposure to a state whose data governance remains opaque, or show loyalty to the pricier, closed option and pay a rising toll to vendors who will conclude that we have nowhere else to go. Either way, there is a high and compounding cost in terms of sovereignty.

Unfortunately, the situation is not new for Europe, whose dependence on American cloud and software services costs the economy an estimated €264 billion (\$304 billion) per year. As the global technology, media, and telecom sectors' market capitalization surged from \$7 trillion in 2000 to \$34 trillion by 2024, Europe's share collapsed from 30% to 7%, representing an \$8 trillion missed opportunity. And now, generative AI is layering a new strategic dependency on top of an already lopsided cloud stack. One of us (Bouygues) runs a French manufacturer of industrial equipment whose order book reflects the current state of play: the demand from Chinese clients is breathtaking, whereas the demand from historical European partners has nearly stalled.

Viewed in this broader context, the debate over whether to go with a potentially state-directed model or one built by a private firm threatens to distract Europeans from their most pressing problem, which is that they have no seat at either table. The most urgent priority is to establish technological sovereignty, which requires domestic compute (data centers), data protection, market competition, clear liability rules, common standards, pro-European procurement, and ample energy.

Europe's default policy instrument has long been regulation, aimed less at foreign states than at foreign firms. Through what the legal scholar Anu Bradford calls the "Brussels Effect," multinationals may voluntarily adopt EU rules across all their operations, simply because doing so is cheaper than crafting separate versions of their products or services for each market. And once that happens, other governments may shape their regulations to align with the standard Europe already set.

But while this approach worked well for privacy protections, it is far less promising with respect to AI. Analyses from the Brookings Institution and the Center for European Policy Analysis find very few jurisdictions copying the EU AI Act, reflecting the fact that the AI race runs on compute, capital, and talent—factors that European rulemaking has little bearing on.

To close its own capabilities gap, Europe needs sustained investment—a homegrown AI Marshall Plan—and strategic partnerships with other critical suppliers, not legalistic texts. Perhaps the biggest dependency is hardware. Taiwan produces over 90% of the world's leading-edge chips, and Samsung and SK Hynix in South Korea dominate the market for memory chips, which gives them real pricing power and diplomatic leverage. But it also means that every country betting on American or Chinese models is also betting on continued stability in the Taiwan Strait.

Of course, Europe is not the only bystander. Most emerging markets and developing economies face the same dilemma, and they have even less capital and diplomatic weight to negotiate with either the US or China. Their best option is to hedge rather than pick a side. Through diversified sourcing, regional compute alliances, and South-South coordination, they can make it less likely that a single shock will cascade through their economies.

Hedging is not the same as neutrality. No country today can avoid the implications of the US-China contest, because all will inherit whichever technological ecosystem wins. The outcome will be decided not through war, but through everyone optimizing, quarter by quarter, for the cheapest model. The risk for Europe and the Global South is that they will end up with no leverage—a case of "our currency, but your problem" all over again. The greatest costs will land on those who failed to build an alternative while they still could.

Fortunately, Europe still has real assets and leverage, owing to its large internal market, relatively clean grid, rules-based tradition, and possession of the only regulatory toolkit designed to treat AI governance as a first-order issue. Among Europe's most powerful tools is competition policy. A handful of firms setting the world's AI prices is exactly the situation that antitrust was created to address. What Europe lacks is the will to pair that toolkit with industrial-scale investment, and the imagination to partner with Taiwan, South Korea, and other emerging economies dominating the hardware layer of the AI stack.

AI need not follow the same script as the Nixon shock. But that is what will happen if the world keeps acting as if the only choice is between Chinese state-directed models and a handful of unaccountable US firms.

44. The Making and Remaking of Chinese Totalitarianism

Author: Chenggang Xu **Published:** Aug 14, 2026 **Link:** View Original

STANFORD—The Thucydides Trap has become a popular lens for understanding US-China relations. Its logic is simple: when a rising power challenges an established one, fear and mistrust grow, making conflict increasingly difficult to avoid. Over the past decade, Chinese President Xi Jinping has repeatedly invoked this distinctly American concept to frame his country's rivalry with the United States.

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It is unusual for a Chinese Communist leader to use an American-made framework to lecture a US president, yet that is precisely what happened during the Beijing summit between Xi and Donald Trump in May. The Thucydides Trap is particularly useful for Xi because it casts China as the natural "rising power," America as the anxious incumbent, and US policymakers' unwillingness to accommodate China's rise as the central source of tension.

This framing also serves a deeper purpose. It shifts attention away from the nature of China's political system, encouraging the world to see US-China relations primarily as a great-power rivalry rather than a contest between vastly different political systems. But the most important question is not simply whether China is rising; it is what kind of system is rising.

My book Institutional Genes: Origins of China's Institutions and Totalitarianism offers an answer to this question. Contemporary China, I argue, is best understood as a communist totalitarian system with Chinese characteristics. Recognizing the nature of that system is essential to making sense of China's past and anticipating its future.

"Totalitarian," it is important to note, is not a pejorative label. It describes a distinct institutional structure. If China is seen merely as a rising power, the challenge appears to be one of great-power competition, inviting accommodation and compromise. If it is viewed as a strictly authoritarian regime, the problem is one of political repression, with gradual reform offering a possible remedy. But if China is a communist totalitarian system, then its domestic institutional structure necessarily shapes its external behavior, with profound implications for its role within the international order.

The distinction between totalitarianism and authoritarianism is not just semantic. A totalitarian party is not a political party in the conventional sense. It is an organization designed to penetrate and control the state, the bureaucracy, the economy, the media, (coercive) institutions, personnel, ideology, social organizations, and even private life.

By contrast, authoritarian regimes try to monopolize political power, suppress opposition, and restrict civil liberties, but may leave significant parts of society relatively autonomous. This limited pluralism can foster economic growth and an expanding middle class, which can in turn lead to liberalization and, eventually, democracy. South Korea and Taiwan are prime examples.

For decades, the US, Europe, and other Western democracies have treated China as an authoritarian regime, hoping that economic development would lead to greater social pluralism and turn it into the next Taiwan.

China's reform era initially appeared to validate these optimistic predictions. Private enterprise flourished, local governments competed for growth, media controls loosened somewhat, and elements of civil society began to emerge. To many observers, China seemed to be moving away from totalitarianism and settling into a more conventional form of authoritarianism. Continued economic development, they believed, would eventually push the country toward constitutional rule.

But China's totalitarian institutions proved more resilient than expected, because the Communist Party of China (CPC) never relinquished its monopoly over political power and the levers that sustained it: the bureaucracy, the security apparatus, the financial system, the flow of information, and strategic industries. The liberalization of the reform era took place within the boundaries of a system designed to preserve one-party rule. Its subsequent reversal therefore cannot be explained simply by the choices of one leader. Instead, it reflects deeper institutional forces that never disappeared.

What accounts for the remarkable persistence of Chinese totalitarianism? The answer lies in what I call "institutional genes": recurring institutional elements that enable a political system to reproduce itself over time. The most important of these elements concern the distribution of power and property rights, and the prevailing social consensus that legitimizes this distribution. Because these elements sustain the larger structure of power, those who benefit from it have strong incentives to preserve and reproduce them.

That said, the term is a social-science concept, not a biological theory. Institutional genes can evolve, although they generally change slowly, and their effects are not deterministic. The concept does not imply that China's development is culturally predetermined or that the country is destined to repeat the same historical patterns. Rather, institutional genes help explain why political systems can retain fundamental features even through periods of profound change.

To qualify as an institutional gene, an element must meet three conditions: it must persist over time, give powerful actors an incentive to keep it in place, and play a foundational role in shaping the broader institutional architecture. Longevity alone is not enough. A religion, custom, administrative title, or cultural tradition can endure for centuries without shaping the foundations of political power. Buddhism, for example, played an important role in Chinese history, but it did not become integral to the structure of the state in the way the imperial bureaucracy, land rights, and the civil-service examination system did.

Institutional change is often path-dependent. As the late Nobel laureate economist Douglass North showed, institutions shape incentives, and institutional change often follows inherited paths. Institutional genes are the recurring elements that carry those paths forward, making some arrangements easier to reproduce and alternatives harder to establish.

Consider imperial China, where political power was centralized through a vertical bureaucracy answerable to the emperor. The state exercised ultimate authority over land and economic privileges, while the examination system determined who could enter government service, and official Confucianism served as the ideological foundation. Together, these elements formed a trinity that sustained imperial rule for centuries.

While contemporary China has a different trinity, the structural similarities are striking: a party-state bureaucracy; party-state control over land, finance, and key parts of the economy; and centralized oversight of staffing and ideological conformity. The CPC retains final authority over every major political and economic institution, and local party-state organs enjoy substantial administrative and economic autonomy even as they remain subordinate to centralized political and personnel control. I call this system Regionally Administered Totalitarianism (RADT).

Institutional genes should not be confused with historical determinism. Though they shape the paths political systems are likely to follow, they do not dictate every outcome. What persists is the underlying structure, not the individuals who occupy positions within it. In imperial China, the identities of emperors and county magistrates mattered less than the system in which they operated: a centralized hierarchy that delegated administrative power locally but retained political control from above.

The same principle applies to property rights. The critical question is not who owns a particular asset but who ultimately controls land, capital, labor, and information. Such arrangements are reproduced through incentives, coercion, ideology, and organizational power. While they can and do change, new policies or reformist declarations alone are rarely enough to dislodge them.

Taiwan offers the clearest example. It is an ethnically Chinese society with deep historical and cultural ties to mainland China, yet it became a constitutional democracy. Its institutional genes evolved under Japanese rule and were carried forward under the Republic of China. They found expression in concrete institutions, including local elections, private property rights, and elements of constitutional government. Their continued development contributed to the emergence of civil society and growing demands for political reform. This placed Taiwan on a very different institutional path from that of mainland China. Although Kuomintang authoritarian rule sharply constrained these institutions, it did not eradicate either their underlying institutional genes or those genes' concrete manifestations. Over time, these institutional legacies provided an important foundation for Taiwan's democratic transition.

If culture predetermined political outcomes, Taiwan's trajectory would be difficult to explain. Viewed through an institutional lens, however, the divergence between Taiwan and mainland China becomes much easier to understand.

But institutions cannot endure through structure alone. This is where incentive compatibility comes in: given the constraints they face, enough people must find it in their interest to follow the rules.

When applied to autocracy, self-interest does not mean free choice. It includes decisions made under coercion. If resistance can result in imprisonment, torture, loss of livelihood, or death, obedience may be the rational choice even for someone who despises the regime.

This mechanism, which I call "tyrannical incentive compatibility," helps explain how a dictatorship can remain stable without genuine popular support. Such stability does not require devotion; it can rest on fear, dependence, fragmented opposition, or simply the absence of viable alternatives.

A totalitarian party can go further by mobilizing people against one another. It can induce individuals to pressure, denounce, coerce, or attack others through organized campaigns that eventually harm nearly everyone. It can also pursue a long-term objective fundamentally at odds with ordinary citizens' interests by breaking it into a series of short-term stages. At each stage, participation may appear rewarding, safe, or unavoidable, drawing people toward an outcome they would never have chosen had they known where it would lead.

Communist totalitarianism thus does more than rely on top-down repression; it rules through organized participation in repression. The CPC's land reform and collectivization, the Great Leap Forward, and the Cultural Revolution all reflected this logic.

Communist totalitarianism, of course, did not originate in China. Its ideological roots lay in Europe, its first institutionalized form took shape in Russia, and it reached China through the Communist International. That raises a fundamental question: If communist totalitarianism was imported, why did it take root so deeply in China?

To answer this question, we must look to Western Europe, where radical egalitarian religious movements, Jean-Jacques Rousseau, the French Revolution, François-Noël Babeuf, Karl Marx, and later Vladimir Lenin contributed to the intellectual genealogy of totalitarian ideology. Yet the first durable communist regime appeared not in Western Europe but in Russia, where autocratic rule, revolutionary traditions, and a political-religious inheritance that fused church and state created the institutional conditions for Bolshevism to take hold.

The Bolsheviks, in turn, built a disciplined, conspiratorial, and intensely ideological party. Through the Comintern, they sought to reproduce that model abroad. Those efforts failed in most countries. In China, they succeeded. The reason was neither that China was somehow destined for communism nor that Marxism grew naturally out of Chinese tradition. Rather, imported Bolshevik institutions proved compatible with certain features of China's existing order: a long legacy of centralized bureaucratic rule, weak constraints on sovereign power, traditions of clandestine political organization, and the absence of deeply rooted constitutional limits on political authority.

That interaction between the imported Bolshevik model and China's existing institutions was crucial. Without the Comintern, communist totalitarianism would not have arrived in China in the form it did. And without domestic compatibility, it would not have taken root. This is a causal argument about institutional transmission and local adaptation.

The post-Mao reform era is often seen as China's break with totalitarianism. I see it differently. In my book, I argue that Deng Xiaoping launched his reforms to save the regime from the disasters of Maoism, not to end CPC rule.

During this period, China shifted away from some features of the RADT model toward what I call Regionally Decentralized Authoritarianism (RDA). Local governments were strongly incentivized to promote growth, private enterprise expanded, and limited pluralism emerged in economic and social life. These changes were real and consequential.

Reform, however, stopped well short of abolishing the CPC's monopoly on political power. The party retained control over the military and security apparatus, senior personnel appointments, ideology, finance, land, state-owned enterprises, and the legal system. It tolerated private enterprise so long as it helped preserve the regime by contributing to economic growth, but never accepted autonomous institutions capable of constraining its power.

Over time, though, private enterprise, civil society, legal consciousness, and constitutional ideas began to generate alternative institutional genes. These new elements increasingly came into conflict with the totalitarian institutions that had survived the reform era. The tightening of CPC control under Xi reflects that tension. Xi's desire for greater power is only part of the story. The shift also represents an institutional response by a ruling party that regards autonomous sources of economic, social, and political power as potential threats to its survival.

In this sense, China's current trajectory is not simply a return to Maoism. History does not repeat so neatly. But the underlying features of that earlier system—including party supremacy, ideological control, coercive capacity, and the subordination of property and social organization to the state—have reasserted themselves.

Some may ask why it matters whether China is called authoritarian or totalitarian. The answer is simple: the wrong category produces the wrong expectations. If China is seen as a conventional authoritarian state, one would expect economic growth, social modernization, and global integration to have a moderating effect on the regime. If China is a conventional rising power, it might be amenable to accommodation and negotiation, and the Thucydides Trap would reduce its rivalry with the US to a conventional great-power transition.

But if China is a communist totalitarian system with Chinese characteristics, the problem runs deeper than authoritarianism or great-power competition. The CPC's objective is not merely national strength, but the preservation and expansion of a system in which the party controls power, property, organization, ideology, and coercion. Its conduct abroad cannot be separated from the way the CPC exercises power at home.

This is also why analytical clarity cannot be divorced from moral clarity. Totalitarian systems are defined in part by their systematic violations of human rights. Treating these as peripheral abuses obscures the nature of totalitarian rule.

After World War II, the Austrian economist Ludwig von Mises observed that repeated efforts to halt the rise of totalitarianism in many countries had failed. His observation proved prescient: democracies have often been slow to recognize totalitarian systems as such, treating them instead as difficult partners, developmental states, nationalist powers, or ordinary autocracies. But there is nothing ordinary about a system that extends party authority to every aspect of political and social life, subordinates individual rights to party rule, and turns citizens into instruments of domination.

That brings us back to Xi's fondness for the Thucydides Trap. By framing China as a normal rising power and the US as a nervous incumbent, he seeks to focus global attention on preventing a great-power conflict, rather than on harder questions about the nature of China's totalitarian system and what its ascendancy would mean for the world.

How democracies understand China determines how they deal with it. Misreading the nature of the regime can lead them to treat China as an ordinary great power, mistake tactical accommodation for genuine liberalization, and confuse economic integration with political moderation. The stakes extend beyond US-China relations and the rights and freedoms of Chinese citizens to the future of the international order.

China's experience shows why the origins and resilience of political systems matter—and why even far-reaching reforms may fail to transform them. But history is not destiny. Institutions change when the forces that reinforce them change. Although China is not condemned by its past, its future will depend on whether the institutions that have defined its political order for generations finally give way to something new. The first step is to recognize its totalitarian regime for what it is.

45. What Should Be Done About Asia’s Undervalued Currencies?

Author: Jeffrey Frankel **Published:** Aug 14, 2026 **Link:** View Original

CAMBRIDGE—Major Asian currencies’ exchange rates are again at the center of debates in international monetary economics. With China, Japan, and South Korea all running trade and current-account surpluses, and the United States running corresponding deficits, some argue that the renminbi, yen, and won are undervalued. But given the fundamentals underlying these imbalances, foreign-exchange intervention is unlikely to do much good.

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Brad W. Setser, a former deputy assistant secretary at the US Treasury, recently argued that a “weak renminbi directly led to China’s latest export boom,” and urged major economies to press China to revalue the currency. (China used to intervene in the currency market to impede exchange-rate appreciation, but it abandoned the practice in 2014.) Harvard’s Gita Gopinath, Pierre-Olivier Gourinchas of the University of California, Berkeley, and the London Business School’s Hélène Rey disagree. In their view, the renminbi-dollar exchange rate is not the root cause of current-account imbalances and thus does not warrant action by other countries.

While economists debate whether intervention is appropriate for the renminbi, action is already being taken on the yen and the won. The US, in cooperation with Japanese authorities, recently intervened in the foreign-exchange market to strengthen the yen, purchasing the currency while Japan sold dollars. South Korea also reportedly participated in this coordinated intervention. The idea was that, because the won’s value is closely linked to that of the yen, a joint intervention would enhance the impact on both.

Does this rare three-country currency operation signal a break with the US unilateralism that has taken hold under President Donald Trump? Probably not. Though Treasury Secretary Scott Bessent described the intervention using the language of US-Japan comity, the Trump administration’s motivations were most likely self-serving: the US wanted to forestall a selloff of US Treasuries by Japan, for fear that this could put upward pressure on US interest rates. That the US used euros, rather than dollars, to make its yen purchases supports this view. So does the fact that Bessent did not bother to consult with the European Central Bank. No end to US unilateralism.

Did the intervention have the desired effect? Many economists believe that market intervention cannot affect the exchange rate, except to the extent that it affects the money supply. And since the turn of the century, the G7 countries have largely refrained from such measures. But in 1985, the US spearheaded the PlazaAccord, under which the G5 countries took coordinated action to weaken the dollar against the yen and the Deutschmark. The subsequent interventions often succeeded at moving the exchange rate in the desired direction—at least for a while.

Operations in the 1980s and 1990s were more likely to be effective when they included the US (in coordination with others), when they were publicly announced, and when they caught markets by surprise. The recent US-Japan-Korea intervention met these conditions, and, sure enough, both the yen and won immediately appreciated.

But such interventions can do only so much. The US Treasury’s most recent Report to Congress on Macroeconomic and Foreign Exchange Policies of Major Trading Partners of the United States, issued last month, lists ten “major trading partners whose currency practices and macroeconomic policies merit close attention,” of which seven are Asian: China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland, and Switzerland. Unlike during Trump’s last administration, however, it does not yet call any country an outright manipulator.

Those who worry that the renminbi, yen, and won are undervalued vis-à-vis the dollar are usually looking not at the exchange rate so much as trade and current-account imbalances: the large surpluses China, Japan, and Korea run, and the large deficits the US runs with all three. But bilateral trade balances are not among economists’ standard criteria for determining whether a country’s currency is undervalued. (Those criteria, according to the International Monetary Fund, are “protracted large-scale intervention in one direction in the exchange market,” excessive international reserves, and an overall current-account imbalance. Also relevant is whether the country is selling its goods at below global prices, even after adjusting for productivity.)

The fundamental reason why China is running a large current-account surplus is its high national saving rate. Even if foreign-exchange intervention spurred renminbi appreciation and reduced the current-account surplus, that would merely divert more of China’s large savings into investment (probably mediated by a low real interest rate). That is not what China needs at a time when it is facing deflation.

The right prescription for China is not new. As countless economists (including me) have recommended, it must rebalance its economy from manufacturing to services, reduce its reliance on investment spending and export demand, and expand household consumption. A stronger social safety net, including health care and old-age and disability pensions, would free up precautionary savings. And there is a strong case for improving land- and labor-market flexibility.

The yen’s weakness can likewise be attributed to economic fundamentals. The interest rate in Japan is still very low, especially in light of recent inflation. Markets apparently expect Japan to continue to monetize its huge government debt. Instead, the Bank of Japan should probably raise the interest rate.

For its part, the US owes its large current-account deficit largely to its low national savings rate, especially the negative fiscal balance. Were foreign-exchange intervention to weaken the dollar, the US would face intensifying inflationary pressures, which Trump’s tariffs and war on Iran are already fueling. This could force the Federal Reserve to raise interest rates faster—precisely what the Trump administration does not want—crowding out investment.

The Trump administration has systematically destroyed America’s capacity to persuade other countries to act. Rather than squander what little influence it has left on dubious exchange-rate actions, it should work on boosting domestic savings. The best way to do that is to strengthen its fiscal position.

46. Let’s Not Forget Multilateral Institutions

Author: Anne-Marie Slaughter **Published:** Aug 14, 2026 **Link:** View Original

SANGUINETTO, ITALY—Canadian Prime Minister Mark Carney and Finnish President Alexander Stubb recently laid out a roadmap for middle-power action in The Economist, having recognized the importance of “actively taking on the world as it is, not passively waiting for a world we wish to be.”

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Their joint commentary is a summer sequel to Carney’s viral speech at Davos in January and Stubb’s December Foreign Affairs article on “how to build a new global order before it’s too late.” Carney’s declaration of a “rupture” in the international order, and public denouncement of the US administration’s lawlessness, was a shot heard round the world. To emphasize the breadth of that rupture, Carney and Stubb now warn that their countries—which border the United States and Russia, respectively—no longer have “the luxury of relying on old orders of geography.” Both are “striking closer relations with powers like India and, while avoiding strategic dependencies, China, as well as with countries of the Global South.”

They are calling on middle powers to steer a course between the multilateralism of the past 80 years and the more recent multipolarity. On this path of “plurilateralism,” countries that share interests can create “ad hoc coalitions that work, issue by issue.” Unlike formal institutions, these dynamic, purpose-built groups will shift as their mission evolves. Countries like Canada and Finland roundly rejected US President George W. Bush’s pivot to a “coalition of the willing” in November 2002 to circumvent opposition in the United Nations to his proposed invasion of Iraq. But times have changed.

Overall, their vision of a plurilateral order is sensible. It rejects a new Cold War with Russia and China on one side and the “West” on the other; on the contrary, Carney and Stubb identify a triangular configuration of a Global West, a Global East, and a Global South. This framework would enable countries of different sizes to take the initiative and create new cooperative structures that can make progress on security, development, and sustainability. It might be piecemeal, messy, and often ineffective, but is not the same true of the UN’s response to the wars in Ukraine, Gaza, and Sudan?

The principal problem with this approach is the fine line between plurilateralism and chaos. The insistence on seeing the world in terms of poles of power—unipolar, bipolar, multipolar—is an artifact of 20th-century international relations theory, which lacked the empirical and analytical tools to handle the complexity of a networked world. The grandfathers of that theory were writing in an age of 50 states (many of them empires), rather than nearly 200, and when power rested mainly on population and territory size, military strength, and industrial capacity.

The traditional notion of multipolarity doesn’t account for multi-alignment, the doctrine that explicitly guides India’s foreign policy and describes the behavior of Brazil, Indonesia, Mexico, Pakistan, Saudi Arabia, South Africa, and others. As Indian Foreign Minister Subrahmanyam Jaishankar explained in 2023, multi-alignment is “the approach of engaging all major centers of power” simultaneously and advancing all ties “without seeking exclusivity.” Many of the countries in the regions that Carney and Stubb identify are already pursuing bilateral and “minilateral” relationships within and across those regions, outlining a strategy of multi-alignment for countries firmly cemented in the Global West.

The current state of global affairs becomes exponentially more complex when we drop Carney and Stubb's resolute statism and instead recognize that international politics is not only a matter for national governments. For example, the author and consultant Don Tapscott has collaborated with the Martin Prosperity Institute at the University of Toronto to identify and categorize more than 500 global solutions networks, comprising state and non-state actors, focused on achieving shared prosperity, climate stability, health solutions, financial inclusion, and other goals.

The World Economic Forum has been hosting and building these kinds of groups for decades; the UN Sustainable Development Goals Actions Platform lists thousands of similar initiatives. Bloomberg Philanthropies supports mayors around the world working together and with other sub-state officials like governors and provincial premiers.

The result of all this problem-focused cooperation is the "dense web of connections" that Carney and Stubb envision, and which I have named an "armadillo order." Yet this web is perhaps so dense as to be unmanageable. The dilemma is how to ensure that a middle-power order is, in fact, an order.

Carney and Stubb would presumably point to the principles underpinning their theory of values-based realism: freedom, human rights, sustainability, and solidarity. But the best way to ensure that these values actually guide effective and legitimate action is to work as much as possible with existing multilateral institutions, beginning with the easily maligned UN.

Today's middle-power leaders pay lip service to multilateralism and its potential return after future "reform." But to prevent the existing institutions of international cooperation—such as the UN, the World Bank, the International Monetary Fund, the World Trade Organization, and many others—from becoming 20th-century ruins, middle powers should try to build coalitions of the willing within or at least adjacent to them. With their combined power, they could accomplish specific policy goals and pursue radical institutional change, including weighted majority voting, recognition of and constrained agency for non-governmental actors, and genuine enforcement mechanisms that back international law with force.

For example, WTO rules, which still govern 72% of world trade, require decision-making by consensus, a requirement that long blocked the adoption of rules governing e-commerce. In 2019, Australia, Japan, and Singapore convened negotiations among a subset of 86 WTO members through a process called a "Joint Statement Initiative." Notwithstanding US opposition, 66 WTO members have signed the resulting plurilateral agreement, which is "WTO adjacent." Creative international lawyering can find similar workarounds in the UN General Assembly and other global and regional institutions.

It is always easier to do things ad hoc. But if the middle powers representing the majority of the world's territory and people cannot create effective multilateral institutions that last, who can?

47. How Corporations Can Mitigate an AI Jobocalypse

Author: Raghuram G. Rajan **Published:** Aug 14, 2026 **Link:** View Original

CHICAGO—AI-related job displacement is coming, though no one knows how fast it will proceed, how far it will go, and which sectors it will affect most. Much depends on the pace at which individual firms apply the technology to their operations. A recent US Census Bureau Business Trends and Outlook Survey indicates that only 20% of firms with fewer than 20 employees currently use AI, compared to 37% of businesses with at least 250 employees. While larger firms are doing more with the technology, 37% is still quite meager considering the survey’s low threshold for answering in the affirmative (whether AI is used “in any business function”).

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For now, adoption is being impeded by the difficulty of integrating already astonishing AI capabilities into existing workflows in a way that will allow companies to reap the benefits fully. Doing so requires models that are not only trained on existing data but also adaptive to new data generated through everyday use. Another factor inhibiting adoption is uncertainty about cost. Many large firms are still running pilots and postponing hiring or firing decisions as they await more clarity. Eventually, however, competitive pressures will force them to adopt the technology more fully.

The outlook for jobs is not entirely pessimistic. If companies continue producing the goods and services they currently produce, AI adoption will have the effect that any new technology has. Yes, some jobs will be rendered redundant (implying displacement); but some jobs will be made more productive and exciting as AI removes drudgery and assists with tasks humans do less well, and new jobs will be created (such as AI engineers who supervise the technology’s implementation).

Moreover, if AI adoption occurs because of the productivity increases it brings (rather than because it costs less in taxes than human effort), firms’ ability to produce more for less will allow them to reduce prices and increase sales. This is the famous Jevons effect, which should also increase jobs.

Yet another reason for optimism is that AI may help create new businesses. Jill might hesitate to become an entrepreneur selling driftwood furniture pieces because she also needs a web programmer and an accountant to start up. With AI performing both those roles, perhaps she can set up a sole proprietorship at significantly less cost. The number of startups already increased significantly during the pandemic and has increased further in recent quarters.

As the economist David Autor points out, AI can also equip moderately skilled workers with higher-order skills, as in the case of a nurse practitioner who can diagnose and treat many more illnesses with the help of medical AI. Given the enormous demand for medical services worldwide, and also services more generally, there is plenty of room for further job creation.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

But even if the jobocalypse is less severe than many feared, minimizing its effects is still necessary to maintain social solidarity, and corporations will need to be enlisted in the effort. After all, it is they who will have the best sense of the new opportunities that their employees can re-train for. The first task for any government, then, is to identify and address all the ways the tax system biases corporations against human labor. For example, a US firm contributes social-security payments for every worker, but not for AI.

In a world where governments are already cash-strapped, one way to level the playing field is to levy a tax on the AI tokens a firm uses. The precise tax rate will need to be calculated carefully to avoid impeding AI deployment, but it can be set low initially and then gradually raised with experience. While payments to domestic AI providers can be tracked easily, foreign providers would also have to be brought into the net; but this is not an insoluble problem.

Recognizing that the first round of AI displacement will not be the last, it will be even more valuable to get firms to re-train workers periodically, and to retain workers whenever possible. Perhaps governments could consider a tax credit for additional training provided to workers, with one-third of the value usable each year a worker retains employment (and not necessarily with the firm that provided the latest training). If the government wants to apply such a policy to AI adopters, it could even require the credit to be used only to offset the token tax.

More important than tax incentives, however, will be firms' acknowledgement that they are fully engaged in helping their employees cope with an uncertain future. As employment uncertainty grows, even the best and brightest may worry about accepting offers from an employer who could fire them whenever it finds that AI can do as well or better. Employers who promise to support their employees may ultimately enjoy an additional bonus: As their reputation grows, they will have a wider pool of high-quality candidates to choose from.

The trend here is encouraging. In ongoing work, Luigi Zingales, Pietro Ramella, and I find that the share of US Fortune 150 CEOs declaring in their letters to shareholders that they care about employee development increased steadily, from around 20% in 2008 to 44% in 2023. We cannot rule out the possibility that this is all cheap talk. One hopes not. The more that corporations engage in what may be the defining business challenge of our time—providing good jobs for humans—the more we can all look forward to a future of plenty.

48. How Trump Is Reinvigorating Democracy

Author: Jan-Werner Mueller **Published:** Aug 17, 2026 **Link:** View Original

TIRANA—Here in the Albanian capital, the hotel receptionists go out of their way to stress that the ongoing protests outside are entirely peaceful. Apparently, there have been quite a few room cancellations since mass demonstrations began in the spring. But ask them directly, and they might furtively hint that they welcome tourists taking part. Every night, people of all ages gather in front of Prime Minister Edi Rama's office to complain about corruption and demand his resignation.

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The Flamingo Revolution, as it has been dubbed, was triggered by what many consider an unsavory deal between the Albanian government and Jared Kushner, US President Donald Trump's son-in-law. Thus, we are witnessing an unexpected global effect of Trumpism: A government that gets into bed with the most corrupt administration in American history risks opening itself up to domestic challengers.

Much can change in a year. Recall that, throughout 2025, commentators around the world were rightly decrying the wanton destruction of the United States Agency for International Development (USAID) and lamenting what the second Trump presidency augured for democracy and human rights worldwide. The message for autocrats almost everywhere was that they would not face any pushback. Given Trump's well-known soft spot for strongmen, they might even be applauded.

And so, Serbian President Aleksandar Vučić ordered police raids of various NGOs supported by USAID, gleefully justifying such brazen attacks on civil society by pointing to Elon Musk's designation of the agency as a "criminal organization." By some estimates, Musk's dismantling of USAID will lead to millions of deaths; but the world's autocrats viewed ending it as a purely positive development.

Perhaps members of "Autocracy, Inc." should have realized that receiving support from Trump for their nefarious activities would prove to be a mixed blessing. After all, the political logic that so many observers were lamenting in 2025 could flip, with ties to Trump's regime seen as proof of your own corruption.

And so it has. Not only is Trump deeply unpopular in much of the world, but those who oppose incumbent Trump-aligned governments can make points about corruption much more easily. After all, even those not particularly well-informed about the finer details of US politics will have heard about scandals like Qatar gifting Trump a "flying bribery palace."

Popular backlash against Trumpian corruption would appear to describe the situation in Albania. In their own telling, Kushner and Ivanka Trump "discovered" a beautiful island off the Albanian coast (Sazan was hardly undiscovered, having long served as an Albanian military base). Moreover, they alighted upon this gem and its beautiful shorelines while vacationing on the superyacht of their billionaire friend Nathaniel Rothschild, where they were joined by none other than Rama.

Soon thereafter, Kushner and Ivanka Trump started exploring the possibility of turning an officially designated nature reserve for flamingos into a luxury resort, and when local protesters challenged the scheme, they were roughly dispatched by private security thugs. But this was caught on tape, and the protests soon spread from the south of the country to Tirana. Now, mass demonstrations have been staged every evening, prominently featuring flamingoes in all shapes and forms—from cutouts to large pink inflatables.

Interestingly, amid the many Albanian flags held by the demonstrators are the US Stars and Stripes. In this traditionally pro-American country, citizens clearly want to signal that their message is not anti-American but anti-corruption. What they oppose is the complete lack of transparency.

Trump is the perfect catalyst for such a movement because he is more brazenly corrupt than most authoritarian leaders today. He boastfully accepts lavish gifts—from diamonds to crypto payments—and then, it appears, "coincidentally" lifts tariffs or issues pardons as a result. The evidence of rampant insider trading and stock manipulation was overwhelming even before Trump's social-media platform began explicitly selling early access to the president's market-moving statements.

The Trump White House's official message to the rest of the world could not be clearer. In 2025, it "paused" enforcement of the Foreign Corrupt Practices Act, an important weapon against bribery beyond US shores. Then, this summer, it gutted the Corporate Transparency Act—once hailed by Trump's secretary of state, Marco Rubio, as the "most significant anti-corruption and money laundering law in decades"—making it easier for domestic and foreign criminals to hide behind shell companies.

Yet given this messaging, it is hardly surprising that those doing conspicuous business with Trump's incipient mafia state would end up looking suspect. Although Trump's talk of "fake news" has helped autocrats everywhere justify attacks on the press, his blatant corruption has also called attention to their own self-dealing.

In Albania's case, the demonstrators are criticizing both Rama and the opposition leader Sali Berisha, a former president and prime minister. The protesters' moral indictment falls on the country's entire political class, which has long paid lip service to the prospect of joining the European Union even as it might make that outcome less likely by catering to the Kushners of the world. EU parliamentarians have already warned Rama that deals ignoring EU regulations could put accession at risk.

Rama gripes that "If it were not Jared Kushner … nobody would give a shit about flamingos, about Albania, about nothing. It's the whole hate against Trump that creates all this scrutiny." He is right, though not in the way he intended. Few could have imagined just a year ago that Trump's return to the White House would end up fueling a mass pro-democracy movement and demands for transparency globally. Yet the world's autocrats have a new nemesis: their best friend.

49. Zhu Rongji’s Legacy of Demographic Decline

Author: Yi Fuxian **Published:** Aug 17, 2026 **Link:** View Original

MADISON—Following former Chinese Premier Zhu Rongji’s recent death at the age of 97, homages poured in for a man widely credited with championing the market-oriented reforms that drove decades of rapid economic growth. Yet the two most emblematic reforms of his tenure, a 1994 tax-sharing policy and China’s 2001 accession to the World Trade Organization, did not only fuel robust growth. They also reshaped and partly distorted China’s economic structure and the global economy more broadly, with profound and lasting implications for the country’s political and demographic outlook.

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After launching the first market-oriented reforms, China pursued fiscal decentralization policies that increased household disposable income as a share of GDP from 44% in 1978 to 62% in 1983. As these reforms unleashed greater dynamism in the private economy, popular demands for democracy grew as well. Combined with an unusually high share of 15- to 29-year-olds, a demographic group that is especially likely to drive social change, these factors ultimately contributed to the 1989 pro-democracy protests in Tiananmen Square. As that crisis escalated, the central government’s fiscal weakness narrowed its options, leading to the eventual military crackdown.

Between 1988 and 1993, China’s central government faced severe fiscal strains—the impetus for then-Vice Premier Zhu to concentrate revenues at the center and push spending responsibilities down to local governments. The center’s share of national fiscal revenue leapt from 22% in 1993 to 56% in 1994, and has since remained in the 45–55% range. Overall fiscal revenue as a share of GDP rose in tandem, from 11% in 1994 to 22% by 2013, before roughly leveling off. As the government’s share rose, household disposable income as a share of GDP steadily fell, hitting a historic low of 39.5% in 2011. Today, it stands at just 43%, far below the 60–70% typical of peer economies.

This imbalance lies at the root of many of China’s social problems. Economically, the shrinking share of household income constrained domestic consumption, feeding chronic industrial overcapacity. By the 2000s, this model should have become unsustainable, forcing China to undertake serious reform. But WTO accession in 2001 allowed China to sidestep any reckoning by gaining access to global markets and using manufacturing exports to absorb excess capacity and sustain employment. A stronger central fiscal position then reinforced the same model through extensive industrial subsidies, particularly to manufacturing.

Yet subsidies played a far smaller role in China’s manufacturing rise than is commonly assumed. More important was China’s unusually low household share of GDP, which suppressed labor and other domestic costs, giving Chinese firms wide profit margins and formidable cost competitiveness. That is why China’s manufacturing trade surplus has surged from 0.1% of global GDP in 2001 to 1.8% today. The first China Shock, in the 2000s, cut US manufacturing value added from 25% to 15% of the global total, and now a second China Shock is eroding Europe’s manufacturing base.

The declining household share of GDP laid the groundwork for China’s economic slowdown beginning in 2012. It did so by weakening families’ capacity to raise children, contributing to the census-based fertility decline from 2.3 births per woman in 1990 to 1.22 in 2000—a trend that the repeal of China's longstanding one-child policy could not reverse.

The tax-sharing reform also distorted China's demographic data. Before 1994, township and village governments funded primary schools, making enrollment figures relatively reliable. But after the reform stripped them of this fiscal capacity, financing shifted mainly to the central government, with provinces, cities, and counties sharing the burden. This gave local officials and schools an incentive to inflate enrollment, typically by 20–50%, to secure more funding.

Making matters worse, the National Bureau of Statistics (NBS) relied on these inflated figures to estimate births. For example, it reported 507 million births in 1991–2018 to account for the 509 million first graders who had supposedly been enrolled in 1997–2024. In 2000, the census counted 13.79 million infants, yet the NBS reported 17.71 million births to match the 17.29 million first graders enrolled in 2006. By 2015, when this cohort should have completed middle school, only 14.18 million graduated—roughly 3.5 million fewer than one would expect.

Politically, the tax-sharing reform concentrated fiscal resources in the central government, strengthening the state's capacity to manage social and political crises. With household disposable income accounting for such a small share of GDP, four decades of rapid growth failed to produce a sufficiently large and economically powerful middle class. Combined with population aging, this helps to explain why China did not undergo the democratic transition long anticipated in the West. If anything, it has regressed toward the pre-reform era, as households' share of GDP—the economic foundation for political change—has fallen below its 1978 level.

China now stands at another historical crossroads. Its economy has grown from 4% of global GDP in 2001 to 17% today, making it increasingly difficult for exports to absorb its surplus labor. Employment pressures have consequently intensified. The flexible workforce has grown from about 220 million in 2022 to an estimated 320 million in 2026, accounting for more than 40% of employment. China must therefore raise its household share of GDP to create jobs through domestic demand.

The same imperative applies to demography. In 2025, China's fertility rate fell below one—less than half the replacement level of 2.1. Reversing this trend—and averting demographic collapse—will require addressing several structural weaknesses, chief among them the unusually low household share of GDP. Unless this rises to the normal range of 60–70%, efforts to revive fertility are unlikely to succeed.

In the end, these challenges point to a common solution: raising household disposable income as a share of GDP. Such a paradigm shift could reshape not only China's economic trajectory and demographic future, but also its political landscape. Failing that, Zhu's legacy will not age well.

50. Ebola is Back-and the IMF's Relief Fund Is Empty

Author: Marina Zucker-Marques **Published:** Aug 17, 2026 **Link:** View Original

BOSTON—Almost every major global health emergency has exposed the same flaw in the international financial system. When disaster strikes, the institutions built to support affected countries must scramble to raise money for relief funds.

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Twelve years ago, when the Ebola virus was ravaging Guinea, Liberia, and Sierra Leone, the world discovered that the International Monetary Fund—the global economy's firefighter—had no instrument to provide debt relief during a public-health catastrophe. The IMF did have a related mechanism for crisis response: the Post-Catastrophe Debt Relief Trust Fund, created in the wake of Haiti's devastating 2010 earthquake to provide debt relief to countries struck by natural disasters. But a fast-moving epidemic proved to be a different kind of emergency entirely, and the PCDR Trust had no mandate to respond.

The international community, however, adapted with unusual speed. In November 2014, then-US Treasury Secretary Jack Lew called on the IMF to cancel approximately $100 million in debt owed by the three Ebola-stricken countries, and then-Managing Director Christine Lagarde proposed an additional financing package to the G20 heads of state. Within three months, the PCDR Trust was transformed. A new public-health window was added to its mandate, and existing resources were combined with leftover funds from the earlier Multilateral Debt Relief Initiative, resulting in the Catastrophe Containment and Relief Trust, a dedicated mechanism allowing the poorest countries to redirect fiscal resources from debt repayment to protecting lives.

The global fiscal strain of the COVID-19 pandemic, however, nearly exhausted the CCRT's resources, leaving the trust running dry just as another Ebola crisis has erupted. As of this week, over 2,000 deaths have been confirmed in the Democratic Republic of the Congo (DRC). Beyond deaths, the United Nations Development Programme estimates that the outbreak could push almost one million people into poverty.

The DRC was among the countries that borrowed heavily from the IMF during the COVID-19 pandemic to support its economy. It now carries more than $3 billion in outstanding IMF debt. While the country has not yet maxed out its borrowing capacity at the Fund, it will likely require additional financing as it confronts a combination of oil-price shocks, slowing growth, and now Ebola. It will need not just liquidity, but also relief from existing obligations.

The CCRT exists precisely for this purpose. Yet its available resources total only $120 million, whereas the DRC alone must pay the IMF almost $300 million in debt service in 2027. The Fund's primary instrument for disaster relief does not have sufficient funds to cover even one country facing a disaster, let alone the 30 others that could potentially apply for assistance.

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Donor countries have previously shown a willingness to fund debt relief. During the COVID-19 pandemic, the IMF received $800 million in contributions, with the United Kingdom pledging $185 million and Japan $100 million within days of the pandemic being declared. But successive rounds of donor pledges, however welcome, address symptoms, not causes. Every time a major health crisis erupts, the IMF must again ask its shareholders to replenish an instrument specifically designed to respond to recurring shocks, causing political delays in delivering what should be an automatic, rapid stabilizer.

There is a better way. The IMF holds approximately 90.5 million troy ounces of gold, a legacy from the Bretton Woods era when member countries paid their quotas in bullion. This gold sits on the books at a historical cost of $45 per ounce. At today’s market price of around $4,000 per ounce, it represents an unrealized profit of roughly $357.9 billion.

In its current state, the IMF’s gold generates no income. But if a small fraction were sold—incrementally, to avoid disrupting markets—the proceeds could seed a permanent endowment capable of funding the IMF’s subsidy accounts indefinitely.

The proposal is straightforward: sell a small portion of IMF gold, say 10%, and place the proceeds in a permanent endowment account. At a modest 3% annual return, consistent with the yield assumptions underpinning other IMF instruments, a $35.8 billion endowment would generate over $1 billion per year in perpetuity. That would be sufficient not only to fund the CCRT fully but also to subsidize the IMF’s entire concessional lending architecture—the Poverty Reduction and Growth Trust, the Resilience and Sustainability Trust, and any successor instruments—without ever again requiring the institution to solicit donor contributions.

Selling gold to support concessional lending is not a new idea. The IMF sold 12.94 million ounces in 1999 and 12.97 million ounces in 2009—almost three times this proposal. In the past year, calls for another gold sale have come from many groups, including the V20, the G-24, the Jubilee Commission and 165 civil-society organizations.

The case is straightforward: a gold sale costs taxpayers nothing, creates no loss for the IMF and simply converts an idle, illiquid, non-interest-bearing asset into one that generates a permanent income stream for the world’s most vulnerable countries. And with gold prices at near-record levels, there may never be a better time to make that conversion.

Critics will argue that the IMF’s Articles of Agreement require an 85% supermajority for gold sales, making US congressional support essential—and thus uncertain. But this is precisely an opportunity for the United States to show leadership. Ebola is no longer solely an emergency in African countries. The US government’s recent actions to respond to Ebola demonstrate policymakers’ recognition that the virus is a threat everywhere, and that a stronger DRC response would protect everyone.

To achieve that, the DRC should receive relief from upcoming IMF payments, giving it fiscal space to focus its efforts where they matter most: combating the epidemic and expanding the social safety net. Moreover, an immediate donor-replenishment campaign should be initiated to replenish the CCRT. In parallel, serious negotiations on a gold endowment should begin to render the question of CCRT funding permanently moot.

The CCRT was born because US leadership decided that the machinery of international finance should not stand idle in the face of a humanitarian catastrophe. That was correct in 2014, and it should inspire action again in 2026.

51. Iceland Belongs in the Eurozone

Author: Willem H. Buiter **Published:** Aug 17, 2026 **Link:** View Original

RALEIGH—On August 29, Iceland will hold a referendum on whether to resume European Union membership negotiations. Should Icelanders vote "yes"?

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As a member of the European Economic Area, the Schengen Area, and the European Free Trade Association, Iceland already enjoys the EU's free movement of goods, services, people, and capital. It applies the same regulatory standards to its financial sector as EU member states do, and Icelanders and visitors to Iceland can travel throughout most of Europe without a passport check.

But Iceland does not participate in EU decision-making; it is exempt from the EU's Common Agricultural Policy (CAP) and Common Fisheries Policy (CFP); and it retains its own currency. If Iceland, with its roughly 400,000 people, were to join the EU, it would have a seat on the European Council, where its vote would have equal weight with that of the EU's most populous countries.

That is no small matter. As a country with a small population, it would have little power to block ordinary EU decisions. But on many questions that member states view as sensitive, the European Council requires unanimity.

Of course, being required to join CAP is a downside, and Icelanders see the CFP as a serious sticking point. The country would be subject to fishing quotas and fishery management rules determined by the EU, and it would have to accept shared access to certain waters. Its fishing industry and fishing communities could suffer significant losses. Still, since Iceland's desirable location makes it strategically valuable to the EU, it has some bargaining power, and some have already suggested that accession negotiations might result in an exemption from the CFP.

Moreover, there are many benefits to joining the euro, the main one being increased financial stability. This is crucial for any central bank, because crises, or even mere uncertainty, resulting from financial instability make achieving monetary objectives impossible. Without an effective lender of last resort and market maker of last resort, even fundamentally sound banking systems can fail from runs or liquidity disruptions.

Given its ability to create domestic currency, the central bank is uniquely positioned to play these last-resort roles, but only if the loans it needs to make and the assets it needs to buy are denominated in its currency. If most of the banking system's assets and liabilities are denominated in foreign currency, it is powerless. The canonical example of what can go wrong is Iceland's own banking crisis in 2008.

The problem has not gone away. Iceland's banking system has shrunk—its assets are about 127% of Icelandic GDP (down from about 900% in early 2008)—and it is subject to more stringent regulation. But there are no capital controls, and the banks have significant long-term liabilities denominated in foreign currency. If Iceland joins the eurozone, the eurosystem can act as a lender and market maker of last resort, preventing another crisis. For a country with an internationally active banking system, this alone may be sufficient reason to join the EU.

Joining the eurozone would also give Iceland access to the European Stability Mechanism, which provides low-cost loans to countries experiencing severe economic distress as part of a macroeconomic adjustment program. It provides financial assistance for the recapitalization of troubled banks and a precautionary credit line for fundamentally sound eurozone member states. It can act as a market maker of last resort by buying members' sovereign bonds when liquidity dries up.

Adopting the euro does have potential drawbacks. Iceland would lose its ability to conduct monetary policy and use the exchange rate as a shock absorber. Currently, if Iceland is hit by a negative shock that requires lower real (inflation-adjusted) wages, exchange-rate depreciation achieves this instantly. Without an independent exchange rate, nominal wage adjustments can be slow and cause relative price distortions. The eurozone's one-size-fits-all monetary policy might not suit Iceland if the external shocks it faces are not positively correlated, and if its business cycle is not synchronized with the eurozone as a whole.

In evaluating these trade-offs, it is important to recognize that shocks are not independent of the exchange-rate regime. That is why eurozone membership should reduce the shocks associated with financial instability, making the cost of membership smaller than what past data suggest.

Consider a recent report on Iceland's options, prepared by the finance ministry. It applauds the stabilizing role of an independent exchange rate, noting its beneficial effect following the post-2008 bank failures. But that shock might never have occurred if Iceland had been in the eurozone. If Iceland adopts the euro, its economy may gradually become more flexible and more like the eurozone's, while future shocks can be mitigated. As long as the public-sector debt-to-GDP ratio remains modest, Iceland has the means to use fiscal policy to respond to shocks and fluctuations.

At the same time, an independent exchange rate could be less an adjustment mechanism and more a source and amplifier of shocks. Bubbles, bandwagons, irrational exuberance, and a host of other phenomena can cause large and persistent misalignments in foreign exchange rates, and very small economies can do little to offset them. Of the two Nordic EU members that have retained their own currencies—Denmark and Sweden—even the smaller one (Denmark) has a population almost 15 times that of Iceland and a GDP almost 12 times as large.

Aside from whatever other benefits EU membership may bring, Icelanders should accept that it makes no economic sense for a tiny country like theirs to have its own currency.

52. The Global Land Agenda’s Moment of Truth

Author: Osama Faqeeha **Published:** Aug 17, 2026 **Link:** View Original

RIYADH—Every second, land degradation claims four football fields of healthy terrain, resulting in a yearly loss equivalent to two Spains. As one would expect, the costs of these losses are staggering, putting billions of people at risk and draining the global economy of nearly $1 trillion annually. Left unchecked, up to 95% of the world’s land could be degraded—defined as a loss of capability to produce benefits from a particular use—by 2050, with droughts hitting more than three-quarters of the world’s population.

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Nonetheless, there is cause for optimism. As delegates gather in Ulaanbaatar, Mongolia, for the 17th Conference of the Parties (COP17) to the UN Convention to Combat Desertification (UNCCD), there is growing momentum for a more ambitious global response. The summit’s theme, “Restoring Land. Restoring Hope.,” reflects a growing recognition that land restoration is not just an environmental imperative but an economic and development opportunity.

For the first time, the key ingredients for large-scale land restoration—political will, international cooperation, implementation capacity, and financing—are beginning to align. Five recent signs suggest that this could be the moment when we turn ambition into action.

The first is broader participation in the UNCCD process. COP16 in Riyadh in 2024 was the largest and most inclusive such summit to date. It elevated land use and drought on the global agenda and linked them to issues such as food and water security, gender equality, and land tenure. The landmark result was the Riyadh Action Agenda, the first global framework dedicated to land, which has since brought together more than 100 public and private partners.

COP16 also mobilized $12 billion for programs like the Riyadh Global Drought Resilience Partnership, alongside expanded private-sector engagement through Business4Land. Now, two forthcoming Riyadh Action Agenda initiatives—Land & Soil Breakthroughs and the Community Platform—aim to accelerate progress as countries increasingly translate political commitments into national drought plans and land-degradation-neutrality targets.

The second sign is the progress made toward greater convergence among the Rio Conventions. For decades, the climate, biodiversity, and land agendas that emerged from the 1992 Rio Earth Summit advanced separately. Yet they are now increasingly seen as interconnected dimensions of a single planetary crisis—an understanding that is long overdue and essential to developing more integrated approaches to policymaking, finance, and implementation.

COP16 reinforced this new thinking with a decision to strengthen collaboration among the Rio Conventions. The same trend is apparent across a wide range of initiatives, from the water, energy, food, and ecosystem nexus and various just-transition frameworks to more integrated sustainable-finance taxonomies.

Indeed, the momentum behind these new forms of collaboration continues to build. Both the Belém Joint Statement and the Antalya Dialogue on Rio Convention synergies signal growing recognition that 2026—when the United Nations Framework Convention on Climate Change, the UN Convention on Biological Diversity, and the UNCCD hold COPs within months of one another—offers a timely opportunity to align efforts to address the planetary crisis.

The third promising sign is the growing leadership role of developing and emerging economies. The UNCCD's COP-hosting record reflects this shift. Since 2013, every biennial summit has been hosted by a developing or emerging economy, from Namibia and China to India and Côte d'Ivoire, with Egypt expected to host COP18. And national initiatives are reinforcing the same trend. Ethiopia's Green Legacy Initiative, Pakistan's Ten Billion Tree Tsunami, Saudi Arabia's Saudi Green Initiative, and China's Three-North Shelterbelt Program all demonstrate that large-scale restoration is achievable.

Then there is the growing ecosystem of global partnerships, from the Brazil-led Resilient Agriculture Investment for Net-Zero Land Degradation initiative to local networks advancing restoration and resilience across Asia, Africa, and Latin America. Together, these developments point to a new reality: developing and emerging economies are increasingly shaping the vision and driving the implementation of the global land agenda.

The fourth sign is the emergence of a new generation of large-scale restoration initiatives. Beyond national efforts, restoration programs are now operating across entire regions, joining a lineage that traces back to the 2011 Bonn Challenge, which aims to restore 350 million hectares of degraded and deforested landscapes by 2030. For example, the Middle East Green Initiative, backed by almost 30 endorsing countries, seeks to plant 50 billion trees and restore 200 million hectares.

At the same time, the Riyadh Global Drought Resilience Partnership works to shield the world's 74 most drought-vulnerable countries. In Africa, the Great Green Wall is regaining momentum, with support from 22 countries, while Initiative 20x20 has rallied 18 Latin American and Caribbean countries around restoration commitments. Together, these initiatives demonstrate that restoration is no longer just a national undertaking but increasingly a regional and continental one.

The fifth sign is the mobilization of capital. After years of chronic underinvestment, finance for land restoration and drought resilience is beginning to scale up. Climate financing by multilateral development banks has increased in recent years, reaching a record $163 billion in 2025, some of which benefits land and promotes drought resilience.

More importantly, the financing model is evolving rapidly. Initiatives such as the Middle East Green Initiative and the Riyadh Global Drought Resilience Partnership are designed to use strategic public funding to unlock far larger pools of concessional and private capital. Innovative vehicles are accelerating this shift. Luxembourg's Drought Resilience Investment Facility aims not only to fund drought resilience but to build a viable market for it. And private-sector coalitions such as Business4Land, together with instruments such as thematic bonds and resilience credits, are helping redefine healthy land as a productive asset capable of generating economic, social, and environmental returns.

While much remains to be done, it is clear that the global land agenda has reached a turning point. The question is no longer whether large-scale land restoration is possible but whether governments, institutions, and investors can move quickly enough to convert unprecedented momentum into action before the costs of delay become prohibitive.

53. Putin Has Run Out of Moves

Author: Anders Åslund **Published:** Aug 18, 2026 **Link:** View Original

MUNICH—The broad consensus among Russia-watchers is that the country is facing a prolonged bout of stagflation. Growth this year is unlikely to exceed 1%, and inflation is still stuck at 6% (or more). Moreover, the most promising option for reviving the economy is the least likely to be pursued, because it requires President Vladimir Putin's willingness to end the war on Ukraine.

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The downside risks are legion. Russian troops have barely advanced in Ukraine this year, and Russia cannot spend more on its military without triggering financial instability. Meanwhile, Ukraine has brought the war to Russia, with its drones decimating oil and gas facilities and even e-commerce warehouses, thus souring Russians on Putin's war. A Russian friend in exile recently characterized Putin's plight as Zugzwang, a chess term for when a player's only options will leave him in a worse position.

The most obvious vulnerability is public spending. The 2026 budget surprised analysts by allocating $183 billion to national security and defense, about the same as in 2025. The implication was that Putin had accepted a war of attrition, rather than trying to raise expenditures and clinch a decisive victory. But would he really accept such a limitation? In fact, though he stuck to a budget deficit of about 2% of GDP during the first three years of the war, this share rose to 2.6% in 2025, and in the first seven months of 2026, he allowed the deficit to balloon to 2.8% of GDP—almost twice what was planned.

Such an imbalance is fiscally untenable. Russia has no sources of government financing other than taxes and domestic loans. Not even China offers it credits, and its federal revenues are lingering around 18% of GDP despite repeated increases in corporate taxes, value-added taxes, and personal income tax. At this point, more tax hikes would be purely detrimental. Putin's last resort would appear to be the tiny liquid share of the National Welfare Fund.

As a result, the government has been plying government bonds to state-owned banks. As Craig Kennedy of Harvard University's Davis Center for Russian and Eurasian Studies has shown, state-owned banks are also giving large loans to Russian arms producers, while receiving repo loans from the central bank. This indirect method of issuing money might explain the disconnect between officially reported annual inflation (6% in June) and inflation expectations among the populace (14.7%).

Russia has long boasted that its public debt is only around 15% of GDP. But its debt is so low only because the government virtually cannot borrow money from anywhere outside Russia. Moreover, since the central bank maintains an interest rate of 14%, the cost of servicing Russia's public debt is high, making any military splurge untenable. Thus, if the Kremlin maintains its current fiscal policy, it is likely to end up with much higher inflation, a financial crisis, or both.

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Nonetheless, Putin looks as if he is going for broke. Russia is supposed to hold elections to the State Duma on September 18–20, and with no opposition likely, speculation already abounds that Putin will order a military mobilization soon afterwards. The last time he tried that, in September 2022, well-educated young men emigrated en masse. Another mobilization is likely to provoke a similar stampede for the exits. With labor already scarce, this would be a major economic blow.

But Putin is in a bind, because the alternative is to seek a ceasefire, which could prove even more dangerous to his regime. Even though only 15,000 Soviet soldiers died during the Kremlin's failed war in Afghanistan in the 1980s, that was enough to provoke a strong backlash in Russia, which ended up being ravaged by criminal gangs populated by veterans. This time, almost 500,000 Russian soldiers are estimated to have been killed in Ukraine, and the number of war veterans suffering from post-traumatic stress disorder is sure to be far larger. This cohort is presumably one of Putin's greatest worries, and the risk it poses makes him unlikely to sue for peace.

Yet he cannot win the war he started, because Russia cannot compete technologically. With its freer economy, Ukraine has made tremendous headway in deploying drones and other new technologies, whereas Russia's arms industry remains concentrated in the torpid state-owned company Rostec, run by Sergei Chemezov, whose only qualification is that he served with Putin in the KGB in Dresden decades ago.

Although most middle-class Russians have not been forced to fight yet, their professional and economic opportunities are drying up amid rising prices, and relentless Ukrainian bombing has resulted in fuel and other shortages. Little wonder that Putin is running scared, darting (by armored train) between his various bunkers.

Putin's fear extends to his inner circle. In May 2024, he sacked his once-popular defense minister, Sergei Shoigu, and several of Shoigu's deputies were arrested on corruption charges and handed long prison sentences. The same month, he also removed longtime ally Nikolai Patrushev from his post as secretary of Russia's Security Council.

Then, in July 2025, Minister of Transportation Roman Starovoit reportedly took his own life after being removed from office. And in September 2025, Dmitri Kozak, a deputy chief of presidential staff and longtime Putin associate who is known to have opposed the war, suddenly resigned. In June of this year, another crony, Sergei Ivanov, died at the age of 73. Konstantin Makhov, the right-hand man of Arkady Rotenberg, one of Putin's oldest friends, has been arrested for corruption, and another ally, Ilya Traber, a former leader of the gang that used to control St. Petersburg's oil shipping, was arrested for murder.

Despite this instability, Putin seems willing to gamble with financial destabilization, too. His situation is not yet desperate, but he has no good options.

54. The Geopolitical Drag on AI Governance

Author: Gabriela Ramos **Published:** Aug 18, 2026 **Link:** View Original

PARIS—Last month, China announced the creation of the World Artificial Intelligence Cooperation Organization, a 38-country platform focused on AI cooperation, bridging the AI divide by supporting innovation and deployment in developing countries. WAICO marks a turning point, but not the one the world needs.

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I have long argued that governance is the central challenge AI raises: establishing rules, institutions, and accountability mechanisms capable of containing the very real risks the technology poses and steering its development in ways that deliver positive outcomes for our economies and societies. So far, governments are failing to meet this challenge.

To be sure, efforts to deliver effective AI governance have been made. In 2019, as a G20 sherpa, I brought the then-newly agreed OECD AI Principles to the Osaka Summit for adoption. The following year, the OECD hosted the Global Partnership on AI, which now counts 46 countries as members. While membership is supposedly open, however, it requires countries to endorse the OECD Principles, even if they had no say in these principles' creation.

In 2021, UNESCO delivered the Recommendation on the Ethics of AI (I oversaw its creation). While 194 member states, including China, adopted the standard, implementation has been uneven, particularly when it comes to the core commitments of transparency, accountability, and the rule of law. The UN specialized agencies and organizations also have specific AI initiatives.

The release of ChatGPT in 2022 introduced generative AI to the masses, lending new urgency to the AI-governance challenge. The following year, the G7 launched the Hiroshima AI Process, and the United Kingdom convened the first AI Safety Summit in Bletchley Park, followed by a series hosted successively by South Korea in 2024, France in 2025, and India in 2026 (with Switzerland hosting next year). One of the most promising developments of these summits was the establishment of AI Safety Institutes, first in the UK and the US. An international network of AISIs became operational in 2024.

These institutes focused on evaluating frontier AI systems, improving AI risk assessment, and establishing common safety standards. Under President Donald Trump, however, the scope of the US AISI has shifted away from safety, toward national security and strategic competitiveness.

For the Trump administration, robust AI governance is a non-starter. Regulation stifles innovation, the logic goes, and the US can ill afford to fall behind in its race with China for global technological leadership. The same narrative of geopolitical competition has also led the US to impose export controls on advanced chips and computing capacity, as well as restrictions on foreign access to the most powerful AI models.

By some measures, the US still has a clear lead over China. According to the 2026 Stanford AI Index, US private investment in AI reached $286 billion in 2025, compared with $12 billion in China, and the US produced 59 notable models, compared to China's 35. Nonetheless, the US has legitimate reasons for concern. From DeepSeek to Kimi K3, Chinese models are approaching the capabilities of frontier US systems, often at considerably lower cost. Moreover, China emphasizes open models, which offer developing countries far easier access to AI. And it is working hard to overtake the US in AI research.

But the field of competition extends beyond the AI market. With WAICO, China is seeking to expand its geopolitical influence, not least by becoming the power that writes the AI rules for everyone else. This fits into a broader strategy: since 2013, China has channeled roughly $1.5 trillion into construction contracts and investments in partner countries through its Belt and Road Initiative. It is no coincidence that the founding members of WAICO—which also includes infrastructure investment and technology transfer—are all BRI participants.

China also spearheaded the creation of the Asian Infrastructure Investment Bank, which has yet to match the World Bank or the Asian Development Bank in size, but does demonstrate China's capacity for—and interest in—institution-building. The US, meanwhile, is doing just the opposite, retreating from some of the institutions that it helped to build, including UNESCO, the World Health Organization, the United Nations Conference on Trade and Development, and the UN Human Rights Council. It has also dismantled the US Agency for International Development and withdrawn from the Paris climate agreement.

The Trump administration's decision to prioritize national competitiveness over multilateral frameworks has deepened the fragmentation of global AI governance. The establishment of WAICO takes this fragmentation to a new level by institutionalizing a China-led initiative. The US response was not long in coming. According to Reuters, the State Department is preparing a letter urging allies participating in US initiatives—Pax Silica (2025) or the AI Opportunity Statement (2026)—to choose sides in the AI race.

None of these initiatives is fully addressing the core issues that worry people about AI: addictive models that harm children and young people, discriminatory algorithms that entrench inequality, potentially existential loss-of-control risks, national-security and cybersecurity threats, and labor-market disruptions that we can barely assess, let alone manage.

The only power that is attempting to address these issues is the European Union. With the AI Act, the EU has adopted binding rules for the technology's development and deployment, although it has postponed the obligations on high-risk AI systems. Nevertheless, it has supported developing countries in building frameworks that align AI with human rights. But because Europe is not a leading contender in the AI race, it struggles to turn its normative leadership into global impact. While its track record in other fields suggests that its regulatory frameworks may yet spread beyond its borders, particularly if AI incidents proliferate, we are not there yet.

With the right governance, AI might be able to help address the greatest challenges the world is now facing. But this would require the US and China to embrace a radically different set of priorities from those they are now pursuing. It will require, above all, that they work together to ensure AI delivers for the public good. For now, humanity remains a secondary concern in a race supposedly being run on its behalf.

55. A Future With Chinese Characteristics

Author: Mark Leonard **Published:** Aug 18, 2026 **Link:** View Original

BERLIN—For much of the 20th century, the United States represented not just a place on the map. It was also a point in time. When Western Europeans looked at images of America after World War II—depictions of Hollywood's glamor, American cars, and newfangled labor-saving devices—they thought they were looking into the future.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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The American Dream had an especially irresistible draw for East Europeans behind the Iron Curtain, and for tens of millions of Chinese during the opening and reform era that began after Mao Zedong's death in 1976. China's great economic reinvention was inspired, in part, by Deng Xiaoping's awe at American modernity, which he witnessed firsthand during an official visit in 1979.

But fast-forward to 2026, and the positions have been reversed. For most people in most countries, the future can now be seen in China. Just as Hollywood once showed the world what modern life looked like, China is showing African, Latin American, and even American young people what an economy built on green energy, mobile payments and other services, and advanced robotics looks like. For Cobus van Staden of the China-Global South Project, the West is "increasingly being framed as backward-looking [and] associated with the past," a phenomenon presumably accelerated by Trumpism, with its rejection of renewable energy, diversity, and its social conservatism.

In many parts of the West, disillusionment has given rise to Chinamaxxing on social media, with American and European influencers performatively embracing Chinese mannerisms and aesthetics. And in the Global South, young people aren't just imitating Chinese practices like drinking hot water or trying out tai chi. They are watching as China reshapes their daily experiences.

This signals a genuine historical rupture. For generations, most countries defined themselves in relation to the West. Some sought (or were convinced) to emulate Western development models like the Washington Consensus, and many were keen to acquire Western technology and aid, or simply to get the West's approval. Other countries did push back against the West's influence and attack Western hypocrisy, but their counter-models were themselves defined by opposition to the West.

Either way, West-centrism was the prism through which geopolitics was conducted and interpreted. When countries in the Sahel invited Russia's Wagner Group mercenaries to help them deal with insurgencies, it was seen as a reaction against France and its traditional role in the region. When Angola invited Sinopec to exploit its oil fields, it was seen as a snub to Portugal and the United Kingdom. And then there are the many challenges to US hegemony in the Middle East, Latin America, and Southeast Asia. Around the world, memories of bloody Western interventions or financial crises still linger.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Yet younger generations around the world are not even pro- or anti-Western so much as they are post-Western. For them, China, not the US, is at the center of their conceptual universe and envisaged future.

What happened? One of the big differences between countries in the Global South and the Global North is their demographic profile. In the US and Europe, the median age is 40–50, compared to 19 in Nigeria, and 29 in South Africa, India, and Lebanon. That means some 70% of Nigerians aren’t even old enough to have registered the 2003 US invasion of Iraq or the 2008 global financial crisis. As Cobus points out, young West Africans “never knew anything more than the US as we know it now.” The era of Donald Trump encompasses their entire political memory, and they presumably are not very impressed.

This shift in perceptions is not just an African story, of course. In Vietnam, which has long had a fraught relationship with China, young people are becoming less reflexively Sinophobic than their elders. Chelsea Nguyen, a researcher at the London School of Economics, credits the COVID-19 pandemic for catalyzing this change. The West’s perceived mishandling of the pandemic undermined its status as a model worthy of emulation. Many Vietnamese turned to exploring their own history and that of their Asian neighbors, including China. As in much of Africa, growing exposure to China’s rapid technological progress and Chinese consumer goods transformed the country’s global brand.

Meanwhile, Loubna El Amine, a China scholar at King’s College London, notes that in regions riven by instability—such as the Middle East, where the US itself is a big part of the problem—“a lot of the attraction of China is its absence rather than presence.” The latest Arab Opinion Index bears this out, showing that 77% of respondents view US policies as a threat to the region’s security and stability, compared with just 25% for China—and that was well before Trump launched his catastrophic war against Iran. And, of course, China carries none of the colonial baggage that complicates European interventions (or even peacebuilding efforts) in the region.

Still, China has been known to be aggressive in pursuing its economic agenda in the developing world, whether through predatory loans, acquiring critical national infrastructure, or deliberately exporting its domestic overcapacity. Such behavior ruffles feathers as much in Thailand, Mexico, and Nigeria as it does in the US and Europe. Moreover, young people’s widespread distrust of their governments can easily bleed into unhappiness with China when political leaders are seen to be giving it undue privileges.

Since the pivot to China as an exemplar of modernity is in many ways pragmatic and non-ideological, its hold on the popular imagination is still tenuous. Lots of leaders in the West want to compete with China for “soft power.” But the key is not to counter Chinese “propaganda” or improve Western PR. The winners in the battle for hearts and minds will be those who offer real solutions to people’s problems and create more opportunities for prosperity than are currently available.

56. The Myth of the China Shock

Author: Michael R. Strain **Published:** Aug 18, 2026 **Link:** View Original

WASHINGTON, DC—Few issues in the public square are uncontested. But the narrative that the United States’ decision, driven by elite considerations, to open trade with China led to the loss of a large number of manufacturing jobs and deindustrialization comes close. Democrats and Republicans, the mainstream media, commentators of all stripes, and even economists hold, advance, and defend this version of events. And yet every part of it is off base.

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Did growing US trade with China following the 2000 decision to permanently normalize trade relations and China’s accession to the World Trade Organization in 2001 lead to a large reduction in manufacturing employment? In their 2013 paper, economists David Autor, David Dorn, and Gordon Hanson find that rising exposure to Chinese import competition is associated with a net reduction in US manufacturing employment of 1.5 million from 1990–2007. In work with Daron Acemoglu and Brendan Price, they find that up to 2.4 million jobs were lost through 2011 due to competition with Chinese imports.

To assess whether these are large numbers of job losses, place them in the context of broader US labor market dynamism. From 2000 to 2007, more than five million workers, including around 425,000 manufacturing workers, separated from their employers in a typical month. There was nothing special about that period—these magnitudes have been similar over the last five years.

Moreover, when it comes to trade liberalization, import competition is only half the story. In the 1980s, 1990s, and 2000s, trade with China, and globalization more broadly, led to growing opportunities for US exporters.

Economic theory suggests that trade liberalization should have little effect on aggregate US employment because job losses from import competition can be balanced by job gains in export-intensive firms and sectors. The economist Robert Feenstra and his coauthors attempt to account for both sides of the ledger.

In a 2019 paper, Feenstra and his colleagues confirm the “China shock” result, finding that 1.9 million jobs were lost between 1991 and 2011, owing to import competition from China, with more jobs lost to competition from global imports. But they also find that a roughly equivalent number of jobs were gained due to export expansion.

One should also consider that manufacturing’s share of total US employment followed a relatively smooth downward trend from the early 1950s until the 2008 financial crisis, when falling productivity actually caused the trend to slow. The decline predates the “China shock” by decades. And there was no obvious trend break in manufacturing’s employment share in 2000 or 2001, which is consistent with the view that, over the long term, declines in manufacturing employment have been driven mainly by productivity growth, not by trade competition.

Finally, the US did not decide to open trade with China in the 1990s in the same way that I decided to have a third espresso this morning. The decision wasn’t nearly so simple or singular.

Yes, China was granted permanent normal trade relations in 2000 and entered the World Trade Organization in 2001. But the US had annually renewed China’s normal trade relations status since 1980, and US trade with China grew rapidly over two decades prior to its WTO accession. According to my calculations, China’s share of total US imports grew during the 1980s, hit 2.5% in 1989, had more than doubled to 5.4% by 1993, and stood at 8% in 1999.

The trend continued following China’s WTO accession. China’s share of total US imports doubled again, from 8.2% in 2000 to 16.4% in 2007. But even this overstates the role of US policy in facilitating the so-called China shock. China’s exports continued to grow in part because the US eliminated the uncertainty created by the pre-2000 annual renewal of trade-policy parameters. They also grew because of China’s internal, pro-market reforms—including a reduction in its own tariff rates.

Nor was the US decision to trade with China made by a shadowy elite. China’s exports to America grew as a result of millions of decentralized, individual decisions. During the 1980s and 1990s, US consumers and businesses increasingly chose to purchase goods made in China, a trend that continued following China’s entry into the WTO.

It is wrong to present the “China shock” as evidence that trade liberalization hurts the working class, or that a powerful, murky, nefarious elite is making deliberate, isolated choices that hurt the majority of Americans.

The right lessons to draw from the 2000s are that it is harder than economists and policymakers had thought for workers to move from a sector with declining economic opportunities into a sector with expanding opportunities. Moreover, workers are less willing to relocate from regions with declining opportunity than they had been in the past—let alone at a pace that would establish a new aggregate labor-market equilibrium.

These two lessons are broadly applicable, and policymakers should keep both top of mind as advances in generative AI continue. They should be open to new types of policies—for example, public relocation assistance for workers in localities hit hard by economic disruption, and potentially large earnings subsidies to help workers in transition.

But policymakers should not build walls around the economy or attempt to slow the pace of technological change. They should approach the future with optimism, not with fear—unburdened by the incorrect view that dynamism and economic liberalism are obstacles to long-term prosperity, rather than its key drivers.

57. Guatemala's Democratic Renewal

Author: Carlos Alvarado-Quesada **Published:** Aug 18, 2026 **Link:** View Original

SAN JOSÉ—After two years of fierce political battles, Guatemalan President Bernardo Arévalo finally managed to appoint a new attorney general in May. In replacing a corrupt prosecutor with an honest one, Arévalo demonstrated that, even after years of erosion, democracy can prevail if political leadership chooses constitutionalism over confrontation.

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International observers are often so focused on democratic breakdowns that they overlook democratic breakthroughs. But Guatemala's recent struggle deserves far greater attention. After Arévalo won the August 2023 runoff by a wide margin, the Public Ministry, under Attorney General Consuelo Porras, challenged the results, launched legal actions against Arévalo's party, Movimiento Semilla, and pursued investigations that were widely viewed as attempts to block the transfer of power.

But Indigenous authorities and civil-society organizations launched massive peaceful demonstrations to demand that the election's outcome be respected. Their efforts, together with growing international pressure, proved powerful. After months of uncertainty, which extended into inauguration night, Arévalo was finally sworn into office in January 2024.

Yet Guatemala's democratic struggle was just beginning. This year, another decisive moment for the country's institutions arrived: it was time to select new magistrates for the Constitutional Court (replaced every five years), members of the Supreme Electoral Tribunal (replaced every six years), and, perhaps most important, the next attorney general (who serves a four-year term).

Porras's eight-year tenure was controversial not only because of the Public Ministry's response to Arévalo's election. Under her leadership, the autonomous body was accused of undermining anti-corruption efforts, weaponizing the justice system against critics, and obstructing democratic processes. Hundreds of people—including journalists, anti-corruption prosecutors, judges, Indigenous leaders, and civil-society figures—were forced into exile during this period.

Others—notably, the journalist José Rubén Zamora, founder of El Periódico, and Indigenous leaders Luis Pacheco and Héctor Chaclán—were prosecuted or imprisoned on dubious charges. Porras faced sanctions from Canada, the European Union, the United States, and many other international actors for undermining the rule of law.

Against this backdrop, the process of choosing a new attorney general was subjected to intense national and international scrutiny. Under Guatemala's constitution, the president selects the attorney general from a six-candidate shortlist prepared by a 15-member nominating commission composed primarily of university authorities, bar-association representatives, and judicial officials.

Pressure groups mobilized to shape this selection process. These included powerful political and economic networks that feared the loss of a longstanding bulwark against accountability. Also among them were civil-society organizations, Indigenous authorities, academic representatives, and international actors, who demanded transparency, institutional independence, and an end to the criminalization of anti-corruption activists.

Throughout the process, Arévalo’s administration consistently emphasized adherence to Guatemala’s constitutional framework and legal procedures—an unwavering commitment that both supporters and detractors have criticized as a weakness. But it proved essential to keep the attorney-general selection process fully democratic and constitutionally grounded, despite intense political pressure and repeated attempts to destabilize the transition.

Finally, after weeks of deliberation and public scrutiny, Arévalo received the shortlist, from which he selected Gabriel Estuardo García Luna. This marked a decisive democratic victory—proof that, even under difficult conditions, constitutional processes can still prevail. Indeed, Arévalo succeeded not because he abandoned institutions to save democracy, but because he trusted institutions enough to work through them.

This achievement is particularly extraordinary in Guatemala, which returned to democratic rule in 1986 after decades of authoritarianism and ended its 36-year-long civil war only in 1996. But its significance extends further. At a time when Central America is struggling with democratic backsliding and institutional capture, Guatemala’s resilience offers an encouraging message to the rest of the region—and to democracies worldwide.

The path ahead is beset with challenges. Arévalo’s administration, including the new attorney general, must continue restoring and strengthening the country’s democratic institutions, which will again be tested in the 2027 general election. Nonetheless, a promising new chapter in Guatemalan democracy has begun.

58. Three Ways AI Will Change the Course of Humanity

Author: Dambisa Moyo **Published:** Aug 19, 2026 **Link:** View Original

LONDON—Over the long sweep of history, three forces have driven humanity’s greatest transformations, for good and ill: disease, war, and economic growth. By reducing costs and increasing the availability and productivity of a vast array of goods and services, AI will have a profound impact on all three.

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History is littered with plagues and pandemics that altered the trajectory of human population growth. The Black Death, for example, killed 75–200 million people across Europe, Asia, the Middle East, and North Africa between 1346 and 1353.

Thanks to technological advances and medical innovations that helped prolong life expectancy and reduce infant mortality, the global population has grown from one billion in 1804 to two billion in 1927 to more than eight billion today. At the same time, however, the advent of effective contraceptives has helped contain population growth.

AI promises to accelerate this progress, improving both the quality and quantity of human life through preventive diagnostics, faster drug discovery, and more personalized medical care. In doing so, it could reduce the human and economic costs of non-communicable diseases like cancer and neurodegenerative brain disorders, including Alzheimer’s. It could also enable faster responses to outbreaks of communicable diseases by predicting where viruses are likely to spread and how mutations might unfold. In fact, AI is already being used to combat antimicrobial resistance.

Perhaps most notably, AI could drastically reduce health-care costs, which have been largely immune to past technological advances. As a 2022 American Enterprise Institute chart showed, US hospital-service costs rose more than those of all other goods and services over the previous quarter-century.

Wars represent the second force that has repeatedly changed the course of human history. An estimated 70–85 million people died during World War II, nearly 30 million of them in the Soviet Union. These losses had far-reaching demographic and economic consequences for the USSR, especially since so many of those killed were working-age young men. More generally, armed conflicts destroy productive capacity, disrupt everyday life, and deter the investments needed to stimulate economic growth.

Technological advances have of course made war far more destructive. World War I was the first large-scale mechanized conflict involving mass-produced guns, tanks, and aircraft. WWII, in turn, catalyzed a massive military-industrial buildout, pulling the US economy out of the Great Depression and fueling decades of postwar growth.

AI is now ushering in a new era of technology-driven conflict as countries increasingly rely on drones and autonomous weapons. In Ukraine, drones account for 70–80% of battlefield casualties. AI-powered systems are also playing a growing role in the Iran war, from accelerating mine clearing in the Strait of Hormuz to tracking submarines and gathering intelligence.

The third major driver of historical change is economic upheaval. In the aftermath of WWI, hyperinflation devastated the German economy, setting the stage for the rise of Nazism. Similarly, the 1929 stock-market crash—together with 1930s banking panics and the Dust Bowl—plunged millions of Americans into poverty, with encampments of displaced people (“Hoovervilles”) springing up across the United States.

But economic transformations can also bring enormous gains, even as they create disruption and despair. The Industrial Revolution unleashed rapid productivity growth, raised living standards, reconfigured societies, and propelled human development to new heights.

Much of this was the result of rapid industrialization and mechanization, which continued to redefine the relationship between capital and labor well into the 20th century as workers moved from agriculture to manufacturing and then into the services sector. In the US, agriculture’s share of employment fell from more than 40% at the turn of the 20th century to less than 2% today.

Early studies suggest that AI will supercharge productivity, particularly in knowledge-based industries, though evidence of its direct contribution to economic growth remains inconclusive. A 2018 McKinsey Global Institute report estimated that AI could add roughly $13 trillion to global GDP by 2030, while a 2023 McKinsey report projected that generative AI could deliver $2.6–$4.4 trillion in economic value annually.

Yet AI’s destructive potential is just as great. Warnings of an AI-driven “jobocalypse” have become increasingly common in recent years, with Silicon Valley venture capitalist Vinod Khosla predicting that AI will be capable of performing 80% of existing jobs by the early 2030s, rendering traditional employment obsolete.

Whether or not these grim predictions prove accurate, widespread job displacement could upend the structure of economies and societies. It could also greatly expand the role of the state, as governments face growing pressure to provide income support.

To be sure, the AI super cycle is in its early stages. But even now, it seems inevitable that the technology will radically change how we combat disease, fight wars, foster economic growth, and, ultimately, how we understand what sets humanity apart.

59. The Trolling of American Democracy

Author: Robert Gulotty **Published:** Aug 19, 2026 **Link:** View Original

CHICAGO—US Vice President JD Vance recently mused that if Watergate happened today, it would be a 12-hour news story. Was he boasting that President Donald Trump's administration can survive scandals that would once have brought down a presidency, or was this a jab at a media establishment that is too weak to make any allegation stick? Either way, Vance inadvertently identified one of democracy's deepest vulnerabilities: when every accusation can be dismissed as a partisan witch hunt, and when every unstatesmanlike comment is explained away as "just trolling," democratic oversight begins to break down.

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In new research, we build on a generation of scholarship on democratic backsliding to show that democracy's last line of defense is not the opposition, but the incumbent's own supporters. It is they who must ultimately defend democracy, since everyone else already opposes the person in power.

Hungary's recent election is a case in point. Former Prime Minister Viktor Orbán lost not simply because his opponents turned out in force, but because many of his own voters abandoned him, delivering victory to Péter Magyar's Tisza party and ending his illiberal rule. The same is true of the United States. To protect American democracy, enough voters from within Trump's MAGA coalition must be willing to abandon a president they prefer to preserve a system they value.

But that is a tall order, given that those voters do not directly observe democratic backsliding. Instead, they see investigations, indictments, alarmed experts, and congressional hearings. From their perspective, it can be hard to distinguish a president under siege by a hostile press from one who is genuinely undermining democracy.

This blind spot is precisely what makes Trump's penchant for trolling so consequential. His carnival-barker style, ironic register, and perpetual wink may seem like personal quirks, but they create the very ambiguity that makes democratic oversight so difficult. In our analytic framework, a politician can always take what we call the disciplined path: acting in ways that leave little room for ambiguity and forgoing the short-term advantages that come from keeping everyone guessing.

Trump, however, does the opposite, leaving it to his audience to decide whether he is serious. This tactic dates to his first presidential run, when he dismissed his crude remarks in the infamous Access Hollywood tape as "locker room talk," and it persists today when he threatens to annihilate Iran, only for his aides to assure the public that his words should not be taken literally. The point of the performance is to demonstrate, time and again, that Trump's critics deliberately mistake innocuous behavior for serious misconduct and therefore cannot be trusted when they sound the alarm.

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Every time this performance succeeds, the critic's job becomes harder. A conscientious overseer—a news editor, a prosecutor, a watchdog—knows that warnings lose their force when issued too often. So, responsible critics raise the evidentiary bar, refrain from pursuing ambiguous cases, and sound the alarm only when the evidence is strongest. Restraint is meant to ensure that when they do warn the public, people will listen. Yet restraint is no solution, because voters are not simply evaluating the president. They are also judging those sounding the alarm. In our model, every criticism shapes voters' judgments of both the incumbent's conduct and the critics' motives.

The confluence of fake news and relentless trolling compounds this problem. Caution means fewer alarms, but fewer alarms from responsible critics also mean that any warning the public does hear is more likely to come from a partisan opponent out for blood, and thus more likely to look like part of a witch hunt. Restraint—the very quality that should make criticism credible—ends up discrediting it, turning the critics' own professionalism against them.

American politics did not always work this way. In July 1973, at the height of the Watergate scandal, only 17% of Americans told pollsters that the press was "just out to get" President Richard Nixon. As the evidence mounted, Nixon lost the support of many of his own voters and ultimately resigned rather than face impeachment. That is how democratic oversight should work: voters trust that alarms are warranted, and politicians take pains to avoid even the appearance of misconduct instead of hiding behind ambiguity.

When voters no longer punish such ambiguity, politicians have every incentive to exploit it. An incumbent intent on subverting democracy can cloak questionable conduct in irony, daring critics to take it seriously and risk making fools of themselves.

Vance therefore is right that Watergate would now burn out in half a day; but not for the reason he thinks. It is not that the press is too weak or too biased. It is that a politician who deliberately cultivates ambiguity as a governing style can change the meaning of criticism, casting legitimate warnings as partisan hysteria.

That does not mean that voters should believe every accusation, or that the press should shout louder. Rather, the lesson is that the carnival act is not merely a personality trait, but a political strategy. The Washington Post's slogan famously warns that "democracy dies in darkness." Our research points to something even more troubling: when oversight itself becomes contested, democracy can die in the spotlight.

60. When a Big Energy Project Turns Bad

Author: Djoomart Otorbaev **Published:** Aug 19, 2026 **Link:** View Original

BISHKEK—For a major infrastructure project to succeed, it must be underpinned by sustained political support and sound economics. When political and strategic considerations are allowed to dominate decision-making, and long-term economic assessments suffer as a result, projects can fail before they start. This appears to have been the case with the Central Asia-South Asia Electricity Transmission and Trade Project (CASA-1000).

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Funded jointly by the European Bank for Reconstruction and Development, the Islamic Development Bank (IDB), the World Bank, and others, CASA-1000 was introduced in 2006 as a means of transmitting surplus hydropower from Kyrgyzstan and Tajikistan to alleviate energy shortages in Afghanistan and Pakistan. Construction on the 1,387-kilometer (862-mile), 1,300-megawatt energy-transmission infrastructure began a decade later.

While CASA-1000 was presented as an energy-trade project, it served a wider strategic objective. Beyond fostering inter-regional cooperation between Central Asia and South Asia, it became a pillar of the United States' short-lived "New Silk Road" strategy, announced by then-Secretary of State Hillary Clinton in 2011. By strengthening North-South economic integration and reducing Central Asian countries' dependence on Russian electricity connections, the project was supposed to shift the region's geopolitical orientation.

Despite this grand vision, CASA-1000 has run into repeated delays. Initially scheduled to begin operating in 2020, completion is now expected no earlier than 2027. In the meantime, Kyrgyzstan has invested some $216 million in the project, with financing largely coming through concessional loans from the European Investment Bank, the IDB, and the World Bank. Tajikistan's costs have surpassed $250 million. Both countries will be servicing these loans for many years to come.

Yet the economic assumption underlying this investment—that Central Asia would possess long-term structural electricity surpluses to export—has already collapsed. Over the last two decades, Central Asia has become one of the world's fastest-growing regions economically. As industrial production has expanded, urbanization has accelerated, incomes have risen, and digital infrastructure has proliferated, electricity consumption has surged.

Domestic consumers have now absorbed the electricity surplus of 2006—and then some. In fact, Central Asia faces an energy deficit of some 10–15 billion kWh per year. With regional governments expecting electricity demand to rise by another 40% by 2030, these countries will need to ramp up domestic electricity generation just to meet their own needs.

This is not lost on Central Asian governments, which are already moving to introduce nuclear power into their national energy systems. Following a nationwide referendum, Kazakhstan has begun work on its first commercial nuclear power station. Uzbekistan has likewise begun building its first nuclear plant, including two 1,000-MW reactors and two small modular reactors, which together are expected to meet approximately 15% of national electricity demand. Kyrgyzstan has incorporated nuclear generation into its medium-term energy strategy.

Even under optimistic scenarios, however, it will take years for these nuclear-power projects to bear fruit. The specter of domestic electricity shortages thus looms large. Against this backdrop, the last thing Central Asian countries need is to pour yet more money into infrastructure whose only purpose is to export the energy they generate.

In fact, Kyrgyzstan recently proposed using the CASA-1000 system in reverse, importing electricity from Pakistan during winter months. But this is no solution. Pakistan relies significantly on thermal electricity generation, powered by imported natural gas, liquefied natural gas (LNG), and petroleum products. Generation costs regularly reach 8–10 US cents per kilowatt-hour—far higher than the costs of power generation in Central Asia. Without massive subsidies, importing electricity from Pakistan to Central Asia is economically unworkable.

After hundreds of millions of dollars in investment by developing-country governments, and before a single watt of energy was transferred, CASA-1000 has effectively failed. The international financial institutions that conceived, financed, and promoted the project must answer for this.

Every major multilateral lender possesses independent evaluation mechanisms designed to assess projects—whether they are complete or incomplete, successful or unsuccessful. Evaluations of CASA-1000 should be published in full. These institutions should explain which demand forecasts proved incorrect, which economic assumptions failed, how political considerations influenced investment decisions, and what lessons have been learned.

The question is not whether CASA-1000 achieved its original objectives—it did not, nor will it. It is who will be accountable for a billion-dollar project whose economic failure was a tale foretold long before its completion. Until international development institutions acknowledge that geopolitical ambition cannot overcome economic reality, developing economies will continue to pay the price.

61. Global Economic Convergence Is Stalling

Author: Keun Lee **Published:** Aug 19, 2026 **Link:** View Original

SEOUL—The global economy has undergone a dramatic transformation over the past two decades, driven not least by the 2008 global financial crisis, the United Kingdom’s 2016 vote to leave the European Union, and the escalating rivalry between the United States and China. The International Monetary Fund’s latest World Economic Outlook, published this past April, shows how such shocks have affected the fortunes of emerging and advanced economies.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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When then-Goldman Sachs economist Jim O’Neill coined the term BRIC in 2001, the four emerging-market economies to which he referred—Brazil, Russia, India, and China—were viewed as having enormous growth potential. Over the past quarter-century, however, progress has been highly uneven.

Start with the largest emerging economy. China’s relative economic power—measured by its GDP in current prices, relative to US GDP—peaked at 76.6% in 2021. It fell to 70.4% in 2022, owing largely to its zero-COVID policy and a real-estate downturn, and to 63.8% last year. The IMF projects it will grow slightly to 64.9% in 2027. The limitations of China’s export-dependent growth model, together with targeted US efforts to contain the country’s rise, are imposing a distinct constraint on nominal GDP growth, suggesting that, when it comes to relative economic power, we may have already seen “peak China.”

But when it comes to living standards—measured using per capita GDP, adjusted for purchasing power parity (PPP)—China continues to narrow the gap with the US. From 2021 to 2026, China’s per capita GDP relative to the US rose from 29.2% to 33.5%, with the income gap narrowing by roughly one percentage point annually. On this trajectory, China’s per capita GDP will exceed 40% of the US level by the early to mid-2030s. That would place China in the high-income category in relative terms.

By absolute measures, China will reach this milestone even sooner. It achieved a per capita gross national income of $14,230 in 2025 and is projected to reach a per capita GDP of $14,874 in 2026, well above the World Bank’s high-income threshold of $14,375. China thus appears to have avoided the dreaded middle-income trap.

India is on the opposite convergence trajectory, catching up with the US in economic scale but progressing slowly in living standards. In 2000, India was the world’s 13th-largest economy, contributing 1.4% of global GDP. By 2022, it had risen to fifth place, behind the US, China, Germany, and Japan. Although a weak rupee and GDP revisions caused India to fall behind the UK and remain in sixth place in 2025 and 2026, the country is projected to climb back up the rankings, becoming the world’s fourth-largest economy next year.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

By contrast, India's PPP-adjusted per capita GDP grew only modestly over the past decade, from 10.4% of the US level in 2016 to 13.6% this year. That is an average annual increase of just 0.3 percentage points.

Russia's economic size relative to the US peaked at 13.6% in 2013, the year before its illegal annexation of Crimea, which prompted a spate of Western sanctions. By 2016, it had dropped to 6.8%, but it has stabilized between 7% and 8.8% over the past five years, despite the Ukraine war. Russia's PPP-adjusted per capita GDP has also remained steady, hovering between 54.7% and 55.6% over that period.

Brazil has lost ground in both relative economic scale and living standards. Its relative GDP dropped from 16.8% of the US in 2011 to 8.7% in 2019, and it currently stands at 8.1%. Similarly, Brazil's relative per capita GDP slid from 30.8% in 2011 to 25.9% in 2019, and it has remained around that level. South Africa, which joined the BRICS in 2010, has also experienced a persistent decline in relative income over the past decade. Both countries appear to be firmly stuck in the middle-income trap.

Major advanced economies are also losing ground to the US in terms of both economic power and incomes. Germany's relative GDP fell from a peak of 26% in 2008 to 16.8% this year—a result of a weak euro, energy-price shocks, and declining competitiveness in the high-tech manufacturing, automotive, and semiconductor sectors. Its PPP-adjusted per capita GDP reached 97% of the US level in 2011, but it has since fallen steadily, reaching 91.1% in 2020 and 81% in 2026.

Japan, for its part, has been falling behind since the 1990s. Its relative GDP has plummeted from 74% of the US at the beginning of that decade to 13.5% this year. Over the same period, its PPP-adjusted per capita GDP shrank from 86% of the US to 63% in 2026. As for the UK, its relative economic output fell from 21.5% of the US in 2007 to 13.2% in 2026, and its relative per capita GDP fell from 81.3% in 2016 to 71.6% in 2026.

For a while, the world's advanced economies (other than the US) were rapidly losing ground to their emerging counterparts: the GDP gap between the G7 and the BRICS contracted from 57 percentage points in 2000 to 25 percentage points in 2016, when the G7 accounted for 47.3% of global GDP, compared to 22.5% for the BRICS. The BRICS' catch-up momentum has stalled since 2016, not because the G7 has been doing better, but because everyone has been doing worse.

Meanwhile, the US continues to outperform other major economies. Though its share of global GDP has fallen since its 2001 peak of 31.4%, it has remained above 25% over the past five years and stands just above 26% in 2026. For all the talk of global convergence, the past decade has seen America pull further ahead while most of the world has struggled to keep pace.

62. Why US Bond Markets Are Trembling

Author: Jim O'Neill **Published:** Aug 20, 2026 **Link:** View Original

LONDON—As we approach the end of the northern summer, often a volatile period for financial markets, all eyes are on the apparent fragility of US bonds. Some observers will say that sustained weakness is a sign that the US market is losing its role as the anchor of the global financial system. Yet there is little evidence of this happening. On recent days when US bonds have traded especially poorly, so, too, have other markets around the world.

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Moreover, while the dollar briefly plummeted following US President Donald Trump’s “Liberation Day” tariff tantrum last year, it has since recovered and remained broadly stable. The implication is that the greenback is still extremely important to many other countries, especially those facing their own government refinancing and debt-servicing challenges. To infer a reduced global role for the US Treasury market, one would need to see other major bond markets emerging as the beneficiaries of dollar weakness, and that has not happened.

True, many commentators warn that those days are coming, and I have some sympathy for their argument. But, at the moment, we have only warnings, not observable facts. It is also true that the US cannot simply persist with such large fiscal deficits—as it has done through the first Trump presidency, the Biden presidency, and now the second Trump presidency—and face no consequences. If anything, weakness in US markets and dollar depreciation would ultimately serve America’s own interests if it forced greater fiscal discipline on US policymakers.

In the meantime, though, the more interesting feature of US bonds’ recent performance is that it has coincided with somewhat better inflation figures and the arrival of a new US Federal Reserve chair who clearly believes in the disinflationary implications of the AI boom.

Of course, the markets could be wrong; but they are often less wrong than those of us who closely follow them. They will often latch on to something that most commentators are missing. What might that be? Let us consider the most likely possibilities.

First, the markets may believe that the slightly softer inflation data are only temporary, and that forthcoming data releases will confirm this conjecture. But I am not so sure, considering that the recent softening was unexpected and markets usually respond to such surprises.

Second, the market's behavior might have something to do with the new Fed chair, Kevin Warsh, who has brought a fundamentally different philosophy of Fed governance and communication. No longer can markets expect "forward guidance" on future monetary-policy decisions. They will have to figure it out for themselves. Warsh has even gone so far as to suggest that the market's reaction to his first press conference—when financial conditions suddenly tightened—already did some of the Fed's job for it.

Still, I am not so sure of this interpretation, either, even though I am a huge believer in the power of financial conditions as a leading indicator in the US economy. After all, it is equally, if not more, likely that the markets think Warsh is being too cavalier about the underlying risks to growth. Perhaps they simply do not share his optimism about the imminent productivity benefits of AI.

A third (related) interpretation is that AI hyperscalers' increasing reliance on corporate bond issuances (rather than free cashflows) to fund their expansion plans has had a negative effect on Treasuries, whose yields must rise to compete with all the new hyperscaler debt. If the sharp increase in demand for credit is playing a role in markets' current outlook, the benefits had better show up in corporate earnings. Otherwise, equity markets will start to wobble again. (Equally, if US bond yields continue to climb, demand for stocks may ease.)

The final, obvious possibility is that bond investors are reacting to the US government's worsening fiscal position and the utter lack of executive or congressional leadership on the issue. Hardly a day goes by without some financial or political commentator touting the miracle of America's economic performance. But if everything was so great, one would expect an improvement in the cyclical US fiscal position; and if the US economy was as "exceptional" as some believe, the structural fiscal position would also be stronger.

So, as we approach September (the worst month for stocks, historically), all eyes will remain on the performance of US bonds. Whatever happens in that market will not stay there.

63. Look East for Lessons in Democratic Resistance

Author: Jeffrey N. Wasserstrom **Published:** Aug 20, 2026 **Link:** View Original

IRVINE—Sixty years ago, harsh autocratic rule dominated a region at the eastern edge of a continent. Quixotic quests for political change seemed to have little chance of succeeding—until they did. By the end of the 20th century, competitive elections had become the norm, and former political prisoners were leading governments. Despite recent setbacks, voters in one of these countries just reversed years of authoritarian drift, joining forces to oust a would-be dictator.

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I could be describing Central and Eastern Europe’s trajectory from the Cold War to the recent election defeat of former Hungarian Prime Minister Viktor Orbán. But my description applies just as well to East and Southeast Asia.

In 1966, autocratic rule prevailed in the Philippines, Taiwan, and South Korea, with determined democratic activists devoting decades to causes that often seemed hopeless. They endured brutal crackdowns, including South Korea’s 1980 Gwangju Massacre, which came 12 years after the Prague Spring was crushed and just before martial law ended Solidarity’s first great surge in Poland.

Then came the breakthroughs. In 1986, the People Power Revolution brought down Ferdinand Marcos’s dictatorship in the Philippines. The improbable journeys of Václav Havel and Lech Wałęsa from dissidents to presidents had an East Asian counterpart in 1998, when Kim Dae-jung—once South Korea’s most famous dissident—became president. Taiwan, too, underwent a democratic transition during those years, holding its first direct presidential election in 1996.

Fast-forward to this decade, and East Asia has again produced a striking example of democratic resilience. In December 2024, protesters, legislators, and ordinary citizens in South Korea rallied against then-President Yoon Suk Yeol’s declaration of martial law, defeating it within hours and setting in motion the process that removed him from office and led to his conviction and life imprisonment.

Why, then, do defenders of democracy confronting today’s autocratic wave look to Solidarity rather than People Power for inspiration? Why is Havel a more familiar model of democratic resistance than Kim?

It is tempting to attribute the imbalance to enduring Eurocentrism. Certainly, Western observers have paid more attention to Hungary’s recent election than to South Korea’s 2024 democratic crisis. But when it comes to memories of the Cold War, something else is at work as well.

Consider two of the most powerful images of 1989: a lone man standing before a line of tanks in Beijing, the day after the June 4 massacre near Tiananmen Square, and exuberant crowds taking sledgehammers to the Berlin Wall later that year.

Both images are stirring, but only the European image evokes a dramatic change for the better. While the Berlin Wall fell, the Communist Party of China survived the Tiananmen protests and has spent decades trying to erase them from memory. Tank Man’s courage is worth recalling, not least because of the CPC’s campaign to make the world forget him and the massacre’s victims.

But the iconic power of that image can also distort our memory of Asia at the end of the Cold War. For all the horror of the Tiananmen crackdown, this period also brought extraordinary democratic breakthroughs elsewhere in Asia, as entrenched autocratic systems finally began to yield to democratic rule.

If past struggles offer lessons and models for confronting authoritarianism today, it makes sense to search for them as widely as possible. Aspiring autocrats, after all, have long understood the value of looking abroad. Recent studies have shown that those seeking to undermine democratic institutions increasingly learn from one another, surveying the world for usable strategies. Pro-democracy advocates have every reason to be equally cosmopolitan, looking not only to Europe and Asia but also to Africa, Latin America, the Middle East, and elsewhere for useful lessons.

One group I encountered several years ago offers a particularly revealing example. I had begun paying attention to youth activists in Thailand, a country I had not previously studied closely, and became interested in the young people behind Sam Yan Press. Founded in 2017, this publishing house has translated into Thai the work of thinkers and activists from around the world, ranging from Hannah Arendt and Rebecca Solnit to Mahatma Gandhi, the imprisoned Uyghur scholar Ilham Tohti, and Martin Luther King, Jr.

In 2019, Netiwit Chotiphatphaisal, Sam Yan Press’s founder and Thailand’s first conscientious objector, collaborated with two scholars on a Thai translation of Havel’s 1975 “Letter to Dr. Husák.” The project reflected the group’s determination to learn from the people and movements of the former Soviet bloc.

They were equally eager to learn from struggles closer to home. After South Koreans successfully resisted Yoon’s attempt to impose martial law, Sam Yan Press organized an online event bringing together protesters from Seoul and Thai activists fighting for democratic change in a country long marked by military coups and prolonged periods of military rule.

The founders of Sam Yan Press demonstrate what it means to think globally while acting locally. Instead of treating democratic resistance as a primarily European story, these young activists have done what pro-democracy advocates everywhere should do: cast a wide net, borrow freely, and never assume that the most useful lessons will come from the places we have been taught to look.

64. MDBs Are Becoming a New Global Safe Asset

Author: Erik Berglöf **Published:** Aug 20, 2026 **Link:** View Original

BEIJING—Despite all the geopolitical chaos, one can still find some comfort in today's capital markets. The walls of the multilateral order may be cracking, but in the quiet corners of global finance, a remarkable counternarrative is unfolding: multilateral development banks are not only surviving but thriving. Thanks to MDBs' ability to borrow at costs close to that of the US Treasury, they have created a new class of de facto risk-free assets that could help underpin the global financial system.

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Just consider the numbers. The average spread of MDB issuances over their referent US Treasuries has halved between the first half of 2025 and the first half of this year, falling from 10.8 basis points to 5.4. That is an extremely tight spread, effectively as safe as a Treasury itself. Across the MDB system, balance sheets remain robust, and the demand for new issuances has been strong. As the youngest member, the Asian Infrastructure Investment Bank's most recent issuance priced a five-year $2 billion bond at a spread of 3.6 basis points (vis-à-vis five-year Treasuries) and had an orderbook—the measure of investor interest—of $13.9 billion.

Yet this new financial edifice rests on a fragile geopolitical premise. Attacks on the multilateral system have sharpened dramatically in recent years, leading some commentators to speak of the "death of multilateralism." Some parts of the system—not least the United Nations—are facing severe cuts, while others are just frozen. Meanwhile, official development assistance, whether bilateral or through multilateral institutions, is being slashed almost everywhere.

Under the circumstances, MDBs look remarkably resilient, with their lending volumes increasing. Although capital increases from member states may not be immediately forthcoming, no country has withdrawn from an MDB. That may partly be because the process is complicated by design, but it also reflects the fact that MDBs have responded to calls for reform. They have realized that they depend on confidence: in their balance sheets, in their governance, and in the durability of the public backing that allows them to borrow efficiently and lend at scale.

That is why MDBs have launched the most ambitious capital-adequacy reform in a generation. The G20-sponsored Independent Review of MDBs' Capital Adequacy Frameworks (CAF)—which examined 17 key recommendations—has driven balance-sheet optimization across the system, and the results are already clear. The World Bank, for example, has lowered its equity-to-loans ratio to 18% (from 20%), unlocking $70 billion in new lending capacity over a decade. And similar numbers (in relative terms, even larger numbers) can be found across other MDBs.

Taken together, CAF reforms are expected to unlock $600-800 billion in additional lending capacity over the next decade. MDBs have also intensified their engagement with credit-ratings agencies, holding seven technical roundtables since 2023 to ensure that rating methodologies reflect their preferred-creditor status and historically low default rates. As a result, some of the rating agencies have already responded and begun to change their ways.

The current combination of political pressure and financial innovation produces a paradoxical outcome. Even as shareholders threaten withdrawal, MDBs have strengthened their financial models and reduced their balance-sheet constraints. Their bonds trade at near-Treasury spreads because reforms have built greater capital efficiency, and because Treasuries themselves have become riskier, not because geopolitical risks have subsided. In fact, the dysfunction that makes multilateral cooperation so difficult has made MDBs more attractive as a haven.

Of course, there are obvious limits to how much can be achieved by individual MDBs implementing measures to release more capital. After all, these institutions may need to keep some powder dry for crisis situations like the current one in the Middle East. Future reforms may need to target the whole MDB system. For example, one proposal would create a common liquidity buffer—with central banks signing on to a common facility—to reduce the need for liquidity in individual institutions. That alone would improve most MDBs' credit rating by at least half a notch (with a move from AAA to AAA+ representing one full notch).

There are also proposals to channel a fraction of global reserves into MDB hybrid capital, creating a new class of safe assets while boosting development finance. If realized, such innovations could position MDBs as a genuine alternative pillar within the global financial architecture. (By the same token, an overreliance on implicit shareholder support without addressing governance deficits or ensuring that reforms are not rolled back could breed moral hazard.)

For now, the paradox stands: even as multilateralism faces an existential threat, the MDBs born out of that system have become the closest thing to a safe harbor—precisely because they have reformed faster than their political masters have retreated. In fact, MDB instruments may become even more important as US bond markets begin to wobble. It is a welcome, albeit precarious, irony. The task for policymakers is to ensure that it does not become a tragic one.

65. How Europe Can Save a Trillion Euros and Win the AI Race

Author: Eric Hazan **Published:** Aug 20, 2026 **Link:** View Original

PARIS—On June 12, the US Department of Commerce informed Anthropic that it had to secure an export license for any foreign person, inside or outside the United States, to access its two most advanced AI models. This left the firm with no choice but to disable Fable 5 and Mythos 5 for everyone, with no advance warning. While the US lifted the order on June 30, apparently satisfied that Anthropic had addressed the security risk, European businesses, governments, and researchers had by then spent 18 days using older models, with no knowledge of when they might regain access.

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As Europe processed the realization that its access to frontier AI could be revoked at any moment, another development sent a very different message. The Chinese lab Moonshot AI released Kimi K3—a 2.8-trillion-parameter model whose weights are now free to download—pointing to the possibility that near-frontier capability may soon cost almost nothing. Given the impossibility of knowing which of these conflicting signals will prove prophetic, European policymakers now must build an AI strategy suitable for both scenarios.

Current discussions of Europe’s AI strategy largely rest on the premise that policymakers must choose one possibility and go all in. Some want to bet on the Chinese signal: AI capabilities will plateau, the distance between the frontier models and their pursuers will narrow, and AI will become a commodity that can be purchased cheaply, much like electricity. This camp advocates a kind of hopeful resignation: accept that Europe lacks the compute, the capital, and the talent to win the AI race, but do not worry too much about it, because attempting to reach the AI frontier now would be a waste of money.

On the other side are those who want Europe to sprint for that frontier, with a publicly funded initiative that would dwarf any European industrial program since postwar reconstruction. This camp is betting that AI capabilities will keep compounding, and the gap between frontier models and the rest will continue to widen. In this scenario, they warn, resignation is tantamount to economic suicide.

Each position is coherent within the context of its assumed future. But nobody can predict what will actually happen, and neither side has a plan if the future is “wrong.” Decision theory holds that when two radically different scenarios are plausible, and you cannot reliably assign probabilities to them, the rational move is to choose the course of action that avoids catastrophe in either case—to make a partial investment and buy an option, rather than make an irreversible commitment.

For Europe today, an effective AI strategy would recognize that the components of AI sovereignty run on different timelines. Chips can be acquired in 18 months once capital is secured. Decarbonized power, data centers, model-training expertise, and decision-making institutions take 5–10 years to build. Frontloading spending on compute amounts to locking in the biggest bet precisely where uncertainty is greatest. A better approach would begin with what takes longest. The resulting assets will have value in whichever future materializes.

To be sure, the risks raised by dependency are real. Frontier AI runs on rationed compute. American labs serve US government contracts first, enterprise customers second, and the rest of the world last. When capacity comes under strain, foreign users will be the first to lose access, and geopolitically motivated access restrictions are another risk. A Europe without domestic inference capacity or ability to train large models is a Europe without a fallback plan.

But if the risk is losing access to frontier models, the solution is not necessarily to try to surpass the labs that created them. Instead, it is to build the capacity to make surviving that loss possible. This means securing power and grid-connected land; erecting data centers on European soil, operated by European firms; and building training capabilities, with multiyear procurement contracts ensuring that local expertise keeps pace with technological progress.

None of this requires the budgetary moonshot that some now advocate. On the contrary, the combined cost would run to a few billion euros per year, and it could be financed largely by private capital against productive assets, rather than by public commitments based on an uncertain technological premise.

If model performance levels off and AI is commoditized, this foundation would enable Europe to compete on diffusion and integration—arenas where its enterprise-software firms hold genuine advantages. If capabilities keep compounding and access is constrained, Europe would be well-positioned to launch a sprint for the frontier, at far lower cost than if it had to start from scratch, and on a timeline Europe controls.

For a continent that largely stood on the sidelines while Silicon Valley built the digital economy, the inclination to take bold and fast action this time around is understandable. But sequence matters more than scale. The French nuclear deterrent, often invoked by proponents of an AI sprint, did not begin with a warhead; it took 15 years and proceeded in stages. The same logic applies to AI.

Building an industrial foundation that forecloses nothing, does not break the bank, and requires no permission from the US is not a timid approach. On the contrary, it is the only strategy that does not depend on anticipating the trajectory of a technology whose very creators admit they cannot predict.

66. The Gospel of the Great Leader

Author: Yoon Young-kwan **Published:** Aug 21, 2026 **Link:** View Original

SEOUL—US President Donald Trump's latest effort to re-engage with North Korean dictator Kim Jong-un has strained relations with South Korea and deepened the growing conviction in Asia that the United States is an unpredictable ally. By curtailing joint military exercises with South Korea, Trump has risked creating greater instability in a volatile region. Not even Chinese President Xi Jinping will be pleased, because Kim seems almost certain to interpret Trump's move as empowering his efforts to secure greater independence from China.

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As with the current war with Iran, the Trump administration appears to have acted without fully considering the potential consequences of its actions. Even more than the Soviet Union, North Korea embodies Winston Churchill's "riddle wrapped in a mystery inside an enigma." This means that dealing with it can rarely, if ever, succeed with a policy based on impressionistic judgment.

Instead, the Trump administration should avail itself of efforts to shed new light on what is widely considered the world's most closed society. By tracing how a perverse interpretation of Christianity helped shape North Korea's communist dynasty, Jonathan Cheng's recent book, Korean Messiah: Kim Il Sung and the Christian Roots of North Korea's Personality Cult, is an invaluable addition to the canon.

At the heart of Cheng's narrative is the remarkable story of how North Korea's founder, Kim Il-sung, drew on his Christian upbringing to develop and consolidate a personality cult that has endured for eight decades. By appropriating religious structures, doctrines, and imagery, he also laid the foundation for the hereditary communist regime now ruled by his grandson, Kim Jong-un.

Scholars have long observed that North Korea's official ideology, Kimilsungism and Juche (self-reliance), functions, in some respects, like a faith. Cheng's contribution is to place the regime's religious dimension within a much broader historical and geopolitical context, tracing the forces that have shaped the Korean Peninsula through the centuries, from the imperial rivalries of the late 19th century and Japanese colonial rule to liberation in 1945, the division between North and South, the Cold War, and the famine of the 1990s. Running through this larger story is the book's central theme: the complex interplay between political power and Christianity that gave rise to Kim Il-sung's personality cult.

Cheng's reliance on archival documents, letters, photographs, diaries, and biographies—many of them previously unknown or unavailable—allows him to reconstruct the roles of the many figures who shaped Korea's turbulent modern history. By comparing official accounts with a wide range of independent sources, he manages to produce a historical narrative that is both rigorous and vividly drawn.

His striking account of Pyongyang's transformation, in particular, captures the paradox of a regime that brutally suppressed organized religion while demanding near-religious devotion to its ruling family. Once dubbed the "Jerusalem of the East," the North Korean capital became the epicenter of the Kims' deification—the very kind of idolatry Christianity expressly forbids.

Cheng traces the roots of Christianity's revival in Korea to Samuel Moffett, an American missionary from Madison, Indiana, who arrived in Pyongyang in 1893 and helped spread the faith throughout the peninsula despite numerous obstacles.

Christianity gained converts after Korea was caught up in the Sino-Japanese and Russo-Japanese Wars and, in 1905, lost control of its foreign affairs to Japan. Amid the devastating reality of a crumbling country, many Koreans placed their hopes in what was, to them, an unfamiliar Western religion. In January 1907, Pyongyang became the center of an extraordinary Christian revival, one of Asia's largest ever. The movement soon spread throughout the peninsula and beyond, reaching expatriate communities in Manchuria.

Korean Messiah then turns to Kim Il-sung himself. His father, Kim Hyŏng-jik, attended a missionary school and was deeply religious. Influenced by missionaries like Moffett and William Baird, he initially hoped to become a pastor. Kim's mother, Kang Pan-sŏk, was even more devout, while her father, Kang Ton-uk, was a church leader who had founded a missionary school.

Under Japanese rule, however, Christian missionaries generally adhered to the Japanese Government-General's policy that churches stay out of politics and confine themselves to religious affairs. This increasingly alienated Korean nationalists who yearned for independence.

The cause of Korean self-determination appeared to receive a major boost on January 8, 1918, when US President Woodrow Wilson presented Congress with his Fourteen Points for ending World War I. His fifth point declared that, in resolving colonial disputes, "the interests of the populations concerned must have equal weight" with those of imperial powers.

Nationalists' hopes were eventually dashed, however, prompting some to turn to socialism, much as radicals in China and Vietnam had done. The brutal suppression of the non-violent March First Movement in 1919 further weakened the appeal of the moderate Christian strain of Korean nationalism.

Kim Il-sung came of age amid this radical ferment. According to his memoirs, he formed the Down-with-Imperialism Union at the age of 14 while attending Huacheng Academy. North Korean historiography would later portray the organization as a precursor to the Workers' Party of Korea.

A major turning point came with the death of the Reverend Son Chŏng-do—a Christian gradualist and a friend of Kim's father who had been a major influence on the young Kim—in February 1931. Shortly thereafter, Kim began to gravitate toward socialism, with its emphasis on the power of the masses, rather than the gradualist enlightenment movement associated with activist An Chang-ho—and the reliance on US support championed by future South Korean President Rhee Syngman.

By late 1940, Kim had crossed the Amur River into the Soviet Union, where he later became a captain in the Soviet military's 88th Brigade, placing him firmly within the Soviet political and military orbit. These were desperate years for Korea. Japan's invasion of China had turned the peninsula into a military supply base, while colonial authorities sought to suppress Christianity by requiring Koreans to attend ceremonies at Shinto shrines.

Much of Korean Messiah's second half focuses on the Soviet occupation of North Korea, when the seeds of Kim Il-sung's personality cult were sown. The historical irony is that Kim and his followers systematically persecuted Christianity, only to fill the spiritual vacuum by repurposing Christian language and symbolism to create a political religion centered on Kim himself.

Cheng contrasts Soviet leader Joseph Stalin's swift and shrewd maneuvering during the final stages of World War II with the US' relative indifference to Korea's postwar fate. On August 8, 1945—two days after the atomic bomb was dropped on Hiroshima—the Soviet Union declared war on Japan and quickly sent forces into the Korean Peninsula. Alarmed by the speed of the Soviet advance, the Truman administration hastily proposed the 38th parallel as a temporary dividing line, which Stalin accepted.

The Allied powers soon went further, agreeing to place the country under an international trusteeship for up to five years rather than grant it immediate independence. The idea itself was not new. At the 1943 Tehran Conference, US President Franklin Roosevelt proposed to Stalin that Korea be placed under trusteeship for 40 years, arguing that Koreans were not yet capable of self-government. That period was subsequently shortened at the Moscow Conference of Foreign Ministers, with the US, the Soviet Union, and the United Kingdom announcing the agreement on December 27, 1945.

Koreans saw the agreement as a profound betrayal. Coming after the 1905 Taft-Katsura Agreement and Wilson's reneging on his promise of national self-determination in 1919, the trusteeship reinforced the sense that Korea's fate remained at the mercy of foreign powers. The Korean War would ultimately vindicate those fears, as the 1953 armistice replaced the 38th parallel with the Military Demarcation Line that separates North and South Korea to this day.

In Korea, news of the agreement triggered a fierce struggle between supporters and opponents of trusteeship. The vast majority of Korea's political factions initially opposed the plan, but after Stalin directed the communists in the North to support it, Kim Il-sung and his allies quickly fell in line.

Notably, the Soviet authorities occupying North Korea did not initially intend to install Kim as its leader. Their first choice was Cho Man-sik, a Christian nationalist and gradualist who enjoyed overwhelming popular support. But when Cho steadfastly resisted pressure from both the Soviets and Kim's supporters to endorse the trusteeship plan, the Soviets abandoned him and threw their support behind Kim.

To consolidate communist rule, Kim and his Soviet patrons needed to win over the North's highly influential Christian population. A crucial ally in this endeavor was Kang Yang-uk, a distant relative of Kim on his mother's side who had also been his Sunday school teacher.

Kang established the Chosŏn Christian Federation to bring Christian leaders sympathetic to Kim under the regime's control, penalizing those who refused to join. The 1946 land reform dealt another severe blow to the church and other centers of opposition by undermining their economic foundations. Missionaries, meanwhile, increasingly found themselves denounced as agents or spies of American imperialism. As persecution intensified, more than one million Christians fled southward between 1945 and 1950, contributing to Christianity's emergence as a powerful force in the South.

Because Kim lacked a strong political base, the Soviet authorities embellished his wartime record. His idolization took on a life of its own in February 1956, when Nikita Khrushchev denounced Stalin's own cult of personality and launched the de-Stalinization process, deeply unsettling Kim. That August, Kim's domestic rivals tried and failed to remove him from power. North Korea responded by further distancing itself from the Soviet Union and China while doubling down on Kim's deification. By the early 1960s, in Cheng's account, his personality cult surpassed even Stalin's.

Faith in Kim, the Great Leader, soon came to dominate everyday life in North Korea. Citizens underwent three to four hours of ideological education each day, alongside regular sessions of "self-criticism." Just as Catholics confess their sins before God, North Koreans were required once a week to acknowledge before their peers their failures to live according to Kim's teachings. Art and literature were similarly remolded to place Kim at the center of people's hopes, dreams, and imaginations, systematically weaving his cult into the country's cultural fabric.

At the same time, the regime sought to seal off the country from ideas, ideologies, and cultural influences that challenged Kim's supremacy. Under Kang's leadership, Christianity—regarded as an ideological rival to Kim's personality cult—was uprooted and outside influences were increasingly shut out. After visiting Pyongyang in October 1964, the British economist Joan Robinson observed that Kim appeared "not as a dictator, but as a savior Messiah."

After thwarting another coup plot in 1967, Kim further expanded his personality cult by enshrining his absolute authority. The regime subsequently codified its demand for total loyalty in the "Ten Principles for the Establishment of a Monolithic Ideological System," which took precedence over the constitution and ordinary law and which Cheng compares to the biblical Ten Commandments. As Kang Myung-do, a defector and great-nephew of Kang Yang-uk, wrote in his 2017 book Now I Can Speak!, Kim Il-sung "used the deep-rooted Christian background of his family to idolize himself."

Deification soon extended beyond Kim to his family, laying the ideological groundwork for hereditary succession. Kim's parents became "saints of the revolution," while his mother was elevated to "Mother of Korea," a status mirroring that of the Virgin Mary. In the process, North Korea rejected the conventional wisdom within the socialist bloc—shared by Stalin and Mao Zedong—that leadership should not be passed down through bloodlines.

The interplay between Christianity and the Kim cult continued to shape North Korea over the following decades. In the wake of Richard Nixon's 1972 visit to China and the subsequent July 4 South-North Joint Communiqué, Kim Il-sung began openly acknowledging the Christian influences on his early life. In the 1980s, the regime softened its hostility toward Christianity and allowed exchanges with international Christian organizations. The publication of Kim's memoirs in 1992 marked another shift, followed by visits from prominent Christian figures, including the American evangelist Billy Graham.

Kim Jong-il, who assumed leadership following his father's death in 1994, further developed the religious dimensions of Kim Il-sung's personality cult. Faced with the Great Famine and the Arduous March, he transformed Kimilsungism and Juche into a system of faith designed to endure across generations, preserving Kim Il-sung as an immortal presence at the center of North Korean life.

Cheng credits the regime's survival under Kim Jong-il to a potent combination of tactical savvy and the continued deification of his father. North Korea's current ruler, Kim Jong-un, receives comparatively little attention, with only about eight of the book's 768 pages devoted to his rule. Yet Cheng emphasizes the cult's continuity across generations. Like his father and grandfather before him, regime propaganda depicts Kim as a genius, descended from the sacred Mount Paektu bloodline, who has mastered virtually every field. He is described as being "one and the same with President Kim Il-sung in all aspects," linking the grandson to the dynasty's founder through blood and character.

Korean Messiah's focus on the origins and extraordinary reach of Kim Il-sung's personality cult can leave readers with the impression that its grip on North Korea is permanent. But the forces that sustain autocratic regimes are never static. Geopolitical conditions change, economies and societies evolve, and public attitudes shift with them.

In this respect, the book pays too little attention to the deeper structural forces that may be eroding the foundations of the Kim dynasty. Readers interested in North Korea's future will be left wondering whether a system built around the deification of Kim Il-sung can prove as durable under Kim Jong-un and whoever might succeed him.

Kim Jong-un’s governing style offers little reason to believe that it can. Since 2023, he has abandoned the goal of national unification, a cornerstone of Kim Il-sung’s vision and the ultimate objective of Juche, in favor of treating North and South Korea as two hostile states. In doing so, he has undermined a core pillar of the ideological patrimony that sustains the Kim regime.

Moreover, exclusion of competing ideas and outside influences has become increasingly difficult. After the Great Famine and the Arduous March of the 1990s, the partial introduction of market mechanisms revitalized trade and contact with the outside world, creating new channels for foreign information to seep through. The spread of South Korean pop culture among the jangmadang (market) generation has been particularly significant. As one defector recently told me, almost every North Korean citizen has likely encountered South Korean dramas or music at least once, exposing them to a reality vastly different from the one portrayed by the regime.

The consequences are potentially profound: losing its monopoly over information makes it much harder to conceal North Korea’s poverty or maintain its carefully constructed image of the outside world. Kim Jong-un’s own rhetoric suggests that he is keenly aware of these risks. At a military parade marking the 75th anniversary of the Workers’ Party of Korea in October 2020, he shed tears and apologized for having “failed to always live up” to the enormous trust placed in him by the North Korean people. A year later, while praising the Party’s revolutionary achievements, he acknowledged that “great changes are taking place in the state of people’s consciousness and the social environment.”

Against this backdrop, Kim’s abandonment of unification and embrace of the “two hostile states” doctrine can be seen as an attempt to contain the South’s growing appeal. As access to outside information exposes the gulf between the two countries, the prospect of unification carries the dangerous implication that North Koreans might begin to imagine a better life as part of a unified, democratic Korea.

All this suggests that the Kim family’s personality cult may no longer be enough to withstand the pressures created by economic hardship, changing public attitudes, and the growing influence of South Korean culture. While the regime’s political religion proved enormously effective in consolidating Kim Il-sung’s power and legitimizing hereditary succession, its hold appears to have weakened. Kim Jong-un has responded by tightening information controls and reinforcing the barriers between North Koreans and the outside world, relying on the politics of fear to keep the population in check.

Meanwhile, Kim has begun appearing publicly with his daughter Kim Ju-ae—believed to be 13 years old—prompting speculation that he is grooming her as his eventual successor. But even if she assumes power, it remains to be seen whether the personality cult built by her great-grandfather can carry the Kim dynasty through a fourth generation.

The final irony is that however effectively North Korea’s rulers appropriated Christian doctrines and rhetoric to elevate Kim Il-sung to near-divine status, the entire system rests on the deification of a mortal man. For all their efforts to fashion the Kim dynasty into an eternal kingdom, the most fitting biblical parallel may be the Tower of Babel.

Cheng’s nuanced, compassionate account of North Korean Christianity also resonates with me personally. I became a Christian through my wife and her mother, a Christian who fled Pyongyang during the Korean War. As both a believer and a political scientist, I am therefore left with the hope that North Koreans will one day find relief from their suffering and freedom from the regime that has perpetuated it.

67. Aging Populations Need Not Mean Frailer Economies

Author: Andrew J. Scott **Published:** Aug 21, 2026 **Link:** View Original

OXFORD—The global demographic transition, characterized by declining birth rates and rising life expectancy, has been one of the most consequential transformations of the past century, with population aging fueling a steady stream of gloomy economic forecasts. If academic economists, international organizations, and national governments agree on just one thing, it is that an aging society inevitably leads to economic sclerosis.

Many Western experts, if not most, got the Ukraine war wrong from the very beginning (some still do). One lesson from the dynamism and sheer chutzpah that has characterized Ukrainians' fight for survival is that we live in an age of technological marvels and political failures.

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The experience of the past 70 years, however, offers surprisingly little support for this pessimistic consensus. Over that period, declining birth rates have not slowed overall GDP growth. Populations may have aged and grown more slowly, but economies have not necessarily followed suit.

The baseball legend Lawrence “Yogi” Berra’s famous quip—“It’s tough to make predictions, especially about the future”—is worth bearing in mind when considering any long-term economic projection. Forecasting the effects of AI on growth or government debt, for example, is fraught with uncertainty given how recently the technology has emerged and how rapidly it is evolving.

But demographic change is different, because we have a wealth of historical evidence with which to assess its economic consequences. In recent work with Nobel laureate economist Daron Acemoglu and his MIT colleagues David Autor and Keelan Beirne, we draw on decades of data on demographic change across countries and regions to examine how variations in birth rates and shifts in population age structures affect economic performance.

The results are striking. Across countries and US commuting zones, areas with lower fertility rates experienced faster growth in GDP per capita or earnings per person, while overall GDP growth and total earnings were largely unchanged. Economies appear to respond systematically to declining fertility and the resulting increase in the ratio of older to younger workers: productivity and capital investment rise, and activity shifts away from labor-intensive sectors toward high-tech exports.

Driving these trends is a shift in innovation and patenting toward labor-saving technologies, including automation and information and communications technologies (ICT). In other words, while demographic transitions lead to fewer workers and slower population growth, technological progress raises the productivity of those who remain, offsetting the shrinking workforce and sustaining GDP growth.

The technological response to declining fertility rates is distinct from the familiar story of an initial demographic dividend. In the early stages of a demographic transition, according to the traditional view, countries benefit from having fewer children while the share of older people remains relatively small. This, in turn, increases the relative size of the working-age population and boosts GDP growth. Lower fertility can reinforce that dividend by encouraging more women to enter the workforce and increasing investment in each child's education.

But the dividend is temporary. As low birth rates persist and life expectancy rises, the share of older people eventually increases, creating the economic burden typically associated with an aging population.

The mechanism we identify points in a different direction. Labor scarcity, we find, can encourage technological change and generate productivity gains that last long after the initial demographic dividend has faded.

China appears to be a case in point. The country is undergoing one of the fastest and most dramatic demographic transitions in history, with its working-age population (aged 15–64) projected to fall from a peak of roughly one billion to around 300 million by 2100. It is hard not to draw a connection between this trend and China's extraordinary embrace of robotics. The country's stock of industrial robots doubled between 2021 and 2024 and now accounts for roughly half the global total.

There are, of course, good reasons to question whether the past really is prologue. Some countries, China among them, face demographic change more rapid and far-reaching than anything we have seen in the past 70 years. Technological adaptation may offset much of the resulting economic pressure, but perhaps not all of it.

Even so, discarding the evidence of the past 70 years when forecasting the next 70 risks allowing instinct to substitute for analysis. Too often, pessimism about aging seems driven as much by the associations the word evokes as by hard-nosed economics. It is as if the economy were destined to age along with the population, passing from youthful vitality to frail senescence and inevitable decline.

To be sure, we are heading into uncharted demographic territory. The share of Americans over 65, for example, is projected to rise from 17% to 29% over the next 75 years. But that share more than doubled from 8% to 17% during the previous 75 years without slowing economic growth, so why should we automatically assume it will be different this time?

Whether it is technology responding to labor scarcity, institutions adjusting to rising life expectancy, or greater investment in human capital, economies have consistently proven able to adapt to demographic change. This ability will likely do more to shape our economic future than the outdated assumption that an aging society must produce an aging economy.

68. The Dollar's Outer Defenses Have Been Breached

Author: Harold James **Published:** Aug 21, 2026 **Link:** View Original

PRINCETON—In a Reuters photo from late July, US Treasury Secretary Scott Bessent can be seen holding a to-do list with just one item: purchase $5–10 billion worth of yen. As he explained soon thereafter, invoking the famous phrase that then-European Central Bank President Mario Draghi used to save the euro in 2012, the Trump administration will do "whatever it takes" to prop up the Japanese currency.

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Bessent's public rationale for this surprise intervention was that the yen is undervalued, and that the US does not want to see a round of currency wars in which countries try to prop up their exports by undervaluing their currencies. Such conflicts do carry a powerful historical echo, given their role in destroying the world economy and threatening international peace in the 1930s. The victorious Allied powers organized the 1944 Bretton Woods Conference precisely to prevent the kind of protectionism and currency wars that had produced World War II.

But currency wars did return in the 1980s, when a surging dollar led Americans to believe that the yen (along with Germany's Deutsche Mark) was undervalued. These suspicions then generated much academic research into whether currency interventions are effective. The overwhelming consensus was that they are not. A single intervention might move the markets for a short time, but in the longer run, economic fundamentals will reassert themselves and market pressures will return. The only enduring solution is to alter existing policy regimes.

Both in the 1980s and now, a Japanese effort to address underlying fundamentals would involve higher interest rates and perhaps also a fiscal contraction, with the US simultaneously lowering interest rates and issuing less debt (implying its own fiscal contraction). But neither side is likely to undertake such measures. Japanese Prime Minister Sanae Takaichi has made it clear that she thinks interest rates are high enough; and barring a dramatic economic downturn, lower US rates would only fuel stock-market exuberance and inflation concerns.

Exactly as economic theory would suggest, the yen has already started to fall again since its immediate post-intervention surge. More and more interventions will be needed to achieve Bessent's desired exchange-rate effect, but markets will treat them with increasing skepticism. Since everyone knows how interventions play out, they are typically reserved for dramatic market situations. Not since the Fukushima disaster in 2011 has the US sold yen, and not since the height of the 1997–98 Asian financial crisis has it bought yen.

In any case, fears of currency and trade wars probably do not reflect the Trump administration's real motive, considering that it has been openly following the 1930s playbook on tariffs. Nor should we believe Trump's own explanation: that propping up the yen is a "signal of friendship" to a country that has "been very good to us, with the exception, of course, of Pearl Harbor." Usually, the president's measure of "friendship" is the trade balance—on the assumption that countries with a surplus must be taking advantage of the US. Yet US goods exports to Japan in 2025 totaled roughly $82.1 billion, while imports from Japan reached $149.8 billion.

For his part, Bessent has rather oddly mentioned other undervalued currencies alongside the yen, including the South Korean won and the Chinese renminbi. But if he cares about these currencies, too, he should support a big international currency reordering—a reworking of Bretton Woods. In reality, Bessent and Trump's only genuine motive is to help the United States. In its August intervention, the US Treasury sold euros rather than dollars because it wanted to make clear that it would not approve of Japan (or anyone else) offloading US Treasuries.

The puzzle of why the US is so concerned with a falling yen has historical parallels not to the 1930s or the 1980s, but to the 1960s. At the time, the Bretton Woods fixed-exchange-rate regime, designed to prevent currency wars that could become real wars, was under increasing strain. Claims on the dollar were building up as a consequence of US military spending and investment abroad, but the country that was most vulnerable was the United Kingdom. Fearing a domino effect in which a financial crisis in the UK could trigger an attack on the dollar, US officials came to see the British pound as their "outer perimeter defense."

The yen is playing the same role today. Japan's government debt-to-GDP ratio is 248%, which looks like the limit to how much government spending is possible. The US figure is 122%, and bond yields have been rising throughout the summer, reflecting investors' reluctance to purchase more government debt, the lure of AI investment, and America's deteriorating fiscal situation (which was not helped by having to repay large sums collected for tariffs that have since been struck down).

Higher borrowing costs make life harder for the government (US debt service in 2025 consumed more of the budget than defense expenditure). They also raise mortgage, auto-loan, and credit-card rates, making voters more likely to turn against incumbents.

Seeing the writing on the wall, Bessent has already taken an even bigger gamble, intervening in bond markets to drive down the most politically sensitive long-term rates. But doing that requires more short-term issuance, which will push up the money supply and inflation. When markets realize how desperate the current and subsequent governments are, long-term rates will rise again, and Bessent's bond excursion will have proven futile. It may already be happening: Following an initial boost to bond prices, a reversal appears to be underway.

Bessent wants to make debt look safe and cheap once more, but he is unlikely to succeed. He pursued a similar ploy late last year to weaken the Iranian currency, explaining that this would produce regime change without boots on the ground. Will people in countries that see the US as a menace consider a similar strategy and launch an attack on the yen and the dollar? One can think of worse ways to bring about regime change in Washington.

69. Only Protectionism Can Safeguard European Industry

Author: Desmond Lachman **Published:** Aug 21, 2026 **Link:** View Original

WASHINGTON, DC—Few could have predicted the consequences China’s 2001 accession to the World Trade Organization would have for the United States. By contributing to the hollowing out of the US manufacturing sector and the decline in US manufacturing employment, China’s integration into the global economy helped prepare the ground for the right-wing economic populism that propelled Donald Trump’s political rise. Unless Europe acts soon to protect its manufacturing sector from surging Chinese imports, it may face a similar fate.

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At the heart of the threat China poses to Europe’s economy is its reliance on exports to prop up its economic growth and absorb its excess production. While China has long recognized the need to shift from an investment-driven, export-led growth model to one built on domestic consumption, investment still accounts for around 40% of China’s GDP, and exports contribute a further 20%.

China’s lack of progress toward economic rebalancing is partly attributable to the collapse of a property-market bubble in 2021, which undermined domestic consumption by bringing down household asset values. This contributed to a slowdown in China’s GDP growth, which came in at just 4.3% in the second quarter of this year—the slowest pace since the COVID-19 pandemic.

Weak domestic demand has also left China even more dependent on export subsidies and an undervalued renminbi (to the tune of 20%) to prop up its export sector. Such interventions help to explain how Chinese exports increased by nearly 14% during the first half of this year, despite US tariffs, producing a staggering trade surplus of $1.2 trillion—the largest ever recorded by any country.

As China is forced to divert these rising exports away from the US, the pressure on Europe’s economy is intensifying, raising the specter of a new “China shock” hollowing out Europe’s manufacturing base in much the same way the first China shock decimated US industry in the early 2000s. The threat is particularly pronounced in electric vehicles, wind- and solar-energy technologies, batteries, electronics, and other advanced machinery.

But this is no zero-sum game. In the long term, a Chinese economic rebalancing would benefit China and Europe alike. The policy prescription is well known. To reduce precautionary savings and boost consumption, China would have to raise household incomes and strengthen its social-safety net, including health care and pensions. At the same time, it must reform local-government finances and reduce its reliance on debt-fueled investment, particularly in real estate.

A collection of PS commentaries examining how a few individuals amassed unprecedented wealth—and how they are using it to dismantle democracy. Featuring insights from Cristina Enache, Brooke Harrington, James Livingston, Michael Madowitz, Ann Pettifor, Matt Simonton, and Quinn Slobodian.

Beyond putting China's economy on a sound footing, such measures would enable China to repair its broken trade relations with the US and avoid a trade war with Europe. Unfortunately, Chinese President Xi Jinping's government has given no indication that it is moving decisively in this direction. This leaves Europe with little choice but to embrace protectionism.

To be sure, if Europe follows in America's footsteps, using tariff and non-tariff measures to protect its industrial base from Chinese imports, it will almost certainly face retaliation. China would probably start by restricting Europe's access to rare-earth minerals, batteries, and fuel cells—vital to advanced industries, from cars to wind turbines. This is how China got Trump to back down from a 145% tariff last year.

But as painful as such retaliation would be, the erosion of Europe's industrial base would be far worse. Beyond dragging down economic growth and destroying jobs, this outcome would complicate efforts by highly indebted countries, such as France and Italy, to pay down their liabilities. And, of course, it would add fuel to the populist fire.

In any case, a trade war is not in China's long-term interest. Another major market resorting to protectionist measures—perhaps joined by other countries—might be just the wake-up call Xi's government needs: China cannot flood global markets with ever-increasing exports forever. Rather than try to prop up an obsolete growth model, China must pursue rebalancing in earnest.

70. Why the World Still Needs Wall Street

Author: Jorge Arbache **Published:** Aug 21, 2026 **Link:** View Original

BRASÍLIA—Investors have no shortage of reasons to diversify away from the United States. America’s public debt is rising, political polarization is deepening, trade policy has become unpredictable, the rule of law is now in doubt, and financial sanctions have encouraged other governments to seek alternatives to the dollar. Yet there has been no great exodus from US markets. The dollar still accounted for 56.8% of allocated foreign-exchange reserves at the end of 2025, and was used in 89.2% of all foreign-exchange trades surveyed by the Bank for International Settlements.

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These figures are usually explained by America’s economic size, legal protections, innovative companies, deep capital markets, and the network effects created by the dollar’s roles in trade, credit, payments, and reserves. But the main constraint is hiding in plain sight: Even if the world wanted to move several trillion dollars out of the US, where would the money go? The problem is not a shortage of promising economies or assets. It is that other financial systems have only so much capacity to receive a large and rapid reallocation without destabilizing themselves.

We can think of this system-wide financial absorptive capacity as a market’s ability to receive, price, hedge, and settle enormous capital flows without causing extreme movements in asset prices, yields, or exchange rates. Absorptive capacity depends not only on the volume of securities available, but also on exchanges, banks, dealers, clearinghouses, custodians, regulators, courts, auditors, lawyers, data providers, and central-bank backstops.

This distinction matters because diversification is usually considered from the viewpoint of an individual investor. A pension fund can sell US Treasuries and buy European bonds; a central bank can add gold or another currency to its reserves. Such moves are straightforward at the margin. But what happens when thousands of large institutions try to do the same thing at the same time?

Prices in destination markets would surge, yields would fall, and currencies would appreciate. High-quality bonds of suitable maturity would become scarce, hedging costs would rise, and prudential or benchmark limits would start to bind. Markets that look deep in normal times might prove shallow in the face of exceptional inflows. What is sensible for one investor might be impossible for all investors together. To assume otherwise is to commit a classic fallacy of composition.

This is where the US has a formidable advantage. In July 2026, the US Treasury market had $31.5 trillion of securities outstanding and an average daily trading volume above $1.2 trillion. Treasuries are not merely investments but liquid stores of value, collateral, pricing benchmarks, and instruments for meeting regulatory requirements. Surrounding them is an unmatched institutional infrastructure that can price, finance, hedge, and settle huge transactions. Investors value the ability to exit quickly almost as much as the promise of repayment.

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Now consider the alternatives. Europe has sophisticated institutions and vast savings, but its capital markets remain fragmented, and it lacks a common safe asset comparable in scale to US Treasuries. (That is why the EU Savings and Investments Union is not merely a program for financing European firms, but also a geopolitically important vehicle.)

Similarly, China has an enormous bond market, but capital controls, managed convertibility, state influence, and uncertainty about investor rights limit its ability to absorb global portfolios freely. And emerging markets face an even sharper tradeoff: large inflows can cause their currencies to appreciate, inflate asset prices, and undermine the returns that attracted investors in the first place.

These constraints help to explain why geopolitical multipolarity is advancing faster than financial multipolarity. Production and trade can be redirected comparatively quickly, whereas financial ecosystems are cumulative. Scale attracts issuers, investors, and intermediaries; their presence then creates liquidity, and that liquidity attracts still more activity. The dollar’s centrality is sustained not only by incumbency or confidence, but also by a constructed comparative advantage.

Still, that advantage is not an immutable law. It can be eroded by fiscal irresponsibility, attacks on institutional independence, arbitrary sanctions, recurrent market disruptions, and fears of governmental corruption. The volatility that followed US tariff announcements in April 2025 showed that investors may hedge their dollar exposure rather than reflexively run toward it. But the desire to leave and the ability to do so remain very different things.

For countries seeking a more multipolar financial order, the policy lesson is clear. Alternative payment systems or reserve currencies are not enough. Europe needs deeper integration, more common issuance, and harmonized supervision and insolvency rules. Emerging economies must build local-currency yield curves, derivatives, clearing and settlement infrastructure, and a larger supply of standardized assets. Multilateral development banks can help aggregate projects—including green industrial, infrastructure, and natural-capital investments—into instruments that global institutions can actually buy at scale.

Wall Street’s power ultimately rests on a form of productive capacity: the ability to transform an immense volume of global savings into liquid, tradable, and hedgeable claims. A genuinely multipolar financial system cannot simply be proclaimed: Until rival markets can perform these functions at comparable scale, the world may want to leave Wall Street faster than it is able to do so.

71. Who’s Afraid of Chinese Surpluses?

Author: PS editors **Published:** Aug 21, 2026 **Link:** View Original

Since China joined the World Trade Organization in 2001, its biggest markets—in particular, the United States—have lost much of their manufacturing base. With Chinese exports continuing to flood global markets—especially Europe—the question of how to mitigate a new “China shock,” and persuade Chinese officials to boost domestic consumption, is taking on increasing urgency.

According to Michael Strain of the American Enterprise Institute, the premise of the discussion is wrong. Trade with China did not lead to a huge uptick in manufacturing job losses in the US, but it did create major opportunities for US exporters. The right lessons to draw from the so-called China shock are that it is “harder than economists and policymakers had thought” for workers to change sectors, and that workers are becoming “less willing to relocate” for economic opportunities. Building “walls around the economy” or attempting to “slow the pace of technological change” will solve neither of these problems.

Desmond Lachman, also of the American Enterprise Institute, disagrees. In his view, the China shock was responsible for decimating US industry in the early 2000s, and China’s export-led growth model is now threatening to do the same to Europe. While China’s economic rebalancing would be broadly beneficial, not least to China itself, the country “appears unlikely to do this on its own.” Protectionist policies, like those being pursued by the US, could be the only way for Europe to “protect its industrial base from Chinese imports” and, ideally, encourage China to stop propping up an obsolete growth model.

Bocconi University’s Daniel Gros thinks this prescription misses the point. While protectionist policies “might slow the influx of Chinese products in some sectors,” they “cannot eliminate the macroeconomic driver of the new China shock”: excess savings. Moreover, if “Japan’s experience is any guide,” these savings will not begin to fall any time soon. As long as China “saves more than it can profitably invest at home,” the resulting “surplus will appear in foreign markets.”

Gene Frieda of the London School of Economics emphasizes that protectionism is not a solution in itself, but rather a lever with which the G7 might be able to get China to accelerate this timeline. By issuing a “joint, conditional tariff threat on Chinese exports,” the group would “offset the price advantage created by an undervalued renminbi just as the cost of replacing that subsidy is rising.” While renminbi appreciation “would not, on its own, rebalance China’s economy,” it would “raise the cost of avoiding reform,” by “increasing households’ purchasing power over imports and compressing tradable-sector margins.”

Harvard’s Jeffrey Frankel finds this logic dubious. Even if intervention were undertaken to spur renminbi appreciation and reduce China’s current-account surplus, he writes, this would “merely divert more of China’s large savings into investment.” (The weakness of the Japanese yen and the Korean won can also be attributed to fundamentals, limiting the potential impact of exchange-rate intervention.)

Dani Rodrik, also of Harvard, goes further, challenging the notion that China’s surpluses are a problem to be solved. The trade deficits that many are complaining about actually “represent a transfer of purchasing power from surplus countries,” which “can lead to higher consumption or, more desirably, investment.” As long as the deficit economies are running at or near full capacity, as is currently the case, they reap large benefits from Chinese surpluses. In fact, the country that should worry most about Chinese imbalances may well be China itself.

WASHINGTON, DC—Few issues in the public square are uncontested. But the narrative that the United States’ decision, driven by elite considerations, to open trade with China led to the loss of a large number of manufacturing jobs and deindustrialization comes close. Democrats and Republicans, the mainstream media, commentators of all stripes, and even economists hold, advance, and defend this version of events. And yet every part of it is off base.

Did growing US trade with China following the 2000 decision to permanently normalize trade relations and China's accession to the World Trade Organization in 2001 lead to a large reduction in manufacturing employment? In their 2013 paper, economists David Autor, David Dorn, and Gordon Hanson find that rising exposure to Chinese import competition is associated with a net reduction in US manufacturing employment of 1.5 million from 1990–2007. In work with Daron Acemoglu and Brendan Price, they find that up to 2.4 million jobs were lost through 2011 due to competition with Chinese imports.

To assess whether these are large numbers of job losses, place them in the context of broader US labor market dynamism. From 2000 to 2007, more than five million workers, including around 425,000 manufacturing workers, separated from their employers in a typical month. There was nothing special about that period—these magnitudes have been similar over the last five years.

Moreover, when it comes to trade liberalization, import competition is only half the story. In the 1980s, 1990s, and 2000s, trade with China, and globalization more broadly, led to growing opportunities for US exporters.

Economic theory suggests that trade liberalization should have little effect on aggregate US employment because job losses from import competition can be balanced by job gains in export-intensive firms and sectors. The economist Robert Feenstra and his coauthors attempt to account for both sides of the ledger.

In a 2019 paper, Feenstra and his colleagues confirm the "China shock" result, finding that 1.9 million jobs were lost between 1991 and 2011, owing to import competition from China, with more jobs lost to competition from global imports. But they also find that a roughly equivalent number of jobs were gained due to export expansion.

One should also consider that manufacturing's share of total US employment followed a relatively smooth downward trend from the early 1950s until the 2008 financial crisis, when falling productivity actually caused the trend to slow. The decline predates the "China shock" by decades. And there was no obvious trend break in manufacturing's employment share in 2000 or 2001, which is consistent with the view that, over the long term, declines in manufacturing employment have been driven mainly by productivity growth, not by trade competition.

Finally, the US did not decide to open trade with China in the 1990s in the same way that I decided to have a third espresso this morning. The decision wasn't nearly so simple or singular.

Yes, China was granted permanent normal trade relations in 2000 and entered the World Trade Organization in 2001. But the US had annually renewed China's normal trade relations status since 1980, and US trade with China grew rapidly over two decades prior to its WTO accession. According to my calculations, China's share of total US imports grew during the 1980s, hit 2.5% in 1989, had more than doubled to 5.4% by 1993, and stood at 8% in 1999.

The trend continued following China's WTO accession. China's share of total US imports doubled again, from 8.2% in 2000 to 16.4% in 2007. But even this overstates the role of US policy in facilitating the so-called China shock. China's exports continued to grow in part because the US eliminated the uncertainty created by the pre-2000 annual renewal of trade-policy parameters. They also grew because of China's internal, pro-market reforms—including a reduction in its own tariff rates.

Nor was the US decision to trade with China made by a shadowy elite. China's exports to America grew as a result of millions of decentralized, individual decisions. During the 1980s and 1990s, US consumers and businesses increasingly chose to purchase goods made in China, a trend that continued following China's entry into the WTO.

It is wrong to present the “China shock” as evidence that trade liberalization hurts the working class, or that a powerful, murky, nefarious elite is making deliberate, isolated choices that hurt the majority of Americans.

The right lessons to draw from the 2000s are that it is harder than economists and policymakers had thought for workers to move from a sector with declining economic opportunities into a sector with expanding opportunities. Moreover, workers are less willing to relocate from regions with declining opportunity than they had been in the past—let alone at a pace that would establish a new aggregate labor-market equilibrium.

These two lessons are broadly applicable, and policymakers should keep both top of mind as advances in generative AI continue. They should be open to new types of policies—for example, public relocation assistance for workers in localities hit hard by economic disruption, and potentially large earnings subsidies to help workers in transition.

But policymakers should not build walls around the economy or attempt to slow the pace of technological change. They should approach the future with optimism, not with fear—unburdened by the incorrect view that dynamism and economic liberalism are obstacles to long-term prosperity, rather than its key drivers.

WASHINGTON, DC—Few could have predicted the consequences China’s 2001 accession to the World Trade Organization would have for the United States. By contributing to the hollowing out of the US manufacturing sector and the decline in US manufacturing employment, China’s integration into the global economy helped prepare the ground for the right-wing economic populism that propelled Donald Trump’s political rise. Unless Europe acts soon to protect its manufacturing sector from surging Chinese imports, it may face a similar fate.

At the heart of the threat China poses to Europe’s economy is its reliance on exports to prop up its economic growth and absorb its excess production. While China has long recognized the need to shift from an investment-driven, export-led growth model to one built on domestic consumption, investment still accounts for around 40% of China’s GDP, and exports contribute a further 20%.

China’s lack of progress toward economic rebalancing is partly attributable to the collapse of a property-market bubble in 2021, which undermined domestic consumption by bringing down household asset values. This contributed to a slowdown in China’s GDP growth, which came in at just 4.3% in the second quarter of this year—the slowest pace since the COVID-19 pandemic.

Weak domestic demand has also left China even more dependent on export subsidies and an undervalued renminbi (to the tune of 20%) to prop up its export sector. Such interventions help to explain how Chinese exports increased by nearly 14% during the first half of this year, despite US tariffs, producing a staggering trade surplus of $1.2 trillion—the largest ever recorded by any country.

As China is forced to divert these rising exports away from the US, the pressure on Europe’s economy is intensifying, raising the specter of a new “China shock” hollowing out Europe’s manufacturing base in much the same way the first China shock decimated US industry in the early 2000s. The threat is particularly pronounced in electric vehicles, wind- and solar-energy technologies, batteries, electronics, and other advanced machinery.

But this is no zero-sum game. In the long term, a Chinese economic rebalancing would benefit China and Europe alike. The policy prescription is well known. To reduce precautionary savings and boost consumption, China would have to raise household incomes and strengthen its social-safety net, including health care and pensions. At the same time, it must reform local-government finances and reduce its reliance on debt-fueled investment, particularly in real estate.

Beyond putting China’s economy on a sound footing, such measures would enable China to repair its broken trade relations with the US and avoid a trade war with Europe. Unfortunately, Chinese President Xi Jinping’s government has given no indication that it is moving decisively in this direction. This leaves Europe with little choice but to embrace protectionism.

To be sure, if Europe follows in America's footsteps, using tariff and non-tariff measures to protect its industrial base from Chinese imports, it will almost certainly face retaliation. China would probably start by restricting Europe's access to rare-earth minerals, batteries, and fuel cells—vital to advanced industries, from cars to wind turbines. This is how China got Trump to back down from a 145% tariff last year.

But as painful as such retaliation would be, the erosion of Europe's industrial base would be far worse. Beyond dragging down economic growth and destroying jobs, this outcome would complicate efforts by highly indebted countries, such as France and Italy, to pay down their liabilities. And, of course, it would add fuel to the populist fire.

In any case, a trade war is not in China's long-term interest. Another major market resorting to protectionist measures—perhaps joined by other countries—might be just the wake-up call Xi's government needs: China cannot flood global markets with ever-increasing exports forever. Rather than try to prop up an obsolete growth model, China must pursue rebalancing in earnest.

BRUSSELS—The first "China shock" followed China's entry to the world trading system, when the mobilization of its massive pool of low-cost labor, combined with heavy investment from abroad, caused global manufacturing capacity to shift decisively toward the country. The new China shock is different: it is rooted in domestic technological upgrading and amplified by weak domestic demand.

During China Shock 1.0, which began in the mid-1990s, China's immense manufacturing capacity led to the formation of a huge surplus. After the 2008 global financial crisis, however, this surplus shrank. Infrastructure and housing booms absorbed domestic resources; imports of machinery and raw materials rose; and outbound tourism helped offset the goods surplus. By the late 2000s, the first China shock had come to an end.

But the tide soon turned again. The COVID-19 pandemic brought tourism to a standstill, and the 2022 collapse of a massive housing bubble undermined domestic demand. As Chinese firms chased markets abroad, exports rose and imports fell. China's trade surplus again soared, surpassing $1 trillion last year—equivalent to just under 1% of global GDP (about $120 trillion).

While China's exports are lower today than in 2008 as a share of its GDP, that is only because Chinese GDP has grown substantially over this period. Similarly, though China's share of the global economy (evaluated at current prices) has fallen slightly over the last five years, that is because the renminbi has weakened considerably, and domestic prices have remained flat, while they rose almost everywhere else.

As China's low domestic demand fueled a trade surplus, exports naturally increased in its most internationally competitive industries. But whereas the effects of the first China shock were concentrated in low-tech, labor-intensive sectors, such as textiles, toys, and furniture, Chinese exports now dominate several high-tech green sectors, such as batteries, solar panels, electric vehicles, and machinery.

Industrial policy and subsidies help channel China's surging exports toward favored sectors. But they are not the underlying driver of that surge. Rather, China needs an external outlet for its excess savings.

China today is often compared to Japan in the 1980s. At the time, Japan was a high-saving Asian economy that had secured dominance in frontier manufacturing sectors, especially cars, consumer electronics, and semiconductors. It accounted for about 30% of global car production, similar to China's 33% share today. Japan's share of global GDP peaked at around 18% in 1994—again comparable to China's current share.

Also, like China, Japan saw its surplus peak, triggering a strong political backlash abroad, then fall for a few years, owing to a housing boom. Once that bubble burst, the surplus again swelled, reaching a new peak in the mid-1990s. Eventually, however, slowing growth and declining savings weakened Japan's economy. This is not happening in China.

China Shock 2.0 combines continued supply upgrading with an absorption problem: the decline in property and related investment has reduced domestic demand, but national saving remains very high. The result is a larger savings-investment surplus that spills into net exports. Unlike a permanent increase in productivity growth, this macro component is mainly a level effect: once the economy reaches a new lower investment equilibrium, exports and the current account are higher by a finite amount, unless savings rise further or domestic investment continues to fall.

The time path of savings is the underlying reason why China's trajectory has diverged from that of Japan. Between 1991 and 2024, Japan's savings rate fell from over 38% of GDP to under 27% of GDP. In 2024, China's savings rate exceeded 43% of GDP.

Unless the economy is growing at close to double-digit rates, creating enough profitable investment opportunities to absorb such a large pool of savings is virtually impossible. With China's GDP having grown at around 5% annually over the last five years, one can expect the country to continue running large surpluses for the foreseeable future.

It has often been argued that China needs to shift to a new growth model driven by domestic demand, and that a reduction in savings would go a long way toward supporting that goal. The same argument was made during the first China shock and about Japan in the 1980s. But it turned out to be difficult to get people to spend more. If Japan's experience is any guide, it will take decades before China's excess savings begin to fall.

This has an uncomfortable implication for Europe and the United States. Protectionist policies might slow the influx of Chinese products in some sectors, but they cannot eliminate the macroeconomic driver of the new China shock. So long as China saves more than it can profitably invest at home, the surplus will appear in foreign markets.

The first China shock faded as China's economy absorbed more of what it produced. The second will wane only when China's saving rate falls or domestic demand recovers. Neither is likely to happen quickly.

LONDON—China's undervalued exchange rate is often read as a symptom of the imbalance that underlies its surpluses. This is the wrong metaphor. The exchange rate is better understood as a price: by suppressing the renminbi's value, the Chinese government not only obscures the underlying imbalance, but also disables the main mechanism for correcting it. The result is a deliberate policy of self-harm.

By the International Monetary Fund's assessment, China's real exchange rate fell by 14% in 2021–25, while the country's officially reported current-account surplus rose to 3.8% of GDP. China's exchange-rate management is not just about keeping the currency at a particular level; it also offers exporters an implicit volatility guarantee. With most exports still invoiced in dollars, a tightly controlled renminbi-dollar exchange rate reduces uncertainty over domestic-currency revenues. Competitors can hedge, but at a cost; Chinese manufacturers receive much of their insurance from the state.

The reasoning behind this policy lies in the framework within which it is devised, which does not aim primarily to maximize welfare or even growth. Instead, President Xi Jinping's government has, since 2012, pursued a "security-first" model, which emphasizes resilience alongside growth. Policymakers must plan for sanctions, while accounting for Xi's ambition to secure control over Taiwan.

As Harvard's Gita Gopinath, Pierre-Olivier Gourinchas of the University of California, Berkeley, and the London Business School's Hélène Rey recently noted, the "disease" underlying China's surpluses is a policy mix that produces too much saving, including by suppressing household consumption. But the cure is not a mystery: IMF staff estimate that stronger social spending and reform of the hukou household-registration system could lift consumption by as much as 3% of GDP.

The barrier to progress is not policy design; it is policy preference. For those who are concerned about the global imbalances China's surpluses create, the question is how to make the costs of this preference untenable. To treat the exchange rate as a mere symptom, as Gopinath, Gourinchas, and Rey advocate, would be to fail to recognize the power of prices to change behavior.

Gopinath, Gourinchas, and Rey are right that a currency's role in trade invoicing and global finance is endogenous. Excess saving from underconsumption and overinvestment generates appreciation pressure, which is absorbed through capital controls and state-asset accumulation. But an endogenous variable can still be an instrument: by resisting appreciation, China's government stops the real rate from correcting the imbalance and reinforces the profitability of the sector that produced it, thereby entrenching the distortions behind the surplus.

The costs end up on balance sheets—and they are mounting. The IMF estimates that China's broad, augmented public-sector debt reached approximately 127% of GDP in 2025, while official data indicate that commercial bank net interest margins have compressed for six straight years, from 2.2% in 2019 to a record-low 1.4% last year. China is not running out of money, but it is running out of painless ways to deploy it. A weak, stable renminbi preserves exporters' cash flows, sustains employment and tax revenue, and defers loss recognition across these balance sheets. It does not repair the financial system, but it does buy time.

Renminbi appreciation would not, on its own, rebalance the economy. But by increasing households' purchasing power over imports and compressing tradable-sector margins, it would raise the cost of avoiding reform. Dollar invoicing reinforces both channels: the prices in renminbi of dollar-priced imports fall roughly one-for-one as the renminbi's value rises, while sticky foreign-currency export prices push the adjustment onto exporters' domestic revenues.

To be sure, as Gopinath, Gourinchas, and Rey note, the initial effects of renminbi appreciation would be deflationary and, given the prevalence of dollar invoicing, the impact on export prices would be delayed. Absent a change in the savings-investment balance, a forced appreciation could be matched by falling prices, returning the real exchange rate and the surplus to levels near where they began.

But that reversion is not neutral: the deflation that reverses the appreciation is the same deflation that compounds the real debt burden across public and private balance sheets. China can hold the real rate down only through a debt-deflation dynamic, the effects of which it cannot absorb indefinitely. At some point, it will have to choose between a deepening slowdown and the reflation it has resisted.

The G7 can accelerate this process. As Brad W. Setser, a former deputy assistant US treasury secretary, and Shahin Vallée of the German Council on Foreign Relations, have observed, resistance to currency appreciation forces China and other Asian surplus economies to accumulate reserves, yet the scale and liquidity of those assets make diversification away from G7 currencies extraordinarily difficult. This is an underappreciated source of G7 leverage, and in their view, the group should make use of it by issuing a joint, conditional tariff threat on Chinese exports.

To understand the scale of the appreciation pressure China faces, consider the amount of currency state institutions absorb: Setser estimates that forward-adjusted foreign-exchange intervention purchases reached $320 billion in 2025. This is why Setser and Vallée's proposal makes sense. The tariff would offset the price advantage created by an undervalued renminbi just as the cost of replacing that subsidy is rising, making reflation the least costly way of upholding the same model.

Crucially, the tariff threat must be conditional and reversible, with reflation being framed as China's own choice, not capitulation. The conditionality is the face-saving off-ramp.

China's imbalances create the surpluses, and exchange-rate management enables the country to externalize the adjustment. This makes fiscal excess easier to sustain in deficit economies, particularly the United States, whose deficits attract the foreign savings that official demand helps sustain. While currency adjustment is no substitute for structural reform, under present conditions, reform is unlikely without it.

CAMBRIDGE—Major Asian currencies' exchange rates are again at the center of debates in international monetary economics. With China, Japan, and South Korea all running trade and current-account surpluses, and the United States running corresponding deficits, some argue that the renminbi, yen, and won are undervalued. But given the fundamentals underlying these imbalances, foreign-exchange intervention is unlikely to do much good.

Brad W. Setser, a former deputy assistant secretary at the US Treasury, recently argued that a "weak renminbi directly led to China's latest export boom," and urged major economies to press China to revalue the currency. (China used to intervene in the currency market to impede exchange-rate appreciation, but it abandoned the practice in 2014.) Harvard's Gita Gopinath, Pierre-Olivier Gourinchas of the University of California, Berkeley, and the London Business School's Hélène Rey disagree. In their view, the renminbi-dollar exchange rate is not the root cause of current-account imbalances and thus does not warrant action by other countries.

While economists debate whether intervention is appropriate for the renminbi, action is already being taken on the yen and the won. The US, in cooperation with Japanese authorities, recently intervened in the foreign-exchange market to strengthen the yen, purchasing the currency while Japan sold dollars. South Korea also reportedly participated in this coordinated intervention. The idea was that, because the won's value is closely linked to that of the yen, a joint intervention would enhance the impact on both.

Does this rare three-country currency operation signal a break with the US unilateralism that has taken hold under President Donald Trump? Probably not. Though Treasury Secretary Scott Bessent described the intervention using the language of US-Japan comity, the Trump administration's motivations were most likely self-serving: the US wanted to forestall a selloff of US Treasuries by Japan, for fear that this could put upward pressure on US interest rates. That the US used euros, rather than dollars, to make its yen purchases supports this view. So does the fact that Bessent did not bother to consult with the European Central Bank. No end to US unilateralism.

Did the intervention have the desired effect? Many economists believe that market intervention cannot affect the exchange rate, except to the extent that it affects the money supply. And since the turn of the century, the G7 countries have largely refrained from such measures. But in 1985, the US spearheaded the Plaza Accord, under which the G5 countries took coordinated action to weaken the dollar against the yen and the Deutschmark. The subsequent interventions often succeeded at moving the exchange rate in the desired direction—at least for a while.

Operations in the 1980s and 1990s were more likely to be effective when they included the US (in coordination with others), when they were publicly announced, and when they caught markets by surprise. The recent US-Japan-Korea intervention met these conditions, and, sure enough, both the yen and won immediately appreciated.

But such interventions can do only so much. The US Treasury's most recent Report to Congress on Macroeconomic and Foreign Exchange Policies of Major Trading Partners of the United States, issued last month, lists ten "major trading partners whose currency practices and macroeconomic policies merit close attention," of which seven are Asian: China, Japan, Korea, Taiwan, Thailand, Singapore, Vietnam, Germany, Ireland, and Switzerland. Unlike during Trump's last administration, however, it does not yet call any country an outright manipulator.

Those who worry that the renminbi, yen, and won are undervalued vis-à-vis the dollar are usually looking not at the exchange rate so much as trade and current-account imbalances: the large surpluses China, Japan, and Korea run, and the large deficits the US runs with all three. But bilateral trade balances are not among economists' standard criteria for determining whether a country's currency is undervalued. (Those criteria, according to the International Monetary Fund, are “protracted large-scale intervention in one direction in the exchange market,” excessive international reserves, and an overall current-account imbalance. Also relevant is whether the country is selling its goods at below global prices, even after adjusting for productivity.)

The fundamental reason why China is running a large current-account surplus is its high national saving rate. Even if foreign-exchange intervention spurred renminbi appreciation and reduced the current-account surplus, that would merely divert more of China’s large savings into investment (probably mediated by a low real interest rate). That is not what China needs at a time when it is facing deflation.

The right prescription for China is not new. As countless economists (including me) have recommended, it must rebalance its economy from manufacturing to services, reduce its reliance on investment spending and export demand, and expand household consumption. A stronger social safety net, including health care and old-age and disability pensions, would free up precautionary savings. And there is a strong case for improving land- and labor-market flexibility.

The yen’s weakness can likewise be attributed to economic fundamentals. The interest rate in Japan is still very low, especially in light of recent inflation. Markets apparently expect Japan to continue to monetize its huge government debt. Instead, the Bank of Japan should probably raise the interest rate.

For its part, the US owes its large current-account deficit largely to its low national savings rate, especially the negative fiscal balance. Were foreign-exchange intervention to weaken the dollar, the US would face intensifying inflationary pressures, which Trump’s tariffs and war on Iran are already fueling. This could force the Federal Reserve to raise interest rates faster—precisely what the Trump administration does not want—crowding out investment.

The Trump administration has systematically destroyed America’s capacity to persuade other countries to act. Rather than squander what little influence it has left on dubious exchange-rate actions, it should work on boosting domestic savings. The best way to do that is to strengthen its fiscal position.

CAMBRIDGE—As China continues to capture global markets in manufactures and its trade surpluses grow, it is increasingly viewed elsewhere as a country whose economic growth comes at the expense of the rest of the world. China’s industrial policies and growth model at large, the critics complain, are beggar-thy-neighbor.

The term “beggar-thy-neighbor” has an interesting history. It refers to an old children’s card game in Britain, as depicted in Charles Dickens’s 1861 novel Great Expectations, where the objective is to win all the cards in the deck. It made its first appearance in economics in Adam Smith’s portrayal of mercantilist thought in Wealth of Nations. Mercantilists mistakenly taught nations, wrote Smith, “that their interest consisted in beggaring all their neighbors.”

But it was Joan Robinson, the Cambridge economist and contemporary of John Maynard Keynes, who popularized the term in an essay written in the 1930s. Robinson wrote at a time of generalized unemployment caused by a collapse of aggregate demand—what we would subsequently call Keynesian unemployment. Many governments deployed mercantilist policies, such as import tariffs or currency depreciations, that they hoped would improve the home country’s trade balance. The goal was to increase domestic employment by diverting demand from foreign goods and services to domestic ones.

As Robinson pointed out, these policies were zero-sum from a global perspective. A country could increase its trade surplus or reduce its trade deficit only if other countries’ trade balances were changed by the same amount in aggregate. Mercantilism could help employment in one country only at the expense of greater unemployment in others. Robinson called these policies “beggar-my-neighbor.” The term eventually transmuted into “beggar-thy-neighbor,” which came into use in the late 1960s and eventually supplanted the original version.

Superficially, Robinson’s description would seem to apply to China’s policies, since its export surplus requires other countries to run trade deficits. The big difference, however, is that we are no longer in a world of deficient aggregate demand. Unemployment rates are 4.2% and 6.3% in the United States and Germany, respectively, compared to 25% and 30% at the height of the Great Depression. Boosting aggregate demand and employment is not a policy priority in any of the world’s major economies.

When economies run near full capacity, it is not clear that trade deficits should be a cause for concern. After all, they represent a transfer of purchasing power from surplus countries (China), which can lead to higher consumption or, more desirably, investment. By this logic, China’s surpluses might as well be called enrich-thy-neighbor.

What, then, would make China’s surpluses a problem? First, macroeconomic imbalances can create financial instability and increase the risk of a crisis. Second, insofar as they produce “excess capacity” and “over-production” in many manufactured sectors, China’s surpluses may promote industrial decline in deficit countries. And third, they can aggravate distributional and social problems in deficit countries.

These concerns are often justified, but they do not imply that China’s economic gains come at other countries’ expense. For the most part, they call for appropriate responses from the affected countries, rather than for major adjustments in China.

Governments concerned with the macroeconomic and financial consequences of large deficits have a large menu of policy options. They can rein in their fiscal deficits, tighten prudential regulations, tax capital inflows, and depreciate their currencies. When deficit countries complain that their policy choices are restricted, it is often because they are trying to eat their cake and have it, too. The US government, for example, refuses to do anything that would reduce the attractiveness of US assets. So, it reaps benefits as the world’s financial center, while griping about the trade deficits that are at least partly the result.

Deficit countries also have options when it comes to manufacturing, but they must be clear about their objectives. Complaints about excess capacity are often misplaced. The consumer benefits of cheap Chinese goods are real regardless of whether they are the result of genuine productivity or government subsidies, and in this case, it is mostly the former. There is no evidence that China intends to exercise (or ever has exercised) monopoly power in the manufacturing sectors of concern, so predatory pricing is not an issue either. Job losses in affected industries can be socially costly, but governments should recognize that, with or without Chinese competition, manufacturing is no longer an employment-creating sector.

The adverse impact on import-competing firms is also real. But policymakers in advanced economies should be concerned about Chinese competition in manufacturing only to the extent that their own manufacturing firms generate technological and learning spillovers for other firms and sectors in the economy. This may be true in some segments, but certainly not across the board. Where the argument carries weight, it calls for selective domestic policies that target market failures and externalities in those segments directly. In other words, countries worried about China’s impact on their manufacturing sectors should deploy their own versions of China’s industrial policies.

In all the discussion on beggar-thy-neighbor policies, we should not forget renewables, where China’s industrial policies have generated enormous enrich-the-world effects. China’s subsidies, public venture funds, and other policies to promote investments in solar, wind, electric vehicles, and batteries have produced a veritable revolution in renewable energy. The dramatic reduction in the costs of alternative sources of power is the best news the world has had in the fight against climate change. In pursuing its own technological and commercial advantage, China has also delivered a major global public good.

China’s critics might have a stronger point when they argue that China’s overall macroeconomic posture is harmful to China’s own economy—that it is beggaring itself. The country’s unbalanced strategy, with its heavy emphasis on exports of manufactures and repression of consumption, has delivered high rates of economic growth, but may well be due for a redesign. Still, outsiders should be wary of second-guessing policymaking in a country that, for the last 50 years, has delivered the most impressive economic performance in history.